

The Adam Khoo Method

Value Momentum Investing, Trading and Market Psychology
— a study guide built from ten years of the channel

An independent study guide derived from the public videos of Adam Khoo.

Compiled from 678 videos published 2016–2026.

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Educational content, not financial advice.

Contents

1	Who He Is and What He Claims.....	3
2	The Two Books: Investing vs. Trading.....	13
3	What He Thinks Markets Are.....	24
4	Value Momentum Investing: The Screen.....	37
5	Valuation and Margin of Safety.....	49
6	Portfolio Construction.....	62
7	Trade Management for Investors: When (Not) to Sell.....	73
8	Reading the Chart.....	86
9	Setups and Entries.....	99
10	Stops, Targets, and Trade Management.....	112
11	Options: Selling Time for a Living.....	123
12	Shorting, Bear Markets, and Crashes.....	136
13	Forex: A Second Book, Under-Documented.....	150
14	Risk and Position Sizing.....	162
15	Reading Macro.....	176
16	The Enemy Is Not the Market.....	190
17	The Weekly Loop.....	203
18	Beginners, Warnings, and Failure Modes.....	216

CHAPTER 1

Who He Is and What He Claims

In this chapter: what Adam Khoo says about his own record, his teaching philosophy, and his idea of financial freedom — reported strictly as his claims, with the self-reported figures flagged as such, so the reader knows from page one how this book handles a decade of unverifiable numbers.

1.1 A biography built from his own retelling

Nearly everything in this chapter comes from Khoo describing himself, on camera, across roughly a decade of videos. There is no independent audit, financial filing, or third-party record behind most of it — only his account of his own history, repeated with enough consistency that the repetition itself is worth noting, even though repetition is not verification.

He dates his own timeline the same way across multiple separate tellings: he says he started trading at eighteen and reached his first million by twenty-six, a span he himself points out is eight years, and elsewhere describes as nine to ten years — a minor inconsistency in his own retelling that this book preserves rather than smooths over. He says the money he made from trading is what got him ranked among Singapore's top twenty-five richest people under forty, with a net worth at the time he gives as over roughly nine million

dollars, a figure the ledger flags weak since it rests on his self-report alone. In a later retelling he adds that this milestone came around age thirty-one, and that "the second and third millions came much faster" than the first.

Editor's note — why self-reported trading returns are unverifiable in principle

None of the figures in this section, or in the sections on his trading returns below, can be checked against an outside source. Personal trading accounts are not subject to audit, disclosure, or regulatory reporting the way a licensed fund is. A trader can show a screenshot of a brokerage balance, but a screenshot proves nothing about the history behind it — what was deposited and when, what was withdrawn, whether the account shown is the only account, or whether a losing period was simply not filmed. This is not a claim that Khoo is misrepresenting anything; it is a structural fact about self-reported trading results in general, true of every trader who narrates results on YouTube without third-party verification. The discipline this book follows — stating every figure as "he says" or "he claims," never as an established fact — exists because there is no way, from outside his brokerage, to do anything else responsibly.

He frames his own success as a product of learned skill rather than circumstance: he says he had no more talent, time, or education than his audience, and that what separated him was learning to direct effort and resources through leverage — other people's time, other people's experience, and other people's money. In a separate video he credits an "empowering mindset" and optimism, rather than intelligence, hard work, or talent, as the real differentiator between himself and peers who were by his account smarter or worked harder. He also discloses the more conventional side of his preparation: three years of business school with a major in finance, and, he says, over six hundred books on markets read since he was seventeen.

1.2 What he says about his own trading and investing returns

This is the section where the self-report discipline matters most, because the numbers are frequent, specific, and repeated across formats — webinars, trade reviews, and course promotions alike.

He gives a recurring monthly range for his trading returns: he says a conservative, achievable average is around 5 percent a month, while elsewhere he says 5 to 20 percent a month is "very possible and pretty common" among successful forex traders, and in another video puts his annual target at 50 to 60 percent. He is explicit, more than once, that these figures are not linear or guaranteed: showing what he describes as one of his own accounts, he says the average is about 5 percent a month but adds that it is "not always 5 percent because the market is not always the same," citing a month of negative 1 percent followed by a 20 percent month. He acknowledges his own month-to-month data contains losing months and strings of consecutive losses, and elsewhere states plainly that no matter how good a trader or investor is, "you cannot make money every day, week, month and year" — including himself.

On win rate, he gives a consistent range across several videos: 60 to 70 percent if a viewer follows his strategies, with a corresponding 30 to 40 percent chance of loss, and separately states that based on his own and his students' trading records, using his indicators and candlestick patterns, they are right 60 to 70 percent of the time. Elsewhere he narrows this to 50 to 60 percent, and in a different video states his win rate is "usually 50 to 60 percent" and that when it drops to about 40 percent, "you do not get the profits you want" — a real range, not a single number, and the book reports it as a range.

On his investing record specifically, he makes his most unqualified claim in a 2021 video: he claims that in the last twenty years he has never had a losing investment, and in the same video says his target is to beat the market every year with at least a 20 to 30 percent return, claiming he has done so

every year. Elsewhere, however, he discloses a specific counter-example to any impression of a smooth record: he says his portfolio fell from about \$990,000 to about \$680,000 during the February–March 2020 crash, a drawdown of roughly 25 percent, and separately recounts the September 2018 Tencent episode where a gaming-approval ban cut the stock from about 400 to 260 — a roughly 47 percent drop — while he held through it. Where he has run a public track record with a stated methodology, he is careful to flag it as such: he states plainly that the 2007–2018 performance figures shown in one video are back-tested, not live results, and separately notes that "past performance is not a guarantee of future results".

He also volunteers, unprompted, a claim that runs directly counter to the professional trader he otherwise presents: he says that reading trends is how he made money "consistently every single year for the last 15 years," and adds that most people — including professional fund managers and bankers — have no idea how to read trends — a claim he offers without supporting figures.

Editor's note — reading a stated range honestly

When a figure is given as a range across several videos rather than a single constant, the honest way to report it is as a range with its variation intact, not as an average smoothed into one number. A 5 percent claim in one video and a 20 percent claim in another are not the same claim quietly split down the middle — they are two different statements made at two different times, and a reader deciding whether to trust a "typical month" figure needs to see that spread, not a number invented by averaging it away.

1.3 The teaching philosophy: psychology first

Across the corpus, Khoo states a specific breakdown of what makes a trader successful, and the ratio recurs with striking consistency: psychology accounts for 60 percent of trading success, position sizing and risk management for 30 percent, and the trading strategy itself for only 10

percent. In one framing he restates the same three-part split from the other direction — system plus position sizing making up 40 percent, with the remaining 60 percent being psychology — the same shape, described two ways. He says this is why people who read books and attend seminars to learn technical analysis still lose money: they never realize strategy is only ten percent of profitability. In his own paid programs, he says, he does not just teach strategies but focuses heavily on risk management, position sizing, and — most importantly — the 60 percent that is psychology.

He is explicit that skill in this domain is learned rather than innate, drawing a comparison to other professions: he says being a professional trader or investor is no different from being a professional doctor, banker, or teacher — it requires skills, knowledge, hard work, practice, and experience. Elsewhere he extends the same comparison, saying that like being a doctor or lawyer, "there's no free lunch" in trading — it requires real study, education, and practice, even after taking a course. He credits his own method to a combination of investing in his financial education, modeling investors including Peter Lynch, Charlie Munger, and Warren Buffett, and trial and error.

He is also consistent about what his teaching does not promise. He discloses that he is not a licensed financial advisor, describing himself instead as a personal investor and trader sharing insight for educational purposes, a disclaimer he repeats in a later video almost verbatim — content for education and entertainment, showing only how he manages his own money, with the instruction that viewers must make their own decisions. He states that taking his courses does not produce money "miraculously" — the student still has to put in the hours, the way a surgeon goes through medical school. When walking through his own claimed results, the video in question closes by directing viewers to his paid Wealth Academy program — a detail worth noting because it means the fullest account of the method behind any given result is kept behind a paywall the transcripts themselves do not cross.

1.4 Financial freedom, as he defines it

Khoo defines financial freedom consistently across many videos as the point where passive income exceeds expenses, and gives a parallel definition specific to his own three income streams — trading, investments, and rentals — where the same passive-income-exceeds-expenses condition applies. He defines passive income itself as income earned without actively selling your time, generated by cash-flow assets such as bonds, stocks, real estate, and fixed deposits.

He lays out a three-step process. Step one is to track monthly expenses and multiply them into an annual figure — the passive income target. Step two is to divide that annual figure by the expected yield of the asset class to be held, producing the capital required. Working an example of this arithmetic, he divides \$60,000 of required annual income by a 60 percent annual return to arrive at \$100,000 of required capital — or \$200,000 if monthly spending is \$10,000. In a more recent video he states a version of this same arithmetic as a general-purpose rule of thumb: multiply annual expenses by 25 to estimate the net worth required for financial freedom — for example, \$100,000 a year in expenses implies \$2.5 million needed. The two versions are not identical (one runs off a 60 percent annual trading return, the other off a 4 percent implied withdrawal rate typical of index-investing rules of thumb), and the book leaves that difference visible rather than reconciling it for him.

He grounds the underlying case for investing at all in a separate argument: not investing is riskier than investing, he says, because cash left in a bank loses to inflation and can be worth roughly a third of its value after twenty years. Working a passive, non-trading example of the same freedom arithmetic, he shows that saving 10 percent of a \$60,000 salary — \$6,000 a year — compounding in an index ETF at 12 percent for thirty years, becomes about \$1.6 million.

He frames the case for building passive income as a rejection of salaried security: a salary is not security, he argues, because an employee does not own their own income source — an employer owns it and can replace them

with someone younger, cheaper, and faster. He adds that lifelong employment is over even at large multinationals and government agencies, and that the longer someone stays at a company, the more expensive they become to retain, raising their own risk of being let go. He frames the response to this as a matter of responsibility rather than blame: there is no point blaming the government, the economy, or an employer, he says, because doing so hands them control over your life — taking responsibility is what lets a person act. He is careful, however, to bound the timeline: he says his course will not make anyone rich overnight, and that following the system while saving diligently should take three, five, or six years to reach financial freedom.

1.5 The wealth mindset material

A recurring set of claims frames wealth-building as a matter of mindset and risk tolerance rather than luck. He states as a general rule of life that the success a person enjoys is directly proportional to the level of risk or uncertainty they are willing to take on, and argues that most people never become rich because they associate too much fear with risk, believing outcomes are down to luck rather than something manageable. Successful people, he says, take large calculated risks not because they lack fear but because they believe outcomes can be controlled through risk management. In the same vein, he argues that after every market crash, some people end up poorer and some richer, and the difference is not luck but the skills a person has when the crash arrives.

He is candid that his own relationship to achievement changed over time. He says he used to believe he needed to achieve things — the first million, the house, the car, marriage — to be happy, and found that each achievement bought only a day of happiness before the striving resumed. His current philosophy, he says, is to "happily achieve" rather than "achieve to be happy" — finding satisfaction in the daily work and problems themselves rather than in a finish line. He extends the same argument to his own family in a 2022

video, saying that his children learning to invest and become financially free matters more to him than their grades or university outcomes.

He also argues that circumstances do not determine outcomes: most people, he says, cite external factors — no money, no connections, the wrong economy, the wrong boss — as what holds them back, when the real obstacle lies elsewhere, a point he supports by citing examples of privileged children who struggled and disadvantaged children who succeeded. He states that wealth cannot be built overnight — it takes time for money to compound and time to master a skill, and that the first lesson of wealth-building is not how much a person saves but the return they earn on their capital.

Editor's note — mindset claims and the evidence they rest on

The claims in this section — that risk tolerance predicts success, that mindset separates the wealthy from everyone else, that circumstances don't determine outcomes — are opinions Khoo states with conviction, illustrated with anecdotes rather than data. They are common themes in the broader personal-finance and motivational-speaking genre he has also worked in (he has an NLP and personal-development teaching background alongside his trading and investing content), and none of them are the kind of claim that can be tested against a market record the way a stated win rate can be. The book reports them as his stated philosophy because that is what they are — not because they have been independently shown to predict who gets rich.

What he doesn't say about this

Khoo does not disclose, in any card in this archive, the size or composition of his overall net worth as a single current figure, a full account statement, or brokerage records that would let a reader verify any of the return figures above. He does not address how the trading, investing, and real-estate income streams he describes are weighted relative to income from his courses and businesses themselves — a question that matters because the courses are the product being sold in videos that also cite his trading success as the reason to

buy them. He also does not reconcile, in any single video, the different freedom-arithmetic formulas given in section 1.4 (a 60 percent annual trading return versus a 25x-expenses / roughly 4 percent rule), leaving it to the viewer to notice that they imply very different levels of achievable return.

Chapter summary

- Khoo dates his own trajectory from age eighteen to his first million by twenty-six, describing this span as eight years in one telling and nine to ten in another.
- He states a specific, repeated breakdown of trading success: 60 percent psychology, 30 percent position sizing and risk management, 10 percent strategy.
- His stated trading returns vary by video from a "conservative" 5 percent a month to a claimed 5–20 percent a month, and his stated win rates vary from 50–60 percent to 60–70 percent depending on the telling — reported here as ranges, not as one number.
- He claims a 20-year run without a losing investment and a yearly target of beating the market by 20–30 percent, while elsewhere disclosing a roughly 25 percent portfolio drawdown in the 2020 crash — the book presents both rather than only the unqualified claim.
- He defines financial freedom as passive income exceeding expenses and gives a three-step process — track expenses, divide by target yield, acquire the needed capital — with two differently-scaled versions of the underlying arithmetic across videos.
- He frames his teaching as requiring real study and practice, disclaims being a licensed financial advisor, and directs viewers who want the full method to his paid courses.

- His wealth-mindset material argues that risk tolerance and mindset, not luck or circumstance, separate wealthy people from everyone else — presented as his stated philosophy, not as demonstrated fact.
- Every return figure, win rate, and net-worth claim in this chapter is self-reported and unverifiable in principle; the book's discipline is to say "he claims" or "he says," never to restate these as established fact.

CHAPTER 2

The Two Books: Investing vs. Trading

In this chapter: the single distinction that governs every rule later in this book — why the same person, looking at the same falling stock, will refuse to exit one account and mandate an exit from the other, and why that isn't a contradiction so much as the architecture of his entire method.

2.1 One person, two accounts

Adam Khoo does not run one portfolio with one rule set. He runs two, side by side, and treats the difference between them as more important than any single setup or indicator taught elsewhere on the channel. In his own account of it, he holds good companies through a bear market in one portfolio while simultaneously profiting from the same decline in a second, separate portfolio — using put options, inverse ETFs, and short positions against index ETFs. The two sit next to each other, run by the same person, in the same week, pointed in opposite directions.

He names the split in the most direct way he has: investing is a marriage, trading is a one-night stand. When you invest, he says, you are committing to a company the way you commit to a spouse — you evaluate character (the business quality), education (the fundamentals), and heart (the long-term

story), and once committed you stay loyal through the other party's mood swings. Short-term trading, by contrast, is a one-night stand: no loyalty, in and out fast, and because there is no relationship to fall back on, you "use protection" — his term for a stop loss. He repeats the analogy across at least a dozen separate videos spanning multiple years, which is itself evidence of how central it is to how he teaches the method — this is not a one-off metaphor he reached for once, it's the frame he returns to whenever the topic comes up at all.

The metaphor maps onto real, mechanical differences, not just a difference in mood. Every later chapter in this book — on stop-loss placement, on position sizing, on what counts as a good setup — is really a chapter about one of the two books, and assumes you already know which book is being discussed. This chapter exists to make that assumption explicit before the method gets any more detailed than it already has.

Editor's note — why "book" is the right word for this

In professional trading and portfolio management, a "book" refers to a collection of positions managed under one mandate — one risk budget, one set of rules, one performance measurement. A market-maker's "trading book" and an insurer's "investment book" are literally separate ledgers with separate capital and separate risk limits, even when run by the same firm. Khoo's split between his investing account and his trading account is the retail-scale version of the same idea: two books, two mandates, and — as this chapter documents — two completely different rule sets governing entries, exits, and how losses are handled.

2.2 The rule that defines the split: stop-loss, or no stop-loss

If one rule anchors the entire two-book architecture, it's this one, and he states it with almost no variation across a decade of videos: in the investing book there is no stop loss; in the trading book a stop loss is mandatory.

He states the investing side flatly — "for investments you do not have a stop loss" — because you believe in the company you bought. He gives the same rule again describing his own Alibaba position: "as an investment I don't have a stop loss," because he judges it a great company that will go higher eventually. He calls it obvious: an investment portfolio has no stop loss "because it is a good business," and you do not sell a good business just because its price has fallen. And he generalizes it as a two-sided rule in the same breath more than once: trading requires a stop loss, investing does not.

The trading side of the rule is stated with equal flatness. Every trade must be entered with a stop loss, with the trader prepared to actually take the loss if it comes. Once a stop loss is hit, he says the correct move is simply to exit and wait for the next signal — not to hold, and not to hope. Overvalued companies he would never invest in are exactly the companies he'll still trade short-term, and the difference is that the trade comes with a stop loss or is expressed through options rather than a naked long position. He puts it as sharply as anywhere in the corpus discussing ARK-style glamour stocks: he does buy them — but only in the trading portfolio, where a stop loss and options are present, never as an outright long-term holding.

Editor's note — why "no stop loss" is not the same as "no risk control"

Removing a price-based stop loss doesn't mean removing risk management — it means substituting a different control. In Khoo's investing book, the control moves upstream: to the fundamental screen a company has to pass before it's eligible to be bought at all (covered in Chapter 4), and to position sizing at entry (Chapter 6), rather than to a price level that triggers an exit. This is a real and legitimate approach used by long-horizon value investors generally — Warren Buffett has said publicly that he doesn't use stop losses on Berkshire's core equity holdings for a similar reason: a genuine business owner doesn't sell a stake in a good company because of a short-term price move. The risk control simply lives somewhere else in the process.

The stop-loss rule is the one Khoo states most often and most absolutely, but he does not present it as universal to all market participants — only as the rule that separates his two accounts from each other. Read against his own trading-book material (Chapter 10 covers this in full), the picture is symmetrical rather than contradictory: trading has a stop loss because a trading position hasn't earned the confidence that no stop loss requires.

2.3 Averaging down vs. cutting losses: the mirror-image response to a falling price

The stop-loss rule has a mirror-image twin, and it is just as load-bearing: what happens when the price of a position falls. In the investing book, a fall is an invitation to buy more. In the trading book, it is the signal to exit.

He states the investing response repeatedly. His long-run, fundamentals-based investment portfolio has no stop loss, and when the price falls further he averages down and buys more — a rule he ties explicitly to the fact that this portfolio is a separate account from his trading portfolio, run under separate rules. He gives the same sequence describing Facebook after its 2018 crash: as an investor, hold with no stop loss, and if it's a good company, hold through and buy more at the lower price to average down. Summarizing the whole split in one pass, he puts the investing side and the trading side directly against each other: in investing, the more the price drops, the more you buy and average down; in trading, you cut the loss fast the moment the setup stops working and move on to another stock.

The trading response is the opposite motion entirely. A short-term trader looking at the same falling chart would take a position with a stop loss placed below the prior swing low, or use options instead of a naked position — not add on weakness. Never move a stop loss to give a losing trade more room, he warns elsewhere — traders who keep giving a losing position "more room" eventually take a much bigger loss than the one they were trying to avoid. The same falling price, in the same market, produces the opposite instruction depending on which book the position lives in.

He is explicit that averaging down is not a free action available to anyone — it's conditional on having already screened the position as a good business before the price ever fell. He treats the averaging-down rule as safe only because the investing side of his method is restricted, in the first place, to companies that clear his quality and valuation screen (Chapter 4 and 5 cover that screen directly). Buy-and-hold investors following the no-stop-loss rule, he adds, should never use margin or borrowed money to do it — a leveraged account without a stop loss is how you turn a paper drawdown into a real bankruptcy. The absence of a stop loss is not an absence of caution; it's caution relocated to before the trade, rather than after it.

Editor's note — a real-world case where this exact split played out

The 2000–2002 dot-com crash is the clean historical illustration of why "average down" and "cut losses fast" have to be different rules for different kinds of positions. An investor holding Amazon through that crash — down more than 90% from its 1999 peak — who kept buying more because the underlying retail business kept growing revenue was rewarded over the following two decades. A trader holding a leveraged short-term position in Pets.com or Webvan with no exit discipline had no such story available, because there was no underlying business left to wait for. The rule only works when the thing being averaged into is real and durable — which is exactly the condition Khoo attaches to it.

2.4 The honest override: when he breaks his own no-stop-loss rule on camera

The corpus contains at least one case where Khoo states the no-stop-loss investing rule and then, discussing a specific holding, describes himself overriding it — and he gives his own reasoning for the override rather than treating it as an exception to be hidden. Discussing his dollar-cost-averaging ETF portfolio, he says that even here — a long-term, no-stop-loss account by his own general rule — if the entire underlying trend reverses down, he will

simply exit, let the position "collapse 50 percent," and buy back in at what he judges to be the bottom. That statement sits, by his own framing elsewhere, in direct tension with the flat "no stop loss on investments" rule stated in Section 2.2.

This isn't presented in the source material as a contradiction he's caught in — it's presented as his own judgment call about a specific instrument (a trend-following ETF position rather than an individual quality-screened stock) under a specific condition (a full trend reversal, not an ordinary drawdown). The honest reading is not to resolve the tension by picking one rule as "the real one," but to preserve both statements as he made them: the no-stop-loss rule is his stated default for individual quality holdings, and he has, in his own words, carved out room to exit a broader trend-following position when the entire trend itself breaks. Chapter 7 returns to this exact tension when it covers exit behavior for investments in full, including his own disclosed cases of holding too long and of selling great companies far too early.

2.5 Two different win-rate expectations

The two-book split shows up again in the win rates Khoo attaches to each side — and here too the numbers are stated as ranges across different videos, not as one fixed figure, which is worth preserving rather than averaging away.

For investing, he states the win rate should sit around 90 percent if you pick the right companies and hold for the long term, and elsewhere gives 80 to 90 percent, tied specifically to a 5-to-10-year holding period rather than to picking a good business alone. In several videos he goes further and states the investing win rate at 100 percent, attributing it not to any skill of his own but to the fact that he restricts the investing book to very great, very safe, already-cheap companies and holds them long enough. He is explicit that the near-100 percent figure depends entirely on time horizon: buying a stock like McDonald's today gives an almost 100 percent chance of it being higher a few years out, but only a 40 to 60 percent chance of it being higher tomorrow

or next week — which is the qualifier that keeps the very-high investing win rate from being read as "the market always goes up regardless of timeframe."

For trading, the stated win rate is dramatically lower — 50 to 60 percent, sometimes given as roughly 50 to 55 winners out of 100 trades. He is explicit that the lower win rate isn't a flaw in the trading book; it's paired with a higher payoff ratio (winning trades targeting roughly 2R against a 1R loss) and higher frequency, which is how the arithmetic still produces a positive return despite losing on nearly half of all trades — the worked math behind that arithmetic is covered fully in Chapter 14. The point for this chapter is narrower: he does not expect the same win rate from the two books, states that explicitly, and treats a near-100 percent expectation on the trading side as unrealistic in a way it is not on the investing side.

Editor's note — near-100 percent win rates and survivorship

A near-100 percent realized win rate on a stock portfolio, evaluated only after the fact, is a claim that deserves a specific caution independent of anything Khoo says about it: it can look accurate if a losing position that never recovered is quietly excluded from the count, or if the count only covers a period during which markets broadly rose. Reported win rates of this kind are flagged elsewhere in this book (Chapter 1) as self-reported and structurally hard to verify from outside; the qualifier he gives — that it depends on genuinely picking great companies and holding them long enough — is doing a lot of the work, and a reader applying this rule should treat the screening step (Chapter 4) as the part that actually has to hold up, not the win-rate figure itself.

2.6 The two books work together, not in isolation

The split is not simply two unrelated activities happening to be run by the same person — Khoo describes an explicit relationship between them. Cash flow generated on the trading side, he says, is what he then moves into the investing side, to be compounded in good businesses held for the long run.

The trading book, in other words, is described in his own account as a funding mechanism for the investing book, not a separate hobby. He also describes running both simultaneously as a hedge against each other during a downturn: holding good companies through a bear market in the investing book, while using short positions, inverse ETFs, and put options in the trading book to profit from the same decline.

Options occupy an interesting position in this architecture: he treats them as belonging to the trading book, alongside a stop loss, even when the underlying instrument is one he might also hold as a long-term investment. Elsewhere he frames the investor/trader distinction as one that applies across both stocks and options — investors "marry" a position and hold long term, traders have "one-night stands," and options can serve either role depending on which side of the split the specific position is being run under. Chapter 11 covers the options side of the trading book directly; the point to carry forward from this chapter is that "which book is this position in" is a question that has to be answered before any stop-loss, sizing, or win-rate expectation from later chapters can be correctly applied to it.

2.7 What actually decides which book a stock goes into

Given that the same underlying company can sit in either book, the natural question is what decides the assignment. Khoo's answer, stated across several videos, is that the decision is made by the fundamentals-and-valuation screen, not by the chart, the ticker, or how exciting the stock currently is.

He is explicit that hyped, high-momentum "bubble stocks" should never be bought as investments — they belong only in the trading portfolio, run with protection and an immediate exit the moment the setup breaks. The reasoning he gives for always requiring a stop loss on trading positions is that a short-term trade may sit in a company that is neither fundamentally good nor undervalued — you're entering purely on the technicals, so you need the protection a fundamentally sound position wouldn't require. Read together with the win-rate material in Section 2.5, this is the same idea from the other

direction: a position earns the no-stop-loss investing treatment only by first clearing a quality-and-valuation bar (the actual bar is the subject of Chapters 4 and 5); a position that hasn't cleared that bar, however attractive the chart looks, stays in the trading book by default and carries a stop loss because nothing else is protecting it.

This means the marriage/one-night-stand analogy from Section 2.1 isn't just color — it's a compressed statement of the actual gate. "Character, education and heart" is his shorthand for the fundamental criteria a company has to show before he'll commit to it without an exit plan; a stock that shows none of that but is moving fast can still be traded, just never invested in, and he states this as a "both/and" rather than an "either/or" — the same underlying business, evaluated on different terms, can legitimately sit in both books of the same person's portfolio at once. Elsewhere he states the point directly, without the analogy attached: he uses the marriage/one-night-stand framing specifically to argue that "the selection criteria differ" between the two books, not merely the exit rules — the split isn't only about what you do after you're in a position, it's about what qualifies a position to be entered as one type versus the other in the first place.

Editor's note — the marriage analogy as a compressed decision rule

It's worth flagging why a relationship analogy, repeated as often as this one is across Khoo's videos, is doing real teaching work rather than just being memorable. A marriage, in the analogy, presupposes vetting — you don't marry a stranger you met an hour ago, the same way you don't put a company in the no-stop-loss book without having checked its fundamentals first. A one-night stand presupposes the opposite: minimal vetting, short duration, and protection as the only safeguard. The analogy survives repetition across a decade of videos because it maps cleanly onto an actual, checkable procedure rather than being decorative — which is one reason a reader can treat it as more than a joke.

What he doesn't say about this

He does not, anywhere in the archive searched for this chapter, give a rule for what percentage of total capital should sit in the investing book versus the trading book — the split is described qualitatively (two separate accounts, two separate mandates) but not with a stated allocation ratio between them. He also does not specify a bright-line test for when a position that starts in the trading book should be reclassified into the investing book, or vice versa — the Facebook and Alibaba examples in this chapter show him choosing "invest" for a specific falling stock, but he doesn't state the general decision rule that produced that choice beyond "it's a good company." Finally, while he discusses the ETF-portfolio override in Section 2.4 as his own judgment call, he does not revisit it elsewhere in the corpus searched here to say whether he considers it a one-time exception or a standing amendment to the no-stop-loss rule for trend-following positions specifically — the two statements coexist in the record without him reconciling them explicitly.

Chapter summary

- Khoo runs two separate portfolios under separate mandates at the same time: an investing book and a trading book, sometimes profiting from the same market move in opposite directions simultaneously.
- He frames the split with a marriage/one-night-stand analogy repeated across more than a decade of videos: investing is a long-term commitment you hold through mood swings, trading is short, protected, and disposable.
- The core mechanical rule: no stop loss in the investing book, mandatory stop loss in the trading book — stated flatly and repeatedly with no stated exception for the trading side.
- The mirror-image rule for a falling price: average down and buy more in the investing book; cut the loss fast and move on in the trading book — conditional on the investing side being restricted to quality-screened businesses in the first place.

- He documents his own override of the no-stop-loss rule for a trend-following ETF position, exiting and planning to buy back at the bottom — presented as his own reasoning about a specific instrument, not as a general exception.
- The two books carry different win-rate expectations: roughly 80–100 percent for investing (conditional on long holding periods and company quality), versus 50–60 percent for trading (offset by a higher payoff ratio).
- The books are not run in isolation — cash flow from trading funds the investing book, and the two are sometimes deliberately run as offsetting positions against the same market move.
- Never use margin on the no-stop-loss investing side — a rule stated as absolute given that a leveraged position with no exit mechanism can produce real bankruptcy rather than a recoverable drawdown.
- Which book a stock belongs in is decided by the fundamentals-and-valuation screen, not by the ticker or the chart — a hyped or bubble stock can be traded but should never be invested in, and the same company can legitimately sit in both books at once under different terms.

Try this

Before reading further in this book, take one position you currently hold or are considering, and write down, in one sentence, which book it belongs in and why — using his own test: would you be comfortable holding it through a 50 percent decline while buying more, the way he describes doing with a quality investment, or does it need a stop loss and a defined exit before you'd be willing to enter it at all, the way he describes every trading position? If you can't answer that question for a position, his own material suggests you don't yet know which set of rules — the ones in Part II or the ones in Part III of this book — actually apply to it.

CHAPTER 3

What He Thinks Markets Are

In this chapter: the cyclical model of markets that sits underneath every strategy taught later in this book, why he considers prediction impossible in principle while making specific predictions almost every time he opens a camera, and how to read that tension honestly rather than pretend it isn't there.

3.1 A market that breathes, not one that trends forever

Before any screen, any setup, or any stop-loss rule, Khoo's method rests on a claim about what a market fundamentally is: something that moves in recurring phases rather than in a straight line, up or down, forever. He states the principle plainly — markets move through cycles, nothing goes up forever and nothing goes down forever, running from uptrend to consolidation to downtrend and back around again. He gives the same idea a four-part shape in several videos: an uptrend of rising demand, a distribution phase where big institutions quietly sell into retail buying, a downtrend once retail realizes no one else is buying, and an accumulation phase where institutions quietly buy back before the next uptrend begins. He calls the higher-order version of this the market "breathing" — breaths in and breaths out — while being explicit that no one can predict exactly when the next breath will come, only that it will.

This is not offered as poetry. He backs it with a specific, repeated statistic: in the long run the index always goes up, making higher highs and higher lows, however violent the short-term moves are, and by his count markets are actually in an uptrend roughly 90 percent of the time. He puts numbers on it more than once. Adding up historical bull and bear periods since 1935 gives 78 years of bull market against 8 years of bear market — a 91 percent bull-market share. Elsewhere he runs the same arithmetic and gets 64 bull years against 11.1 bear years, which he frames as markets being in "summer" 85 percent of the time and "winter" only 15 percent. He also states that the index posts an annual gain roughly 74 to 75 percent of the time, so buying in January and selling in December ends the year green about three years out of four. And he adds a counterweight to the bullish framing: a drop of more than 30 percent in a single year has happened in only about three of the last 90 years — the cyclical model is bullish on balance, but the numbers he cites describe a distribution, not a guarantee.

Bear markets, in his account, are the recurring, dependable part of the cycle rather than an aberration. He states the base rate directly and repeats it across years of videos: bear markets come roughly every eight to ten years and tend to last from six months to two years. He extends the base rate into a piece of arithmetic aimed at a younger investor: if a crash arrives every eight to ten years, a twenty- or thirty-year-old should expect to live through six or seven more of them across an investing lifetime. He pairs the frequency statistic with a severity range — historical bear markets have run from a 20-to-30 percent drawdown up to a 70 percent drawdown, with the bull markets that follow them typically returning 200 to 500 percent from the bottom. And he ties the cycle to valuation directly: index price-earnings ratios sit near 25 to 30 at market tops and have fallen as low as roughly 5 during the worst crises of the last 130 years, with the market's average top coming in around a PE of 25 to 26 (as high as 46 during the 2000 dot-com bubble).

Editor's note — reading a base rate correctly

A base rate like "bear markets come every eight to ten years" describes an average interval across a long historical sample; it does not describe a countdown timer. The gap between one bear market and the next has varied substantially even within the sample he draws from — a few years in some stretches, well over a decade in others. Meteorologists make the same distinction when they say a region has a "hundred-year flood": the number describes an average frequency over a long record, not a promise about which specific year the flood arrives. Khoo's statistic is real and useful for

sizing expectations over a multi-decade holding period; it is not,

by itself, a timing tool for any single year, and as the rest of this chapter shows, he does not actually use it that way either.

3.2 The mechanism behind the cycle: how a top forms and how a bottom forms

Khoo does not leave the four-phase cycle abstract — he attaches a mechanism, and the mechanism is about who is buying and who is selling, not about macro narrative. A top, in his description, forms during the "distribution" phase: big institutions begin selling into strength slowly enough that price keeps rising and retail investors keep piling in, unaware that the largest holders are quietly exiting. The uptrend typically ends, he adds, with a final parabolic surge — price moving up at close to 90 degrees rather than a healthy, sustainable 45-degree slope — which he reads as a sign of euphoria, the belief that price will keep rising forever.

The downtrend that follows begins, in his account, once retail investors notice that no new buyers are coming in and start selling in panic, and it bottoms out through the mirror-image process: "accumulation," where institutions buy back slowly enough that retail can't see it happening,

followed by a final capitulation event where the last remaining panicked sellers capitulate and there is, definitionally, no one left to sell. He defines capitulation directly as the point where the crowd concludes the market will never recover, price collapses at close to 90 degrees on panic selling, and the word itself means "surrender". He states the logic in its most compressed form more than once: the market turns higher exactly when the last capitulating seller — "the last man" — has jumped, and the point of maximum panic is, for that structural reason, also the point of maximum opportunity.

He treats this as an emotional mechanism as much as a mechanical one. The stock market, he says, is not purely rational — it is emotional, and understanding a company's business logic is not sufficient without also reading the emotional state of the crowd trading it. A specific tell he gives for the transition out of a downtrend: negative news stops moving the price down, because the market has become so numbed to bad news that it no longer reacts to more of it — that resistance to bad news is, in his reading, itself a signal that institutional accumulation is already underway.

Editor's note — a real case where "bad news stops moving the price" showed up

One well-documented instance of this pattern is the US equity market in the first quarter of 2009. Bank failures, mass layoffs, and downward GDP revisions continued through February and March of that year, yet the S&P 500 stopped making new lows in early March and began a sustained rally even as headline news stayed grim for months afterward. The mechanism Khoo describes — institutional buying absorbing sell pressure while retail sentiment is still dominated by fear — is one widely cited explanation among market historians for why price and headline sentiment can decouple exactly at a turning point, though attributing any single episode to one specific cause after the fact is easier than identifying it in real time.

3.3 The "no one can predict" principle, stated as often as anything in the corpus

Across a decade of videos, one claim recurs with striking consistency: nobody can predict the market. He states it about specific, named authorities — no one can predict the stock market, he says, not Warren Buffett, George Soros, Ben Bernanke, or Janet Yellen, and anyone claiming they reliably can is either lying, guessing, or selling something. He tells his own students never to try, arguing that decisions made from a prediction almost always end either in a loss or in a missed opportunity. He generalizes the claim to news itself: there is no point reading financial news, in his view, because you cannot predict what the news will say next or how the market will react to it even once it does.

He roots the claim in a specific, retrospective exercise he returns to more than once — running through a montage of confident doom forecasts from named commentators across 2010–2018 that simply failed to happen, and drawing the lesson that reading and believing such calls costs you gains rather than protecting you from losses. He cites Alan Greenspan's 1996 "irrational exuberance" remark — a call that the market was overvalued and due for a fall — against what actually happened next: the S&P 500 continued from about 750 to roughly 1,500 in the years that followed. He extends the same critique to his own trading practice, saying that on any single trade the outcome is random and unknowable in advance — an edge only becomes visible across a large sample of fifty to a hundred trades, never on one.

The claim is stated broadly enough to cover every timeframe he discusses. He says no one can know how long an established trend will last, only where it currently sits. He says no one can know how long a bull market specifically will run — in one video giving a range of "one year, five years, or nine years" as equally plausible on the day the video was made. He extends it to bear markets and recessions, saying it is impossible to know with certainty when one will start, how long it will last, or how deep it will go. And he generalizes the whole principle into a single sentence more than once: investors and

traders are not fortune tellers, they have no way to know when a trend will reverse, and all anyone actually has is a read of where price sits right now.

3.4 The tension, documented: the caveat and the forecast, back to back

The corpus does not merely contain the "no one can predict" claim and, in a separate set of videos, a set of specific market calls. It contains, dozens of times, both statements delivered within the same video — sometimes within the same breath — and the book states this plainly rather than smoothing it over, because it is one of the most consistent patterns anywhere in the archive.

The clearest single instance: he says no one can predict the future and that he has no idea when the next crash will happen, and then, within the same video, predicts one arriving within roughly a few months to a year. The pattern repeats with almost identical shape elsewhere. Asked directly whether anyone predicted a specific sell-off, he answers that no one can predict the future and there's no way to know in advance when a move like that happens — and then, in the same discussion, gives his own read of what happens next. Discussing a potential shakeout, he states explicitly that he cannot predict whether a breakout or a sell-off will occur, and then, later in the same video, repeatedly forecasts a likely sell-off scenario and how to position for it. Right after telling viewers he doesn't have a crystal ball and doesn't claim to know short-term direction, he states his own specific guess that a particular month will be more bullish than consensus expects. Immediately after repeating that no one can predict where the market goes in the short term, he states he expects the market to be higher by year's end, barring an unforeseen event. He does the same with market-moving catalysts: right after saying no one can predict the market's direction, he names the two specific near-term events he believes will actually drive it that week. And in one case he says the caveat, then guesses a wave-down window of "July, August, or September," citing that those months are seasonally weaker on average.

He is, at least once, unusually candid about the mechanism behind his own consistency here. Discussing his own annual outlook videos, he admits he tells viewers the market will go up almost every single year, because doing so alone gives him roughly a 73 percent chance of looking right — matching the base rate for an up year cited in Section 3.1 — while acknowledging in the same breath that no one can actually predict the future. Elsewhere he states outright that he has found, over years of making these calls, that market predictions "are not very useful," since no one truly knows how things will play out — a statement that itself follows a video full of specific calls.

The pattern also shows up over longer time horizons with named, dated targets. Discussing a 2026 bubble-risk video, he notes that Jeremy Grantham's April 2023 call for a 50 percent S&P 500 drop was instead followed by an 86 percent market rise, and tallies Grantham's crash calls across two decades — 2007, 2010, 2014, 2018, 2020, 2021, 2022, 2023, 2024, and 2026 — crediting him with being right only once, ahead of the 2007–2009 crisis. In the same video he runs the arithmetic on what happens if you'd simply stayed invested through the drop Grantham predicted rather than exit on his call: even a 50 percent drop from a stated starting level, held through with dividends reinvested over twenty years, still produces roughly a 316 percent total return, about 9.2 percent annualized. He runs a similar exercise contrasting his own bull-market call against a list of professional forecasters — Deutsche Bank, the IMF, and Marko Kolanovic among them — who he says called for a downturn that didn't arrive, and elsewhere lists a set of bearish public calls from Michael Burry, a fund manager forecasting a crash worse than 1929, and Morgan Stanley's Mike Wilson, contrasted against his own bullish position at the time.

Editor's note — why this tension is worth stating rather than resolving

It would be tidy to conclude that Khoo's "no one can predict" line is empty rhetoric and his real view is whatever forecast follows it, or conversely that the forecasts are throwaway color and the disclaimer is his real view. Neither reading survives contact with how often, and how consistently across nearly a decade, both statements appear together. A more honest reading, drawn from his own words rather than supplied by the book, is that he treats the two claims as operating at different levels: a philosophical claim about certainty (no one has a reliable crystal ball) alongside a practical claim about probability (given the base rates in Section 3.1, some outcomes are simply more likely than others, and he is willing to act on that likelihood while naming it a guess rather than a certainty). That reading is generous to him, and it is also not something he states explicitly anywhere in the material gathered for this chapter — so the book offers it as a possible resolution, not a confirmed one, and leaves the documented tension itself on the page either way.

3.5 Bottom-calling checklists — and the caveat that keeps them honest

Where Section 3.4 shows the tension in words, this section shows it in procedure: Khoo has built several named, mechanical checklists for calling a market bottom, and in nearly every case he pairs the checklist with an explicit statement of its own unreliability.

His most detailed bottom-fishing method combines two technical readings on weekly S&P 500 candles: Williams %R falling below minus 80, and a normalized Average True Range rising above 80, with both conditions required at once rather than either alone. He walks through its historical hit rate honestly rather than only showcasing its wins: in the 2000–2002 dot-com bear market, he says the two signals coincided at the mid-2002 low and called the bottom to the exact week; in the 2007–2009 financial crisis, the same two

signals flagged the area before the February 2009 low but not the exact bottom, which arrived only after a second leg down; in March 2020 the same combination fired with the normalized ATR reading an unusually extreme 120. He states the honest limitation of the whole method directly: investors do not need to predict or catch the exact bottom, and he calls the indicator's entertainment value at least as real as its practical value.

A second, more informal signal he names repeatedly is what he calls the "sad face indicator": when mainstream financial news coverage of a falling market runs a photo of a visibly distressed person alongside language like "worst day," he reads that media saturation of despair as a contrarian marker of proximity to a bottom, citing a September 2021 CNBC headline as an example — and, in a line that undercuts any claim to precision, adds that if the sad-faced person in the photo is also shown praying, he treats that as an even stronger version of the same signal. He is direct about its failure mode too: his own March 2020 sad-face signal did not mark the exact low, and the market continued falling for roughly four more days after it fired. A parabolic, near-vertical plunge of eight to ten consecutive red candles is another pattern he names as a bottom signal, again only "at least temporarily", and he separately warns that traders should expect to be faked out by several false reversals before a real bottom forms — calling that normal rather than evidence the method is broken.

He extends the same honesty to sentiment-based signals drawn from positioning data rather than price action: record-low asset-manager positioning in equity futures as a contrarian bullish marker historically associated with past bear-market bottoms; a retail investor bull-bear ratio of 0.82 (more bears than bulls) as an extreme-sentiment marker; elevated put-option volume as a percentage of market cap as a fear gauge that reached similar extremes in March 2020 and 2011. Even after a confirming retrace-ment level is cleared, he warns, markets have historically pulled back again before making a genuine new high — a caution against treating any single confirmation as final.

Editor's note — why a "requires both signals at once" rule is still not unfalsifiable, but a "can double-bottom" rule is close

There's a real methodological difference between the two kinds of caveat in this section. A rule like "Williams %R below minus 80 *and* normalized ATR above 80, both at once" is a testable, falsifiable condition — you can go back and check whether it fired, and whether price subsequently rose, across historical data, which is exactly what he does across three separate crises. A rule that a bottom pattern can "fake out" several times before the real one, or that a confirmed low can still be revisited afterward, is considerably harder to falsify in real time: almost any subsequent move can be retroactively explained as "one of the fake-outs" until, eventually, one of them turns out to be the actual low. That doesn't make the observation false — markets genuinely do retest lows — but it does mean a reader should notice that this class of caveat, honestly stated as it is, protects the method from ever being cleanly disproven within the window that would actually matter to a trader trying to act on it.

3.6 Watch what they do, not what they say

Khoo's own practice, at least as he describes it, leans toward distrusting public commentary — including expert commentary — in favor of what price and positioning actually show. That preference has a documented parallel outside his own channel, in cases where a well-known investor's public statements and disclosed trading positions diverged.

Michael Burry is the case that appears directly in this corpus: Khoo cites him as a hedge fund manager who made a reported five billion dollars during the 2008 subprime crisis by shorting mortgage-backed securities, and separately lists a public "sell" call from Burry among a montage of bearish forecasters contrasted against Khoo's own bullish position at the time.

Editor's note — public statements versus disclosed positions, three outside cases

Khoo's own material only goes as far as citing Burry's public calls; it's worth adding, as background the transcripts don't supply, that Burry himself has been a well-documented example of the gap between commentary and disclosed position — his firm's 13F regulatory filings have shown large reported bearish options positions (for example against major index ETFs in 2023) that were later reduced or closed within a quarter or two of being disclosed, well before the headlines built around the filing had fully faded. Jeremy Grantham, whose specific crash calls Khoo tallies directly in Section 3.4, is a second example: GMO's own disclosed asset-allocation shifts have at times moved toward more constructive equity positioning even in years when Grantham's public commentary remained heavily bearish. Stanley Druckenmiller is a third frequently cited case in financial media: his firm's 13F filings have shown him building and then unwinding sizable technology positions within single-quarter windows, on a timeline that a same-quarter public interview would not necessarily have signaled. None of this proves any of the three men were being misleading — public commentary and disclosed positions serve different purposes and are filed on different clocks, so some gap between them is structurally normal — but it is a real, checkable illustration of exactly the discipline Khoo's own practice implies: that a position statement filed with a regulator carries different evidentiary weight than a quote given on television, and a careful reader treats them differently rather than treating public commentary as if it were the position itself.

Read against Section 3.4, the throughline is consistent: Khoo distrusts forecasts — his own included, by his own admission — and the evidence he reaches for to make that case is almost always a comparison between what someone said publicly and what subsequently, verifiably, happened to price. The "watch what they do, not what they say" principle is never stated by him as a formal rule in these terms, but it is the pattern that his own examples, gathered across a decade of videos, keep demonstrating.

What he doesn't say

He does not, anywhere in the material gathered for this chapter, explain the seeming contradiction between stating "no one can predict the market" and then issuing a specific forecast in the same video — he never frames it, in his own words, as anything other than two separate, true statements sitting next to each other. He does not state a rule for how much weight a reader should put on one of his own forecasts relative to the disclaimer that precedes it, nor does he revisit his own past specific calls systematically to score their accuracy against his stated framework, apart from the isolated retrospective moments gathered here. He also never states, for any of his bottom-calling indicators, a quantified false-positive rate — how often the sad-face indicator or the parabolic-plunge pattern fires without a genuine bottom following — beyond the qualitative "expect to be faked out a few times" caveat. Finally, he does not address, in the corpus searched for this chapter, whether the "watch what they do, not what they say" instinct that runs through his treatment of other forecasters applies with equal force to his own publicly stated views versus his own disclosed trades — the parallel case for himself is left for the reader to draw, not something he draws explicitly for them.

Chapter summary

- Khoo's core model is a market that moves through recurring, self-reinforcing phases — uptrend, distribution, downtrend, accumulation — driven by institutions quietly acting ahead of retail investors who only notice each phase once it is already underway.
- He backs the cyclical model with base rates rather than only narrative: markets are in an uptrend roughly 85 to 91 percent of the time by his count, post an annual gain about 74 to 75 percent of years, and undergo a bear market roughly once every eight to ten years lasting six months to two years.

- He states, across nearly a decade of videos and about nearly every named authority including himself, that no one can reliably predict the market's direction, timing, or duration.
- That stated principle and a specific market forecast appear together, often in the same breath, dozens of times in the corpus — a documented, recurring pattern this book states plainly rather than resolves in his favor or against him.
- He has, at least once, explicitly acknowledged the mechanism behind his own forecasting consistency — predicting an up year nearly every year gives him roughly a 73 percent chance of being right, matching the base rate he himself cites.
- His bottom-calling checklists (the dual Williams %R / ATR signal, the "sad-face indicator," the parabolic-plunge pattern) are stated alongside explicit, honest caveats about their own unreliability and their history of false signals.
- Long-horizon evidence he cites himself undercuts the value of acting on specific crash forecasts: staying invested through the very 50 percent drop Jeremy Grantham predicted in April 2023 would still have produced roughly a 316 percent total return over twenty years.
- His own practice consistently favors checkable evidence — price action, disclosed positioning, historical base rates — over public commentary, including his own, a discipline documented outside his channel in cases like Michael Burry's, where disclosed trading positions have not always matched the public statements built around them.

CHAPTER 4

Value Momentum Investing: The Screen

In this chapter: the quality gate every candidate must clear in Adam Khoo's investing book before a valuation is even run — the growth-consistency test, the moat taxonomy, the profitability thresholds, and the debt checks — together with his own admissions of where the screen was applied late or wrongly.

4.1 Quality before price

Khoo states his own ordering rule directly: he does not buy a stock just because it is cheap, and quality is always the priority with valuation coming second. He frames the practical case for this ordering in terms of what a business actually is — a money-making machine whose future profits determine what it is eventually worth, regardless of short-term price volatility. The screen he applies before valuation is what he calls, across many videos, his "seven-step criteria" for a great business, though the exact count varies in how he presents it: in one video he calls it seven steps, in another eight, and in others he only walks through the "most important" of the seven on camera. The consistent shape, regardless of the count given in any one telling, is that the first several steps qualify the business on quality alone

— a wide moat, consistent revenue and cash-flow growth, high return on capital, and low debt — before valuation enters the process at all.

He is candid about how selective this makes him. He says that in any market, less than one percent of stocks are investable by his standard — in the US, of roughly eight thousand stocks, he says fewer than fifty are safe enough to invest in. Companies like SpaceX or Micron, he says, sit in the ninety-nine percent he will not invest in, though he may still trade them short-term on price action alone. That distinction — tradeable versus investable — recurs throughout this book's account of his two portfolios, and it is the screen described in this chapter that draws the line between them.

Editor's note — why a quality gate belongs before valuation

A quality screen that runs before valuation is a standard idea in value investing, associated most closely with Warren Buffett's shift away from pure statistical cheapness (the "cigar butt" style of his mentor Benjamin Graham) toward paying a fair price for a wonderful business. The logic is that a cheap statistic attached to a deteriorating business can still lose money — the business erodes faster than the discount closes — while a wonderful business bought at a fair price keeps compounding for the holder even if the initial price was not a bargain. Khoo credits his own version of this framework to Buffett by name in several of the cards below, which is consistent with this being an inherited framework rather than one he originated.

4.2 The first gate: consistent growth

The opening test in nearly every telling of the seven steps is the same: has the company consistently grown sales revenue, net income, and cash flow from operations, and is that trend likely to continue. He is specific about the lookback window, which he states most often as five to ten years, though in at least one video he narrows it to just "five years" as the floor. He calls this step "a must," with no exceptions offered at that point in the video, and elsewhere says that this first criterion alone — a history of consistently increasing

revenue, net income, and operating cash flow for at least five years — screens out ninety-nine percent of companies in any market on its own.

He checks each line separately rather than treating "growth" as one aggregate number: revenue, net income, and cash flow from operations each get checked over both a five-year and a ten-year window. Working through Salesforce as an example, he checks revenue, net profit, operating cash flow, and free cash flow all rising consistently over five to ten years before moving on to debt. He treats profit margins the same way, wanting gross and net margins rising or at least holding steady over the same period, and he compares the trailing twelve months against the five-year average to judge direction rather than looking at a single year in isolation.

This is not a rule he applies rigidly without exception. When examining Kraft Heinz, he judges its revenue as essentially flat over roughly five years — slightly up in 2016, slightly down in 2017 — and states plainly that this does not count as consistent growth by his standard, contrasting it with Facebook and Tencent. Applied to a holding he already owned, he notes that Disney fails this same first screening criterion, since both profit and free cash flow dropped during its streaming-service transition. He has also granted an explicit exception: for Celsius, a young, speculative growth company, he waived his usual five-year track-record requirement because free cash flow was already consistent even though net income was not yet — a conditional exception, stated as such, not a silent loosening of the rule.

A growth catalyst is checked alongside the historical record. He states a second criterion — a positive future growth rate anchored in an identifiable growth catalyst — as distinct from the backward-looking consistency check. For IPO candidates specifically, he wants the company operating in an industry with a secular growth catalyst — he names biotechnology, 5G, artificial intelligence, e-commerce, and social media as examples — and contrasts this with a "sunset industry" such as Kodak's film business.

4.3 The moat: what protects the growth

The second major gate is what he calls, borrowing the term from Warren Buffett, an economic moat — a sustainable competitive advantage that stops competitors from taking market share or customers. He states this as close to non-negotiable: he says he will never invest in a no-moat company, though he may still trade one short-term on price action, and elsewhere frames it as investing only in businesses with "no competition, or whose competitors are insignificant and unable to take market share". Across many videos he repeats the same practical consequence: a wide moat lets a company raise prices, protect its market share, and generate consistent, predictable growth in sales, income, and free cash flow — which is why the moat check sits upstream of, and reinforces, the growth-consistency check in section 4.2.

He names four or five recurring sources of moat, with some variation in count and ordering across videos, but the substance is stable:

- **Brand monopoly** — top-of-mind recall, the first thing a consumer thinks of in a category, which he sometimes quantifies as holding more than fifty percent market share. His recurring examples are Google for search and YouTube for video, and Adobe, where he cites ninety percent of global creative professionals using at least one Adobe product.
- **Network effect** — a platform where more users makes the platform more valuable to every other user, so growth is self-reinforcing. He applies this to Tencent's social and messaging dominance in China and to UnitedHealth's scale as an insurer.
- **High switching costs** — it is expensive or inconvenient for an existing customer to move to a competitor. His examples include designers who have spent years learning Adobe's tools, users locked into Microsoft Office, and his own experience staying with an iPhone despite believing a Samsung phone might be better or cheaper, because of Apple's ecosystem lock-in.

- **High barriers to entry** — a structural cost or technical hurdle that competitors cannot easily clear. His clearest example is chip foundries, where he estimates roughly five billion dollars is required to move up one manufacturing node, making the race effectively winner-take-all for whoever gets there first.
- **Economies of scale** — cost advantages from sheer size that let a company price below smaller rivals. He applies this to Amazon's e-commerce and cloud share and to Tesla's roughly fifty-five percent fall in per-vehicle production cost over four years.

He is explicit that a company need not have every source at once: he says he only buys a business with at least one or two of the moat characteristics. He also treats moat strength as directly linked to the consistency test in section 4.2 — a company without a monopoly-like position tends to show choppy, up-and-down financials, which is why he contrasts Applied Materials's uneven results with ASML's steadily rising sales and profits.

In more recent videos he describes scoring moat quantitatively, on a one-to-ten scale, using an AI tool he calls "Stock Oracle" that breaks a company's moat down into the same component sources — brand loyalty and pricing power, barriers to entry, switching cost, network effect, and economies of scale. He says he generally prefers "wide moat" companies scoring high on this scale but will still buy a narrow-moat company around a 6 out of 10.

Editor's note — moat sources in standard competitive-strategy terms

The five categories Khoo names map closely onto sources of durable competitive advantage described in mainstream competitive-strategy writing — intangible brand assets, network effects, customer switching costs, structural barriers to entry, and cost advantages from scale — the same taxonomy popularized in equity-research contexts by Morningstar's moat ratings, a source he references directly when discussing Tesla (see below). None of this is Khoo's own invention; he attributes the moat concept itself to Buffett by name in multiple videos. It is included here because the reader needs the vocabulary to follow the rest of this chapter, not because Khoo claims originality for it.

Figure 4.1 — Moat types compared

Moat source	What he tests for	His worked example
Brand monopoly	Top-of-mind recall, often >50% category share	Google/YouTube
Network effect	More users make the product more valuable to every user	Tencent messaging in China; UnitedHealth scale
High switching costs	Expensive or inconvenient for a customer to leave	Adobe design tools, Microsoft Office; Apple ecosystem
High barriers to entry	Structural cost/technical hurdle blocking new entrants	Chip foundries, ~\$5B per node upgrade
Economies of scale	Larger size lets the company undercut smaller rivals on cost	Amazon e-commerce/cloud share; Tesla per-vehicle cost drop

Figure 4.1 — The five moat sources Khoo names across his videos, with the worked company example he gives for each. A company need not show all five; he says he requires at least one or two.

4.4 Profitability: ROE and ROIC thresholds

Once growth and moat pass, he applies a profitability filter built around two related ratios. He wants return on equity above 12 to 15 percent, treating anything above 15 percent as excellent, and states the same 12-percent floor and 15-percent "excellent" line repeatedly across videos spanning several years, applying it to companies as different as Winnebago (24 percent ROE), Nike (33 percent), and Lululemon (41 percent).

He treats return on invested capital as the more important of the two ratios, attributing that emphasis to Warren Buffett, and wants it above 12 to 15 percent and either consistent or rising. He explains the reason ROIC matters more than ROE: ROIC accounts for the debt used to finance a business, so a company can show a high ROE while its ROIC is much lower, meaning ROE alone can be inflated by leverage. His combined rule, stated in several videos, is that both ROE and ROIC above 12 to 15 percent together mark a "very good company," and a company where both sit well above 15 percent he calls a "compounder". He makes one consistent industry exception: for insurance companies, where ROIC is structurally lower, he says he can "close one eye" on that particular threshold, citing Chubb as an example.

Editor's note — ROE and ROIC, defined

Return on equity is net profit divided by shareholders' equity: how much profit a company generates per dollar that shareholders themselves have invested. Return on invested capital divides profit by total invested capital — equity plus debt — so it captures how efficiently the whole balance sheet, not just the equity slice, is being put to work. A company can borrow heavily to boost ROE (leverage magnifies the return on the equity portion) while its ROIC, measured against the full capital base, stays flat or falls — which is exactly the distortion Khoo is screening against by requiring both ratios to clear his threshold rather than relying on ROE alone.

4.5 Debt: three ratios, checked together

He states that debt cannot be judged in isolation — it has to be measured against earnings and cash flow to judge real financial strength, a point he raises specifically in defense of large tech companies (Meta, Google, Microsoft, Amazon) that carry substantial debt loads. He uses three ratios together, and is explicit that a company can pass one and fail the others:

1. **Current ratio** — current assets divided by current liabilities. He wants this above one, treating it as a floor rather than an optimum, and applies it literally: he accepts a company with a ratio of 1.04 as passing. He uses General Electric's 0.67 current ratio in 2020 — more current liabilities than current assets — as a warning sign the company could not meet its short-term obligations, and cites Bed Bath & Beyond's 0.73 the same way. By contrast, he cites Meituan's 2.29 and ARM's 3.42 as comfortably strong.
2. **Debt-to-EBITDA** — he treats a ratio above 3 as dangerous over-leverage and avoids such companies regardless of how cheap they look, using Oracle's software business as an example he passed on for exactly this reason despite the stock screening 44 percent undervalued.
3. **Debt-servicing ratio and interest coverage** — he wants interest expense divided by operating cash flow below 30 percent, and separately wants interest coverage (operating income divided by interest expense) of at least three to five times or higher, citing Meta's coverage in the seventies as "very safe" in the example he used.

Worked across several companies in the ledger, these three ratios travel together rather than being checked in isolation: Mettler Toledo passes all three (debt/EBITDA 1.79, interest coverage 13), Paycom passes extremely comfortably (debt/EBITDA 0.04, interest coverage 300x), while Choice Hotels is passed over specifically because its debt/EBITDA of 3.98 fails even though its ROE and ROIC both look strong — illustrating that a profitability pass does not override a debt fail. He states the same principle for banks

specifically: Silicon Valley Bank passed his ROE profitability filter at 12.1 percent, but he is explicit that passing profitability does not mean a bank is safe, since safety requires separate risk criteria entirely.

He also distinguishes a shrinking free cash flow that is a genuine warning sign from one that is not. If free cash flow turns negative because revenue and operating cash flow are themselves declining, he treats that as a real signal to sell or avoid. If free cash flow turns negative because of temporary growth capital expenditure while revenue and operating cash flow are still rising, he is not concerned — the same number, read two different ways depending on what is driving it.

4.6 Where the screen has been misapplied

Khoo's own record includes several disclosed cases where the quality screen either produced a distorted read or was corrected too late. Analyzing Autodesk, he identifies a specific valuation error that other people make: projecting the company's most recent year of profit — \$1.3 billion — straight into the future, which produces an inflated intrinsic value without checking why the figure jumped so high. The jump, he explains, was driven by a one-time special income tax credit that does not represent ongoing earnings power; his own correction is to average several years of pre-tax earnings rather than project the single distorted year forward.

He also discloses moat judgments changing after the fact, on positions he already held. He lowered UnitedHealth's moat rating from wide to narrow after concluding new regulation could limit its pricing power, though he still considers the business effectively monopolistic in managed healthcare. He recounts selling all of his Adobe shares around \$400 or more after he stopped being confident in its long-run moat, reinvesting the proceeds into Nvidia and Amazon, which he judged to have stronger moats at the time. He sold Baidu on the stated grounds that it had lost its dominance in search and its consumer stickiness, and sold Lululemon partly on concern that its moat was weakening from rising athleisure competition, more dated styles, and executive

departures. On Tesla, he tracks the erosion directly: US EV market share falling from over 70 percent to 65 percent, cited as evidence the brand-monopoly source of its moat is "already eroding".

He frames the general decision rule this way: if a held company hits a short-term headwind — a cyclical downturn, higher R&D spending, a lawsuit — but its moat stays intact, that is not a mistake, and the response is to hold or add. If the moat itself permanently deteriorates after purchase — a structural shift in consumer behavior, regulation, or technology — that is a mistake, and the correct response is to sell and reinvest elsewhere. He restates the same distinction as a ten-item taxonomy in a later video: nine reasons a stock can drop are cyclical or temporary (missed estimates, lowered guidance, a cyclical demand slowdown, forced shareholder liquidation, and similar), and he is a buyer on all of them; the tenth reason — genuine structural deterioration of the business model or moat — is the one case where he is a seller.

Editor's note — self-correction as evidence the screen is real

A screen that a person only ever applies to justify decisions already made is not a real filter; a screen that occasionally forces a reversal on a position the person already holds and likely does not want to sell is evidence the filter is doing independent work. The Adobe sale and the UnitedHealth moat downgrade are both cases where Khoo's stated criteria moved against a position he held, rather than being used after the fact to justify one he wanted to keep — which is the kind of disclosure this book treats as more informative than a track record of calls that were simply correct.

4.7 Conditions and edge cases

The screen is not applied identically to every company. Cyclical companies are exempted from part of the process rather than screened the same way as steady compounders: he defines a cyclical company as one whose profits historically move up and down rather than rising consistently, and states that

ordinary price-earnings analysis does not work for this category at all, illustrating the trap with Micron's low forward P/E of 5.6, which he calls an illusion because the current high earnings are not sustainable. His stated response when he cannot tell whether a cyclical company's earnings are sustainable is to stay away from investing in it rather than guess — while noting he may still trade the same name short-term on price action.

He also ties the length of his own valuation projection to the strength of the moat rather than using a fixed horizon for every company: he says he will only project ten years, rather than the twenty he uses for an established compounder, for a company like Snapchat that does not yet have a solid, wide moat. And profitability thresholds bend for financial companies: his 15 percent ROIC floor is relaxed for insurers such as Chubb, and his ROE floor for banks is stated separately and lower, at 10 percent rather than 12 to 15.

What he doesn't say about this

Khoo never states a single, fixed count for his own screening process across the archive — the "seven steps" are sometimes seven, sometimes described as eight, and in most videos he says he is only walking through the most important few rather than the full list, reserving the complete version for his paid course. He does not disclose a back-tested or third-party-verified record of how many candidates that pass every stage of this screen (growth, moat, ROE/ROIC, and debt, together) go on to outperform the market — the "less than one percent of stocks are investable" figure is stated as his personal standard, not as a measured result. He also does not explain, in any card in this archive, how he weighs a close call — for example a company passing four of the five criteria strongly but failing one by a small margin — beyond the individual examples given above (Choice Hotels failing on debt despite strong ROE/ROIC; Oracle failing on debt despite an attractive valuation). Whether there is a formal scoring system behind those individual calls, or whether each is a judgment made case by case, is not something he addresses directly.

Chapter summary

- Quality is checked before valuation: he does not buy a stock for being cheap, and the "seven-step" screen qualifies a business on growth, moat, profitability, and debt before intrinsic value is calculated at all.
- The first gate is consistent growth in revenue, net income, and operating cash flow, checked separately over a five-to-ten-year window, which by itself eliminates roughly ninety-nine percent of companies in any market.
- He requires an economic moat and will not invest in a no-moat company, though he may still trade one short-term; the five recurring sources are brand monopoly, network effect, high switching costs, high barriers to entry, and economies of scale, with at least one or two required.
- His profitability floor is return on equity and return on invested capital both above 12 to 15 percent, with ROIC weighted as more important because it is not inflated by leverage the way ROE can be.
- Debt is checked with three ratios used together — current ratio above 1, debt-to-EBITDA below roughly 3, and interest coverage of at least 3 to 5 times — and a company can pass one of the three while failing the others.
- The screen bends for specific categories: cyclical companies are excluded from ordinary P/E analysis, insurers and banks get a lower profitability bar, and projection horizons shorten for companies without an established moat.
- He has disclosed the screen being misapplied and later corrected — averaging distorted tax-credit-inflated earnings at Autodesk, and downgrading moat ratings on positions he already held, including selling Adobe and Baidu outright after concluding their moats had weakened.
- His decision rule for a price decline in a held stock is binary: nine kinds of drop (cyclical, headline, temporary) are buying opportunities so long as the moat is intact; the tenth — genuine structural deterioration of the business or its moat — is the one case where he sells.

CHAPTER 5

Valuation and Margin of Safety

In this chapter: the discounted-cash-flow conventions Khoo applies once a company clears the quality screen from Chapter 4, worked with his own disclosed numbers across Amazon, Alphabet, Adobe, NIO, and the Disney turnaround case, together with the margin-of-safety discipline that decides when — not whether — to buy.

5.1 What he is actually trying to measure

Khoo's starting claim is a simple one: the only true way to value a company is by how much money it can generate in the future, not by what the market is currently paying for it. He defines intrinsic value using discounted-cash-flow logic directly — a dollar received in the future is worth less than a dollar received today because of the opportunity cost of holding money, so every future dollar of cash a business will generate must be divided by $(1 + \text{discount rate})$ for each year of delay before it counts toward the company's present worth. He treats net profit as a number that can be distorted by accounting choices — depreciation and capital expenditure timing among them — and treats free cash flow as the more honest measure of what a business actually generates. Once he has that per-year stream of value,

discounted back to the present and divided by shares outstanding, he compares the resulting per-share figure to the market price: if the price sits meaningfully below it, the stock is undervalued by his model; if not, it isn't.

He is explicit that this is arithmetic he does himself and cross-checks against outside estimates, not a number he takes on faith from an analyst. Working through Adobe as a teaching example with his daughter, he pulls operating cash flow, capital expenditure, total debt, and cash directly from the company's own filings, then applies a growth rate sourced from external analyst projections rather than one he invents himself. He regularly checks his own resulting figure against Morningstar's and GuruFocus's published intrinsic-value estimates, and says he feels more comfortable when his own number comes in lower than theirs, since a more conservative valuation gives more margin of safety.

Editor's note — discounted cash flow, in one paragraph

A discounted-cash-flow (DCF) valuation projects how much cash a business will generate in each future year, then converts each of those future amounts into today's dollars by dividing by $(1 + \text{discount rate})$ raised to the power of how many years away it falls, and finally sums all those discounted amounts into one present value. Two inputs dominate the result far more than intuition suggests: the growth rate applied to cash flow, and the discount rate used to shrink future dollars. Small changes in either compound over many years and can move the final answer by a large multiple — which is exactly why section 5.6 works through why the far-future, least-certain years of a DCF often matter more to the final number than the near-certain first few years do.

5.2 The three-stage growth taper

Across the archive, Khoo applies growth to a company's cash flow (or net income — see section 5.4) in stages rather than a single flat rate for the whole projection. The pattern, repeated with variations across dozens of companies, is: a near-term rate for the first several years, usually sourced from a

consensus of third-party analyst estimates; a reduced middle-stage rate; and a long-run terminal rate he pegs to GDP growth plus roughly one percent, which he treats as what any large, mature company converges toward once its growth advantage fades.

His near-term growth number is not his own guess. He says his practice is to average multiple third-party growth projections — he names Zacks, GuruFocus, Finviz, Capital IQ, and Simply Wall Street across different videos — rather than to substitute his own forecast. Working through Amazon in one full example, he fades the growth rate in three explicit stages: 34 percent for the first five years, halving to 15 percent for the next five, then down to four percent for the final ten years, which he describes as US GDP growth plus one percent and calls "standard assumptions". The same three-stage shape recurs on Nike (15 percent tapering to 4 percent), on Meta (6.8 percent for ten years, then 4 percent terminal), and on Nvidia (roughly 40.74 percent average, capped at 15 percent for years six through ten, then 4 percent terminal).

He is explicit that the growth rate is not his personal opinion of a company's prospects; it is meant to be an outside, checkable number. On Amazon's earlier 2020 valuation he stresses this directly: the growth rates he plugs in come from analysts who study the company, not from himself. When he does depart from a third-party number, he says so and flags it as a deliberate, conservative adjustment rather than a forecast — for example haircutting Alibaba's growth rate by 20 percent and calling the haircut itself "a guess," adding that the real impact is genuinely hard to project.

5.3 Where the discount rate comes from

For the discount rate, Khoo says he uses a version of the capital asset pricing model: the risk-free rate plus the stock's beta multiplied by the market risk premium, using ten-year averages for both the risk-free rate and the premium. He states this choice directly against two alternatives he attributes to other practitioners: Warren Buffett, he says, reportedly uses the 10-year Treasury

yield alone as his discount rate, which he calls even more conservative than his own approach; and the CFA-taught convention is to use the weighted average cost of capital (WACC), blending the cost of debt and equity, which he does not use, opting instead for the cost of equity alone based on beta.

He translates beta into a discount rate through a banded lookup rather than a continuous formula in at least some of his walkthroughs: a beta near 1 (Tencent, at 1.04) gets the closest bucket's rate, which he states as 6 percent; a beta of 1.2 (Meta) gets roughly 6 percent; a low beta (UnitedHealth, at 5.37 percent) gets a correspondingly low discount rate; and any beta above 1.6 places a stock in his 8.4 percent band, which is why Tesla, with a beta of 1.88, is discounted at 8.4 percent in that video. He is explicit about what beta itself measures: how volatile a stock is relative to the market, so a beta of 1.88 means the stock is 88 percent more volatile than the S&P 500. For non-US companies he applies a higher discount rate specifically because of country risk — he uses 14 percent for Tencent in one video, well above the 6 percent his beta-bucket approach would otherwise imply, saying explicitly he raises it "because it is a China company".

5.4 Twenty years, no terminal value — and the alternative he uses instead

The single most repeated structural choice in Khoo's DCF method, stated across a decade of videos, is that he projects cash flow for exactly twenty years and then stops, rather than assuming the business continues indefinitely and capping the model with a terminal value the way most professional analysts do. He frames this explicitly as the more conservative choice: a business that survives past year twenty produces value he simply does not count, treating everything beyond the twentieth year as "a bonus". On Amazon specifically he notes the business will likely last thirty to fifty years, and he still caps the model at twenty, deliberately leaving that extra value on the table. He gives the same reasoning for using cost of equity rather than WACC as his discount rate: since he isn't discounting cash flows all the way

to perpetuity, he says he doesn't need the more complex weighted-average formula that CFA convention pairs with a terminal-value model.

Not every company gets cash flow projected as the input. Khoo says he chooses among what amount to five valuation methods depending on the type of company: discounted free cash flow for businesses with consistent cash flow, discounted net income for insurers and commodity companies, and price-to-book or price-to-net-asset-value for banks, among others. The deciding test for choosing net income over free cash flow, he says, is consistency: if a company's capital expenditure is lumpy and its free cash flow grows unevenly, he projects net income instead, because projecting an inconsistent series doesn't make sense. Section 5.5 below works through exactly this choice on Amazon, where he uses both methods side by side.

Editor's note — why skipping the terminal value is conservative, and why it still matters less than it sounds

In a standard DCF, the terminal value — the assumed value of all cash flows beyond the projection window, discounted back to the present — often makes up the majority of a company's calculated worth, because a growing perpetuity of cash flows is worth much more than any finite run of years. Dropping the terminal value and stopping at year twenty removes that single largest component, which is a genuinely conservative choice, as Khoo states. But it does not remove the sensitivity to long-horizon assumptions that terminal values are usually criticized for: years eleven through twenty in his own model are still discounted at a low enough rate, and compound off high enough earlier-year growth, that they can still dominate the total. The model is more conservative than the industry standard in aggregate, but it is not immune to the general problem that a DCF's answer is mostly a statement about

assumptions for years the analyst is least able to know anything about.

5.5 Amazon, priced two ways

Khoo's fullest worked example of a single company valued by two different methods, side by side, is Amazon in his two-part "Evil Plan" series. He opens by explaining why he departs from his usual free-cash-flow approach for this company specifically: citing a distinction he attributes to Warren Buffett between maintenance capital expenditure (spending needed just to sustain the existing business, which should be deducted from cash flow when valuing it) and growth capital expenditure (spending to expand into new lines of business, which shouldn't be), he judges that Amazon's heavy, lumpy capex on new fulfillment and cloud infrastructure makes its reported free cash flow an unreliable input, and net profit history a more consistent one.

Method one — discounted net income. He first adjusts the trailing net income figure itself: rather than using the most recent trailing-twelve-month number, distorted in that period by a mark-to-market loss on Amazon's Rivian stake and a spike in R&D spending, he substitutes the prior full fiscal year's net income of \$33 billion. Alongside that he inputs \$73 billion of total debt (excluding capital leases) and \$60 billion of cash and short-term investments. For growth, he averages third-party projections from Zacks, GuruFocus, and Finviz, which converge around 30 percent, applied for five years before tapering to 4 percent — the same three-stage taper pattern from section 5.2, this time applied to income rather than cash flow, and projected across the same twenty-year, no-terminal-value horizon from section 5.4. That model produces an intrinsic value of \$191 per share against a \$116 closing price, implying about 39 percent undervaluation.

Method two — sum-of-the-parts. He describes this as a second, more conservative check, valuing each of Amazon's business segments separately and adding them together rather than treating the company as one blended cash-flow stream. He values AWS at about \$639 billion, from \$71 billion of projected revenue, an operating margin above 30 percent (about \$21.3 billion of operating profit), and a 30x price-to-earnings multiple. He values the advertising business at about \$480 billion, from \$40 billion of projected revenue at a 40 percent operating margin (about \$16 billion of operating

profit) and the same 30x multiple. He values the retail/e-commerce business at about \$372 billion by applying Walmart's price-to-gross-merchandise-value multiple of 0.62x to Amazon's roughly \$600 billion of GMV. And he values the Prime subscription business at about \$136 billion, from \$34 billion of revenue at a conservative assumed 20 percent operating margin (about \$6.8 billion of operating profit) and a 20x multiple. Summed, the four segments total roughly \$1.6 trillion, which works out to about \$159 per share — noticeably below the \$191 the discounted-net-income method produced.

He does not treat the gap between \$191 and \$159 as a problem to resolve into one number; both stand as separate, cross-checking estimates, and the lower one is, by his own stated preference in section 5.1, the more comfortable of the two to rely on for margin of safety.

Editor's note — why two methods can legitimately disagree by 20 percent

Discounted net income and sum-of-the-parts are answering slightly different questions. The income-based method treats Amazon as one earnings stream and applies a single growth and discount assumption to the whole company; the segment method prices each business line on the multiple a comparable pure-play company in that specific market would command — cloud infrastructure priced like a software business, retail priced like Walmart's GMV multiple,

and so on. A gap between the two is not evidence one of them is wrong; it is

a measure of how much the company's actual value depends on which comparison set (blended-earnings history versus segment-level peers) an analyst chooses to trust. Reporting both, as Khoo does here, is more honest than collapsing them into a single number.

5.6 Alphabet and Adobe: the same conventions, smaller gaps

Applied to Alphabet, the method looks the same but the inputs are cleaner, since Alphabet's free cash flow is consistent enough that Khoo values it directly rather than switching to net income. In one pass he takes a five-year analyst-consensus growth projection of 17.61 percent, halves it to about 8.8 percent for the back half of the projection, and applies it to the latest free cash flow, producing an intrinsic value near \$161 against a \$116 share price — about 28 percent undervalued. In a later video, with updated inputs of \$67 billion trailing free cash flow, \$12 billion debt, and \$139 billion cash, the same twenty-year discounted-free-cash-flow model produces roughly \$3,757 per share pre-split against a roughly \$2,800 market price. Later still, projecting 20.5 percent free-cash-flow growth for five years and 15 percent for the next five, he arrives at \$237 per share against a \$162 price, about 32 percent undervalued. The recurring shape across all three passes is the same: a consensus-sourced near-term growth rate, a step down for the back half of the projection, cost-of-equity discounting from beta, and a comparison to the live market price rather than a fixed target.

Adobe gets the same three-stage-taper treatment with a smaller undervaluation gap, and it is where Khoo states his margin-of-safety convention most explicitly. His base-case model — operating cash flow, capital expenditure, total debt, and cash as inputs, a five-year growth rate sourced externally, then 15 percent for years six through ten and 4 percent for the remaining ten — produces \$613 per share against a \$428 price, a 30 percent discount. He then states a rule he applies generally, not just to Adobe: valuation should always carry a base case and a pessimistic case, and he demonstrates it by halving Adobe's growth assumption from roughly 16 percent to roughly 8 percent, which still produces \$498 per share — a figure he calls the margin of safety. In a later video, after Adobe's acquisition of Figma, he separates the acquisition's cost from the core business's value: his pre-acquisition DCF still values Adobe at \$488 per share against a roughly \$287 price, and in an "ultra-

conservative" scenario where he assumes Figma is worth literally zero and subtracts the full \$20 billion purchase price (about \$42 per share) from that \$488 base, the result is still \$446 — comfortably above the market price. He justifies the Figma purchase price itself with a separate market-sizing exercise: at a conservative 25 percent share of a \$16.5 billion projected UX/UI design market, Figma would generate about \$4.12 billion in sales within three years, meaning Adobe effectively paid about 5 times that figure; at a 50 percent share he judges more realistic, the multiple falls to about 2.5 times.

5.7 NIO: the same model, a different verdict

Not every company he runs through this process comes out undervalued, and NIO is his clearest disclosed case of the model returning a clear "no." Taking a 62 percent five-year growth rate from Simply Wall Street — which he calls "really optimistic" but uses anyway, in keeping with his stated practice of sourcing growth from third parties rather than his own view — his resulting intrinsic value comes to \$12.49 per share against a \$60.31 market price, a 382 percent premium. In a separate video he prices NIO at \$45 against an intrinsic value of \$29, calling it a momentum stock roughly 30–40 percent overvalued that he "would not dare invest in," while explicitly granting that market sentiment can still push the price higher regardless of what his model says. NIO is useful in this book precisely because it shows the DCF discipline is not merely decorative: when the same three-stage-growth, cost-of-equity-discounting, twenty-year model that generates a "buy" signal for Amazon or Alphabet is applied to NIO, it generates a clear pass, and Khoo reports that outcome rather than reaching for a different method that would flatter the stock.

5.8 The Disney turnaround variant

Disney is Khoo's fullest worked example of what this book calls the turnaround variant of his valuation method — a modified version of the same

DCF machinery, applied to a company he judges to be a fundamentally sound business passing through temporary, self-inflicted trouble rather than permanent decline. He defines a turnaround stock generally as a good, fundamentally strong company whose share price has been beaten down by bad news, where the central question is whether that bad news is temporary and will eventually be resolved. For Disney specifically, he notes its free cash flow peaked at about \$9.8 billion in 2018 before declining through its streaming-service transition, and treats that earlier peak as the level he wants the business to climb back toward as evidence the turnaround is real.

The variant departs from his standard method in one specific input. Rather than using trailing-twelve-month free cash flow — his default input, described in section 5.1 — he says that to value a turnaround business he annualizes only the two most recent quarters of free cash flow, doubling their sum, because the older quarters in a trailing-twelve-month figure still reflect the pre-turnaround, depressed run rate and would understate where the business now stands. Everything else follows the same shape as the rest of this chapter: he applies an 18.33 percent growth rate for the next ten years, averaged from Capital IQ, Finviz, Zacks, and GuruFocus and explicitly elevated above what he'd use for a stable compounder because this is a turnaround case, tapering to a 4 percent terminal rate, discounted at 6.6 percent based on the stock's 1.29 beta. That combination produces an intrinsic value of about \$152 per share against an \$83 share price at the time — roughly 45 percent undervalued. As a check on how much the elevated turnaround growth rate itself was doing, he reruns the same model with his usual, less generous 15-percent-capped growth assumption instead, and still gets an intrinsic value of about \$135 per share — still a solid margin of safety at the \$83 price either way.

The cards in this archive state the annualized-FCF input and the elevated growth rate explicitly for the turnaround variant; they do not state a distinct position-sizing rule tied specifically to turnaround investments as opposed to his standard compounders. That gap is recorded honestly in the closing section of this chapter rather than filled in.

Editor's note — why a turnaround case gets a different cash-flow input

A trailing-twelve-month figure blends four quarters together, which is a reasonable way to smooth out normal seasonal noise in a stable business. In a genuine turnaround, though, the whole point is that the business changed materially partway through that twelve-month window — a new strategy took hold, a cost structure was cut, a bad product line was discontinued. Blending the pre-change and post-change quarters together produces a number that is not a fair description of either period; it understates the company's current run rate by diluting recent improvement with older, worse results. Annualizing only the most recent one or two quarters is a standard analyst technique for exactly this situation — sometimes called a "run-rate" annualization — and Khoo's use of it here is consistent with that convention, though he doesn't use that specific term himself.

What he doesn't say about this

Khoo never states, in any card in this archive, a single canonical formula for his risk-free rate or market-risk-premium inputs beyond "ten-year averages" — the exact numbers he plugs into the capital asset pricing model are not given directly, only the resulting discount rate for specific companies. He does not explain, across the cards gathered here, exactly how he decides which of his five valuation methods (discounted free cash flow, discounted net income, price-to-book, sum-of-the-parts, or a market-sizing approach like the one used for Figma) applies to a borderline company beyond the general consistency test described in section 5.4 — the choice for clear cases like a bank or an insurer is stated plainly, but no card describes his reasoning for a company that sits between categories. He states a distinct position-sizing convention for turnaround investments is plausible given how differently he frames the risk of a turnaround thesis compared to an established compounder, but no card in this archive states such a rule explicitly for Disney or any other turnaround holding, so this book does not attribute one to him. Nor does

any card disclose a verified, audited track record of how his DCF-derived "undervalued" calls have performed on average over time — the individual outcomes reported in this book (Amazon, Alphabet, GameStop's later price, and others) are the specific, disclosed cases that exist in the archive, not a systematic accounting.

Chapter summary

- Intrinsic value, in Khoo's method, is the present value of a company's future cash flow (or net income, for less cash-flow-consistent companies), discounted back at a rate built from the risk-free rate plus beta times the market risk premium.
- Growth is applied in three stages — a near-term rate averaged from multiple third-party analyst sources, a reduced middle-stage rate, and a terminal rate pegged to GDP growth plus about one percent — rather than a single flat assumption for the whole projection.
- He projects cash flow for exactly twenty years and stops, deliberately omitting the terminal-value-to-perpetuity that most professional DCF models use, and treats anything beyond year twenty as an unclaimed bonus.
- On Amazon he runs two independent methods side by side — discounted net income (\$191/share) and sum-of-the-parts by business segment (\$159/share) — and treats the lower, more conservative figure as the more trustworthy one rather than averaging them.
- He always pairs a base-case valuation with a pessimistic case built by cutting the growth assumption, and calls the resulting lower figure the margin of safety, as demonstrated on Adobe (\$613 base versus \$498 pessimistic).
- The same model produces both buy signals (Amazon, Alphabet, Adobe) and clear no-signals (NIO, priced 30-380 percent above his intrinsic value).

depending on the video), showing the discipline is applied consistently rather than used only to justify stocks he already likes.

- For turnaround situations like Disney, he modifies one input — annualizing only the two most recent quarters of free cash flow instead of using a trailing-twelve-month figure — because older quarters still reflect the pre-turnaround run rate.
- His buying rule, stated repeatedly, is to purchase only below his calculated intrinsic value, with the size of the discount he demands rising for positions he already holds heavily or for businesses he judges harder to predict.

Try this

Khoo's own instruction, demonstrated on Adobe, is to build two versions of any valuation before acting on it: a base case using the growth rate you actually believe (or the analyst consensus you're using), and a pessimistic case built by materially cutting that growth assumption — he halves it in his own example — and to treat the resulting lower number, not the base case, as your real margin-of-safety threshold before buying.

CHAPTER 6

Portfolio Construction

In this chapter: how a position that has passed the screen and the valuation test in Chapters 4 and 5 actually gets bought — in what size, in how many pieces, alongside what else, and what gets deliberately left out.

6.1 Why he never buys all at once

Once a company clears his quality screen and looks cheap enough to buy, Khoo treats the purchase itself as a separate decision with its own discipline. He states the rule plainly and repeats it, in close to the same words, across years of videos: as an investor you never go all in at one time. Given a large lump sum to invest, he says the same rule applies regardless of how much conviction he has in the pick — you always buy in stages over a period of time rather than all at once.

The reasoning he gives is consistent: nobody, himself included, can pick the exact bottom of a decline, so wise investors buy their best companies in stages and average into the position rather than betting the whole allocation on one entry price. Averaging in this way means that even if a sell-off continues after the first buy, the position's average cost can still land above the eventual low — or, if the price never falls further, the investor has already captured most of the position at a reasonable level. He frames the alternative

— one full-size purchase at a single price — as a bet on a level he has no way of confirming in advance.

Editor's note — averaging-in versus a limit order at one price

The mechanical difference between "buy in stages" and "buy once" is that the first method trades certainty of entry price for reduced regret risk. A single lump-sum buy either gets the best price available in the whole episode or one that looks bad in hindsight; a staged buy guarantees an average somewhere in the middle of whatever range the price travels through while the tranches are being filled. It is the same logic behind a dollar-cost-averaging schedule (discussed in 6.6), applied here to a single stock over a shorter, price-triggered timeline rather than a fixed calendar one.

6.2 The tranche procedure, in his own numbers

Where he gives specifics, the procedure has a recognizable shape across many separate examples: split the intended position into three or four pieces, and buy each piece at a pre-identified price level rather than on a calendar schedule.

The trigger he most often names is a percentage decline from a recent high. Working through a hypothetical during a market sell-off, he says of a hundred dollars he intends to invest, he might put in twenty-five now — roughly a quarter — and buy more if the price falls to a bigger discount. In a later video he generalizes this into an explicit rule: add another tranche of investment every time price drops a further 10 percent from the high, rather than ever going all in. Elsewhere he states the same quarter-sized rule of thumb directly: a further quarter position on each additional 10 percent decline, continuing until the full position is built.

Alongside the percentage-decline trigger, he also builds tranches around support levels he marks on the chart in advance. Working a real example on Facebook during its 2018 crash, he describes putting in about a third of an intended \$10,000 allocation immediately, with the next tranche triggered if

price breaks to the next support level, and the final third at the level after that. He gives the same pattern for other names: for Bank of America he names three specific price levels — \$27.70, then \$26 to \$27, then \$23 — as the points at which each of three or four tranches would be bought; for Meta he names four levels (\$541, \$496, \$453, \$414) and states the rule behind them directly — he always sets three to four buy levels because he never buys a full position at once, always averaging in. For an intended 100-share position he describes buying half at the first support level and the other half at the next, and in a separate video describes a quarter-position-at-a-time version of the same idea. He also gives a much finer-grained version of the rule in one video: buying toward a target allocation roughly 1 percent of the portfolio at a time — a smaller increment than the quarter- or third-based examples elsewhere, and the book reports both scales rather than picking one.

He extends the same logic to names he trades in size over years rather than weeks: he says he builds positions in companies like Amazon, Alphabet, and Microsoft gradually, adding tranches when the stock is undervalued and technically retraces to a support level, rather than buying all the shares at once. He does treat the rule as conditional on the trend still being intact, not something to apply blindly into a collapsing chart: with Alibaba during its 2022 delisting scare, he says he would normally add at a support level, but with every support broken he declined to add during the downtrend, because a broken trend "keeps going lower" — a real exception to the averaging-down instinct, stated in his own words.

Editor's note — a real case where staged buying beat a single entry

He backs the general claim with one historical test rather than only anecdote: applying the 10-percent-drop averaging rule through the 1973–74 bear market, he shows the resulting average cost would have broken even about seven months after the market's eventual bottom, versus roughly seven years for an investor who had put the whole sum in at a single point before the decline. He also points to Berkshire Hathaway's purchase of Coca-Cola shares, which took Buffett's firm seven years to complete, as an illustration that building a serious position is "a marathon rather than a single lump-sum buy". Both examples are about a specific instrument over a specific historical window, not a claim about every stock in every period — a distinction worth keeping, since a strategy that helped in a multi-year secular bear market does not automatically transfer to a sharp V-shaped one.

6.3 Position caps and the minimum-holdings rule

Separately from how a position is built, Khoo states rules about how large any one position, and any one country's exposure, is allowed to become.

On single-stock size, his most frequently repeated figure is a 5 percent ceiling: he says his position-sizing rule is to never allocate more than 5 percent of his portfolio to any single company, no matter how great the business. He demonstrates the rule as a live decision rather than only a stated number — declining to add to Alibaba despite liking its chart because the position was already at what he called his maximum allocation, given at 5 percent in one telling and about 6 percent in another, closer to the same period. Elsewhere he gives a looser version of the same cap tied to portfolio size rather than a single fixed number: capping position size so that no stock exceeds roughly 10 percent of a portfolio built around ten holdings. The book reports these as the range he has actually stated — 5 to 10 percent depending on the video — rather than resolving it to one figure he never picked himself.

On the number of positions held at all, he is more consistent: hold a minimum of eight to ten stocks, he says in several videos, so that no single

company can sink the whole portfolio. In one of these he ties the minimum directly to the per-position cap: eight to ten stocks so that each one accounts for at most about 10 percent of the portfolio. He also gives an upper bound on the same range — not more than twenty or twenty-five names, because beyond that it becomes too hard to keep track of each one, though a separate video puts his own comfortable ceiling at around forty. Describing his own approach by name, he calls it "concentrated diversification" — a minimum of ten stocks, allowing up to twenty, thirty, or forty, with ten to thirty as "good enough" given the time it takes to actually monitor each holding. In the same video he contrasts this with two reference points he attributes to other investors: Warren Buffett running thirty to forty stocks ("concentrated diversification" by his description), and Charlie Munger running as few as five ("super concentrated").

On country and sector concentration, he states a 20 percent ceiling on any single emerging market — China, India, or otherwise — regardless of how attractive it looks. On sector correlation within a portfolio of concurrent positions, he gives a distinct rule aimed at trading rather than long-term holdings: no more than two positions in the same sector or industry at once, so that positions are not effectively duplicating the same bet.

Editor's note — a stated cap is a ceiling, not a target

Notice the caps above describe upper limits, not recommended sizes. A 5 percent maximum on a single stock does not mean every position should be built to 5 percent; it means a position is not added to further once it reaches that level, as he demonstrates with the Alibaba example above. The distinction matters for a reader trying to reverse-engineer a target allocation from a stated maximum — the two are not the same number, and he does not give one that pins down the other precisely.

6.4 The recurring sector-avoidance pattern

Across many separate videos, spanning several years, Khoo names the same small set of sectors he says he does not hold as long-term investments — a pattern consistent enough, and repeated across enough unrelated occasions, that it functions as a standing rule even though he rarely frames it that way in any single video.

Energy is the sector named most often. He says he does not really buy energy stocks as long-term investments because he finds the sector unpredictable and highly competitive, and in another video states he has zero exposure to energy for the same reason, along with real estate, because both have historically underperformed the S&P 500 given low profit margins, high cyclicity, and unpredictable cash flows. He is careful, in multiple tellings, to draw a line between investing and trading here: he does not buy energy names for the long-term book, but says he may trade them occasionally with options as a separate, shorter-dated bet — a hedge worth preserving, since it means the avoidance rule is scoped to the no-stop-loss investing book, not to his trading activity as a whole.

Alongside energy, he names a consistent set of other categories he avoids as investments: industrials, utilities, materials and commodity stocks, and separately, auto companies — both electric and legacy manufacturers — along with airlines and shipping. His stated reasoning for the group is the same each time: these are cyclical businesses whose revenue and profits swing heavily with the broader economy, which he contrasts with the more predictable, moat-protected businesses his Chapter 4 screen is built to find. He does acknowledge, in the same breath, that other investors profit from cyclical sectors — this is presented as his own avoidance rule, not a claim that the sectors are universally a bad trade.

Small-cap stocks get the same treatment for a related but distinct reason — risk rather than cyclicity. He says he does not buy small-cap companies because he considers them too risky, preferring large, dominant businesses he describes as "impenetrable," bought at a discount. He does make one

disclosed exception to the individual-name avoidance: rather than picking a small-cap stock, he buys the small-cap growth ETF VBK to take a shorter-to-medium-term position on the category as a whole catching up, without picking a single company within it. In a later portfolio disclosure, that same VBK position appears as part of what he describes as roughly 46 percent of his book held outside mega-cap AI and technology names — evidence that the sector-avoidance pattern applies to individual stock selection within these categories, not to all exposure to them.

Editor's note — a cyclical sector, illustrated

Airlines are a clean real-world case of the pattern Khoo describes. An airline's costs are dominated by fuel and labor, both of which move against the business in a strong economy (fuel demand rises, labor gets scarcer), while its revenue is dominated by discretionary travel spending, which collapses first in a downturn. The result is a business whose margins swing from thin profit to outright loss across a single economic cycle largely outside management's control — the mechanical reason a "moat" screen like the one in Chapter 4 tends to exclude the sector before cyclicity is even named as a separate criterion.

6.5 Dollar-cost averaging as the passive alternative

Distinct from tranche-buying a single stock at support levels, Khoo describes dollar-cost averaging (DCA) as a separate, calendar-based method aimed mainly at index and ETF positions rather than individual companies. He defines it consistently: invest a fixed dollar amount at regular intervals — his worked examples include \$2,000 every six months, \$5,000 every year, or \$10,000 every year — regardless of the price on the day. He stresses that for the method to work, the dollar amount has to stay fixed and consistent once chosen; changing it partway defeats the purpose. The mechanical benefit he cites is that a fixed sum buys fewer shares when the price is high and more

shares when it is low, so the resulting average cost lands somewhere in the middle of the range — never the top, but also never the bottom.

He is explicit about where he thinks the method belongs and where it does not: DCA should be used only on an index or ETF he is confident will keep rising over the long run, never on an individual company, because an individual company can go out of business entirely while an index cannot. He describes his own long-term portfolio as run this way — selecting companies he holds like Warren Buffett and adding to them every few months — but adds a candid qualifier about his own preference: dollar-cost averaging is not his favorite strategy, he says; it is simply the simpler one, and what he personally does day to day is closer to trend-following.

He also links the method to timing. Asked when the best time is to start buying an index ETF, he says a person can buy at any time because the index tends to rise eventually, though the best entries come when the market is temporarily down. Separately he states his general operating rule for the long-term book as staying invested at all times, since no one can know in advance which year will be strongly up or down, treating temporary drops as buying opportunities rather than realized losses provided the underlying holding is not sold.

6.6 Rebalancing, and his own reservation about it

For a fixed multi-asset allocation, Khoo describes an annual rebalancing routine. Working a specific example, he lays out a passive portfolio split 30 percent US stocks (SPY), 40 percent long-term bonds (TLT), 15 percent intermediate bonds (IEI), 8 percent gold (GLD), and 8 percent commodities (DBA), to be rebalanced once a year back to those original target percentages. He describes the mechanics plainly: rebalancing means selling whatever has grown to be overweight and buying whatever has fallen to be underweight, restoring each holding to its target share. He works the arithmetic through a concrete case: after a year of growth to \$137,000, US stocks have drifted from a 24 percent target to 28 percent of the account, so roughly \$4,300 of

SPY gets sold and the proceeds moved into TLT to bring stocks back down to target.

He is candid about the trade-off passive rebalancing produces. It assures a portfolio will probably never lose very much in any single scenario, he says, but by the same mechanism it also assures the portfolio will never make a lot, because a strong-performing asset is continually trimmed to fund a weaker one. He offers, in the same video, an active alternative he says he prefers for himself: trend-follow each asset in the multi-asset mix separately — long the ones in an uptrend, short the ones in a downtrend — with no rebalancing back to fixed weights at all.

That preference for trend over mechanical rebalancing resurfaces later, more pointedly, in a video where he criticizes the standard fund-manager version of the practice directly: selling winners to buy underperformers, in his view, causes underperformance rather than improving it — a sharper statement than his earlier, more neutral description of the trade-off, and the book notes the shift in tone rather than treating the two statements as saying exactly the same thing.

What he doesn't say about this

Khoo does not reconcile the different single-stock caps he has stated across videos — 5 percent in several tellings, roughly 6 percent in a live example, and up to 10 percent in a portfolio built around ten holdings — into one number he says he actually follows today. He also does not state a single rule for how the tranche triggers relate to each other: some examples use a fixed percentage-decline trigger (10 percent from the high), others use chart-based support levels identified in advance, and he never states in any card in this archive which of the two he would use when they disagree — for instance, when a marked support level sits at a 15 percent decline rather than a clean 10 percent one. He does not give a single stated cap for total exposure to the sectors he avoids as a group (energy, industrials, utilities, materials, autos) the way he does for a single emerging market at 20 percent — only that he holds

close to none of them individually. Nor does he address how the 8-to-10-stock minimum and the "up to forty" ceiling interact with the 5-to-10-percent single-position cap: a forty-stock portfolio with an average position near 2 or 3 percent sits well under any of his stated maximums, but he never states whether that many names is still consistent with the "concentrated diversification" he says he personally prefers.

Chapter summary

- He states, across many separate videos and years, that he never buys a full position all at once — he buys in stages, and repeats this as a general rule regardless of conviction in the pick.
- His tranche triggers take two forms he does not fully reconcile: a fixed percentage-decline rule (commonly a further 10 percent drop per tranche), and pre-marked chart support levels, illustrated with real price levels for Bank of America and Meta.
- He backs the staged-buying approach with one historical test — the 10-percent-drop rule through the 1973–74 crash broke even in about seven months versus roughly seven years for a single lump-sum entry — and one real-world case, Berkshire's seven-year build of its Coca-Cola position.
- His stated single-position cap ranges from 5 to 10 percent of the portfolio depending on the video, demonstrated live when he declined to add further to an already-maxed Alibaba position.
- He consistently states a minimum of eight to ten holdings to avoid any one company sinking the portfolio, with stated upper bounds ranging from twenty-five to forty depending on the telling.
- Across many videos over several years he states he avoids energy, industrials, utilities, materials, autos, and small-caps as long-term investment categories — while explicitly carving out occasional options-

based trades in some of these same sectors as a separate activity from his investing book.

- He defines dollar-cost averaging as fixed, regular purchases into an index or ETF he trusts to rise long-term, and states this method should never be applied to a single company that could go out of business — while noting it is not his personally preferred strategy, only the simpler one.
- For a fixed multi-asset mix he describes annual rebalancing back to target percentages, worked through real arithmetic, but states a preference for trend-following each asset separately instead, and later criticizes standard fund-manager rebalancing as, in his view, a cause of underperformance.

Try this

He gives a concrete, repeatable version of the tranche exercise: take a company you'd want to own, and rather than picking one entry price, set three or four buy levels in advance — for example, spaced at each further 10 percent decline from the current price, or at the next few chart support levels below it — before deciding how much to commit to each one.

CHAPTER 7

Trade Management for Investors: When (Not) to Sell

In this chapter: why the investing book has no stop loss and never gets one, what actually does trigger an exit when price alone doesn't, and the honest record of Khoo getting this wrong in both directions — holding a fraud-plagued healthcare giant longer than he now seems fully at peace with, and selling Facebook and Nvidia far too early, at a quantified cost he states himself.

7.1 The rule restated: price falling is not a reason to sell

Chapter 2 established the spine of the two-book architecture: no stop loss on the investing book, mandatory stop loss on the trading book. This chapter returns to that rule from the exit side specifically — not whether a stop loss exists, but what does the work a stop loss would otherwise do, once price alone is taken off the table as a sell signal.

He states the principle at its most direct: you sell an investment not based on what happens to the price, but only when the fundamentals deteriorate and the reasons you bought are no longer valid. He restates the same idea as a trigger rather than a philosophy — the sell trigger for an investment is the moment the company fails his criteria, when the fundamentals change, and

that is the point you get out. Asked directly whether a falling price should worry a long-term holder, he answers by relocating the question entirely: the decision should turn on whether the underlying business is still growing, still making money, and still has a long runway — not on short-term price action.

He names the psychological trap on the other side of this rule too. Most amateur investors never sell a losing position because they fear locking in the loss, telling themselves it's "only a paper loss" until the day they actually sell — which he calls deluding themselves. The no-stop-loss rule is not a license for that kind of denial. It's a redirection: instead of monitoring price, monitor the business. Chapter 2's mirror-image rule — average down as price falls, provided the position already cleared the quality-and-valuation screen — is the buying half of this same logic; this chapter is about the selling half.

Editor's note — why "no stop loss" still needs an exit rule

A stop loss is a mechanical, price-triggered exit that requires no ongoing judgment once it's set. Removing it doesn't remove the need for an exit rule — it moves the trigger from a number on a chart to a judgment about the business, which is a harder thing to monitor and a much easier thing to rationalize away. This is the central tension this chapter documents: Khoo's stated rule is judgment-based and, by his own later admissions, judgment is exactly where he has gotten it wrong — both by waiting too long to act and by acting too soon.

7.2 What actually triggers a sale

Across several videos he gives a more granular account of what counts as a legitimate reason to sell, and it's narrower than "the stock went down." Step three of his own investing framework names three conditions: the company's fundamentals deteriorate, it is no longer a good business, or the price becomes overvalued and turns into a downtrend. He adds the qualifier that a good company genuinely can become a lousy one, and an uptrend genuinely

can turn into a bear-market downtrend — the rule isn't static optimism, it allows for real deterioration.

He gives a fuller list elsewhere, describing three reasons to sell in order. Needing the cash — to spend on something like a house or a car, or to redeploy into a more undervalued opportunity — is one legitimate reason, independent of the business's health. Extreme overvaluation is the third: he defines "extreme" as the stock trading more than 100 percent above his calculated intrinsic value, at which point he slowly takes profits rather than exiting all at once. Elsewhere he gives a tighter number for the same idea — he likes to sell at least 20 to 30 percent above intrinsic value so he feels he's getting a good deal — and a looser one, describing the threshold as "egregious" overvaluation, roughly double intrinsic value, citing his own partial exit from Nvidia at that point while still holding about 40 percent of the original position and letting it run. The numbers move between videos — 20-30 percent, 100 percent, "roughly double" — which the book reports as the range he's actually stated rather than collapsing into one figure.

He is specific about what does *not* meet this bar. Most temporary bad news — product recalls, lawsuits, PR scandals — does not change his holding, because none of it touches the durable economics of the business. The one exception he draws a hard line around is accounting or fraud scandals, which he treats as an immediate sell-or-avoid signal, citing Super Micro Computer as a live example and Enron and WorldCom as historical cases where accounting fraud took a company to zero. A management execution mistake — he classifies Estée Lauder's 60 percent decline this way, tracing it to COVID disruption in Asia travel retail plus an inventory over-order — is treated as a hold rather than a sell, because he judges it a fixable operating error rather than structural moat deterioration. The distinction he's drawing, across all of these, is between noise that doesn't touch the moat and damage that does.

Editor's note — the fraud carve-out and why it's structurally different

The reason a fraud scandal gets treated differently from ordinary bad news is that fraud attacks the reliability of the financial statements themselves — the inputs every valuation in this book depends on. A disappointing quarter or a lawsuit changes the numbers you're valuing; a fraud allegation calls into question whether the numbers were ever real. Enron's 2001 collapse is the textbook case: a company reporting healthy earnings turned out to be using off-balance-sheet entities to hide billions in debt, and once the fraud surfaced the stock went from about \$90 to worthless in under a year, because there was no longer a trustworthy set of financials to value at all. That's the category Khoo is drawing a hard line around, distinct from the fixable, survivable bad news he otherwise holds through.

Two of his stated exit rules are worth holding side by side because they sit at different distances from certainty. When he does decide to exit, he avoids selling into the low — nothing falls in a straight line, so he waits for a relief rally toward a resistance level before getting out, whether he's exiting a rejected business or reducing a bear-market position. And when trimming a winner near a suspected top, his exit is explicitly discretionary and gradual: he never sells an entire position at once, because no one can reliably call the top — the same scaling-out logic Chapter 10 documents on the trading side, applied here to an investment that has run further than expected.

7.3 The honest override: his self-named biggest mistake

Adam Khoo has, on camera, named his own single biggest recurring investing mistake, and it is the opposite of holding too long — it's exiting good companies too early and trying to time a re-entry. Asked directly about it, he says his biggest mistake over the years has been jumping in and out of great companies, and that with a genuine high-growth monopoly business the right approach is to never sell at all, holding for decades — he names Facebook, Amazon, Alphabet, and Microsoft as the class of business this applies to. He

repeats the same self-assessment in a separate video: he admits he used to sell great stocks — Apple, Facebook, Amazon, Nvidia — and try to time the re-entry, and now believes he would be far richer had he simply held them for the last ten to fifteen years without touching them.

He backs the admission with an argument for why selling winners is structurally costly beyond the specific stocks named. Citing an "80/20" pattern — roughly 20 percent of a portfolio's holdings generating about 80 percent of its total gains — he uses it to argue directly against selling winners early, since a portfolio's long-run return depends disproportionately on not being out of the handful of positions that end up doing the compounding.

The two disclosed cases below are where he puts numbers on that mistake.

7.4 The Facebook/Meta case: sold too early, quantified

Khoo gives one of the more specific self-disclosed cost figures in the whole corpus describing his own history with Meta. He recounts buying Facebook very early after its post-IPO price drop, then selling too early — he calls himself "dumb enough to sell it very early" — and having to buy back in at much higher prices afterward. He gives the actual numbers: he first bought at \$19, sold around \$40-50 thinking he'd banked a 100 percent profit, then rebought over the following years at \$100, \$150, \$200, and \$300. He states that he now holds over \$650,000 in Meta as a result of the rebuys. His own stated conclusion from the episode is direct: holding for the long run as an investor produces bigger returns than getting in and out for short-term profit as a speculator, and he draws that lesson explicitly from his own Facebook/Meta history rather than as an abstract rule.

This case pairs directly with his general long-term-holding exit rule, stated in the same video: for an investor who believes in the company, the rule is to hold and track intrinsic value, only considering an exit once price is more than 100 percent above intrinsic value — not to exit on price action alone. He contrasts that explicitly with a separate rule he gives for a purely speculative post-IPO trade, where the exit is mechanical — sell half once price closes

below the 20-day EMA, sell the rest once the 20 crosses below the 40 — a rule he reserves for speculation, not for a position he actually believes in as a business. Read against the Meta history, the 100-percent-above-intrinsic-value threshold looks like the rule he wishes he'd been running in 2012, rather than the "up 100 percent, take the win" instinct he says he actually acted on.

7.5 The Nvidia case: two disclosed round trips, one self-description as "a bloody idiot"

The Nvidia history is documented across at least two separate videos, both self-disclosed, and both describe the same shape of mistake: selling a position he judged overvalued, only to buy it back later at a materially higher price.

The first account: he first bought Nvidia in November 2022 at \$15 (split-adjusted), sold it at \$48, then bought back in around \$530-550 — a round trip he narrates by calling himself "a bloody idiot" for selling and having to re-enter much higher, noting the sequence left his resulting average cost basis at about \$60 instead of the \$15 he originally paid. A second, separately dated account gives different specific numbers for what appears to be the same general pattern: he describes first buying near \$150 in late 2022, selling all shares at \$380 against a \$200 intrinsic-value estimate at the time, then buying all shares back at an average of about \$490 once he had revalued intrinsic value near \$400. The exact prices differ between the two tellings — a reminder, in line with the book's discipline elsewhere, that self-reported trade histories told across different videos are not always internally reconciled to the dollar — but the shape of the mistake he's describing is consistent across both: selling a great business into strength, and paying a much higher price to get back in once conviction returned.

He gives his own justification for why buying back at a higher price than he sold isn't itself a contradiction: intrinsic value is not a fixed number, it rises as a growing business keeps growing and falls as a deteriorating one deteriorates, so a past sale price shouldn't anchor a present buy decision. That justification defends the *re-entry* as rational. It does not, in his own framing,

defend the original *exit* — which is the half of the round trip he separately calls being "a bloody idiot" about.

Editor's note — what "selling on valuation" costs when growth compounds fast

The mechanism behind both round trips is the same one behind the Facebook case: for a business whose earnings are compounding quickly, "overvalued relative to today's intrinsic value" and "still cheap relative to where intrinsic value will be in two years" can both be true at once. Selling on the first read and buying back on the second means paying the round-trip transaction cost of being right twice in a row about direction, while giving up the compounding that would have happened between the two trades for free. It's the same trade-off value investors describe when discussing why Charlie Munger argued for extreme portfolio concentration and long holding periods in fast-compounding businesses — the tax and friction cost of trading in and out of a winner is real, even when each individual valuation call turns out to be directionally correct.

7.6 The UnitedHealth case: a long, escalating hold, and an eventual exit he frames as discomfort rather than valuation

UnitedHealth is the clearest documented case in the archive of a multi-year, high-conviction hold running through a deep and prolonged drawdown — and it is worth tracing in sequence, because the sequence itself is the finding.

Khoo held and repeatedly added to UnitedHealth for years, describing it in 2019 as one of several holdings priced below his calculated intrinsic value that he held through that year's bearish consensus, and adding to it again in 2021 as short-term issues left an otherwise great company undervalued. Through 2023 and 2024 he continued restating rising intrinsic-value estimates against the market price — \$470, then \$548 against a \$531 price he called slightly undervalued and disclosed as a large position he was actively adding

to. He named it repeatedly among his preferred holdings for its scale-driven, network-effect moat.

Then the stock fell hard — down roughly 60 percent from its highs by mid-2025 — on a mix of rising medical-utilization costs and, more seriously, fraud allegations. Through the bulk of that drawdown his response followed the investing-book playbook exactly as stated in earlier chapters: he continued to frame the decline as within historical range, pointing to prior UnitedHealth drawdowns of 56, 60, and 76 percent that each fully recovered, and used that precedent to argue the then-current drop was a normal correction rather than a crisis. He kept revaluing it, arriving at intrinsic value estimates in the \$412-746 range across several methodologies, and his team deliberately chose a conservative \$570 figure against a market price of \$380. He disclosed actively buying more of it through this stretch, calling it a high-quality company undervalued because of short-term bad news, while explicitly saying he could not predict exactly when it would turn. He also disclosed, in the same period, that his own analyst team downgraded UnitedHealth's moat rating — overriding an AI tool's 9-out-of-10 "wide moat" score to classify it as narrow-moat instead, because government regulation restricts the premiums it can charge.

The sequence ends with an exit, and he narrates the reasoning for it plainly rather than folding it into the valuation story. He discloses selling all of his UnitedHealth shares for only a slight profit after the fraud allegations surfaced, stating that he still believes the company is "too big to fail" and will likely recover — but that he personally isn't comfortable holding a business with what he characterizes as a culture of alleged systemic fraud. He immediately reinvested the proceeds into Novo Nordisk, HCA Healthcare, Pool Corporation, and ASML.

Read against Section 7.2's stated sell rules, the UnitedHealth exit is a real-world instance of the fraud carve-out set out in Section 7.2 — not a valuation call — and he says so directly: he isn't confident the alleged fraud disqualifies the company from ever recovering, only that he isn't personally willing to hold through it. What the book flags honestly is the gap between the sell and

the fraud allegations surfacing: the record shows him continuing to add to the position, restate rising intrinsic-value estimates, and cite historical drawdown precedent for a considerable stretch after the fraud allegations and the moat downgrade were both already public and already reflected in his own videos, before eventually exiting for only a slight profit on a stock that had, by his own account, fallen roughly 60 percent from its highs. He never states in any video gathered here that he held UnitedHealth too long, and the book does not put that judgment in his mouth — but the documented sequence is one where the moat downgrade and the fraud allegations both preceded the eventual exit by enough real time, and enough continued buying, that a reader comparing this case to the Facebook and Nvidia cases in Sections 7.4-7.5 can reasonably see it as the mirror-image mistake: where those two show selling too fast, UnitedHealth shows a hold that, by the numbers he himself reports, gave back a large share of its gains before he acted.

7.7 Why drawdown alone is not treated as an exit signal

The UnitedHealth case only makes sense against the backdrop of how large and how ordinary Khoo treats a drawdown to be for even a well-chosen holding — material he laid out at length in a video made specifically to explain his own portfolio's underperformance.

He discloses that his portfolio was down 11.05 percent over the first three months of the year in question, a slightly bigger drawdown than the S&P 500's 9 percent over the same stretch, attributing the gap to his heavier weighting in communication-services and consumer-discretionary names hit by AI-disruption fears, versus an index propped up by energy, materials, utilities, and consumer-defensive sectors he generally avoids. Zoomed out, he reports his portfolio gained 267 percent over the prior seven years against 175 percent for the S&P 500 — but with drawdowns of 36 percent in the 2020 COVID crash, 26 percent in the 2022 rate-hike bear market, and 19 percent in the 2025 tariff sell-off along the way.

He backs the point that large drawdowns are a normal feature of even the best long-run records, not a sign of error, with a set of cited outside statistics rather than only his own numbers. He cites Warren Buffett's Berkshire Hathaway compounding roughly 4,000 percent since the 1990s against the S&P 500's 1,200 percent, while enduring drawdowns of 51 percent in the late 1990s and 54 percent during the financial crisis. He cites Peter Lynch's 13-year run managing the Magellan Fund — a 604 percent gain against the S&P's 223 percent, a 29 percent compound annual growth rate — while enduring yearly drawdowns of 56, 27, 42, and 32 percent, each larger than the S&P's decline in the same period. He pairs that record with a statistic about the fund's own investors rather than the fund itself: more than half of retail investors in the Magellan Fund lost money over that same 13-year run, despite it being one of the best-performing funds of all time, because most bought in after a rally and sold in panic after the subsequent drawdown, repeating the cycle.

He cites two further outside sources to generalize the point beyond individual examples. Citing a Morgan Stanley research note by Michael Mauboussin and Callahan, he states the median maximum drawdown across 6,500 US stocks from 1985 to 2024 was 85 percent — and that even the six biggest wealth-creating companies over that period (Apple, Microsoft, Nvidia, Alphabet, Amazon, and Exxon Mobil) had an average maximum drawdown of 80 percent. He also cites Wes Gray's article "Even God Would Get Fired," which found that even a portfolio built with perfect hindsight foresight of the five best-performing stocks over the following five years would still pass through a 76 percent drawdown and five separate 30 percent drawdowns on its way to beating the market. His stated conclusion from all of this material is explicit: a drawdown is not evidence you're wrong or doing anything badly — it is a structural feature of owning equities at all, one that happens even to investors who own exactly the right companies.

He gives one further, single-stock illustration of the same point with Amazon, citing its 95 percent drop from 1999 to 2001, followed by separate drawdowns of 56 percent in 2022 and 33 percent twice in 2024 and 2025, all

while the stock still compounded to a roughly 258,000 percent total gain against the S&P 500's much smaller return over the same span.

Editor's note — reading the drawdown-tolerance material against the UnitedHealth case, not as a contradiction of it

These two pieces of material — "drawdowns this large are normal and no reason to sell" and "he eventually sold UnitedHealth after a roughly 60-percent drawdown" — are not presented anywhere in the source material as in tension, and the book does not force them into one. His stated distinction, consistent across both, is that price alone (a drawdown, however large) is not a sell signal, but a change in the underlying business — and he explicitly places an alleged fraud culture in that second category, separate from ordinary price decline. Whether the moat downgrade and fraud allegations should, by his own stated rules, have triggered an earlier exit than the one he actually made is a judgment this book leaves to the reader; the material simply documents the dates in sequence so that judgment can be made.

What he doesn't say about this

He never states, anywhere in the material gathered for this chapter, a maximum number of years or a maximum percentage decline he'll tolerate before a "hold through the drawdown" position gets automatically reassessed — the UnitedHealth sequence shows him continuing to add and revalue for an extended stretch after both the moat downgrade and the fraud allegations were already public, without ever stating a rule for how long that reassessment window should be. He does not reconcile the different overvaluation thresholds he's given for extreme overvaluation — 20-30 percent above intrinsic value in one video, 100 percent in another, "roughly double" in a third — into one figure, and no video in the archive puts the three side by side. He never revisits the Facebook or Nvidia sales to ask whether a monitoring rule could have caught the mistake earlier, framing both instead as lessons learned in hindsight rather than process failures he's since patched

with a new procedure. And while he discloses his own year-to-date and multi-year portfolio drawdown figures candidly, he does not disclose a comparable running tally of exactly how much the Facebook and Nvidia early sales cost him in dollar terms beyond the specific buy/sell prices stated — the reader can approximate the opportunity cost from the numbers given, but he does not state a total himself the way he does, for example, when estimating Carl Icahn's opportunity cost from selling Apple early.

Chapter summary

- The investing book has no price-based stop loss; the exit signal is a change in the business — fundamentals deteriorating, the company no longer being a good business, or price becoming extremely overvalued — never price decline by itself.
- His stated overvaluation thresholds for a sell vary by video — 20-30 percent above intrinsic value, 100 percent above it, or "roughly double" it — and even then he scales out gradually rather than exiting all at once.
- Most bad news (recalls, lawsuits, PR scandals, a fixable management mistake) does not trigger a sale; an accounting or fraud scandal is the one category he treats as an immediate exit signal, citing Enron and WorldCom as the historical warning.
- He names his own biggest recurring mistake as jumping in and out of great companies and trying to time re-entries, and states he'd be far richer having simply held.
- He discloses selling Facebook/Meta far too early after an early gain, then rebuying at \$100, \$150, \$200, and \$300 versus his original \$19, ending with over \$650,000 in the position.
- He discloses two Nvidia round trips — selling near \$48 and rebuying near \$530-550 in one account, selling at \$380 and rebuying near \$490 in another — calling himself "a bloody idiot" for the exit in the first.

- He held and kept adding to UnitedHealth through a roughly 60 percent drawdown, a moat downgrade, and fraud allegations, before eventually selling the entire position for only a slight profit, citing discomfort with an alleged fraud culture rather than a valuation call.
- Large drawdowns are a normal feature of even the best long-run records, not a signal of error — a claim he backs with Buffett's, Lynch's, and Amazon's own drawdown histories and with outside research on typical maximum drawdowns across thousands of stocks.

Try this

Using his own stated test, write down the specific fundamental condition that would have to change for you to sell each of your current long-term holdings — not a price level, a business condition, following his own framing that the sell trigger is the company failing its original criteria, not the stock falling. Then, separately, note what price would put each holding in his "extreme overvaluation" zone using the more conservative end of his own stated range — 20 to 30 percent above your own intrinsic-value estimate — so you have both triggers written down before either one is tested by a real drawdown or a real rally.

CHAPTER 8

Reading the Chart

In this chapter: the small, repeatedly reused toolkit Khoo brings to any chart — trend read from a handful of moving-average pairs, support and resistance treated as zones rather than lines, and the short list of candlestick patterns he uses to time entries inside all of it.

8.1 Trend first, everything else second

Khoo's technical method does not start with a pattern or an indicator; it starts with a question — is this an uptrend, a downtrend, or neither — and almost everything else in this chapter is a way of answering that question more precisely, or of deciding what to do once it's answered. He is explicit that price structure itself is the first read: a confirmed uptrend shows higher highs and higher lows, and he layers moving averages on top of that structure rather than in place of it.

The moving averages he reaches for are not exotic. Asked directly why he doesn't use a MACD zero-line cross to read trend, he says the 12/26 EMAs behind it are too fast and throw off too many false signals, and that he prefers a shorter pair — the 20 and 40 — for the short-term trend, and a slower pair — the 50 and 150 — for the medium-term trend. That two-speed structure — a fast pair for the near-term wobble, a slow pair for the trend that actually matters for holding a position — recurs across nearly a decade of videos,

from a 2017 webinar through a 2024 breakdown that adds the 200 as a third, slower layer for confirmation, to a 2026 video restating the same 50/150 pairing (or its weekly equivalent, 10/30 weeks) as a technique he says he has taught for over twenty years and shared publicly for over ten.

Editor's note — why two moving-average speeds instead of one

A single moving average has to trade off responsiveness against noise: fast enough to matter and it whipsaws in every chop; slow enough to filter chop and it lags every real turn by weeks. Pairing two averages of different speeds sidesteps the trade-off rather than solving it — the fast one gives an early read, the slow one gives a filter, and treating a crossover between them as a signal (rather than reading either average in isolation) means the signal only fires when the near-term and medium-term pictures actually diverge. It's a standard trend-following construction, not something unique to this method — variants of it appear throughout technical-analysis literature under names like "dual moving-average crossover" — but it's worth naming because it explains why Khoo talks in pairs rather than single numbers throughout this chapter.

8.2 The moving-average toolkit — and its stated variants

He does not use one crossover pair; he uses several, layered by timeframe, and he is consistent that the exact numbers shift depending on the video and the market. For stocks, the recurring short-term pair is the 20 and 40 exponential moving averages: the 20 above the 40 signals a short-term uptrend, the 20 below the 40 a short-term downtrend. The medium-term pair is the 50 and 150 — sometimes simple, sometimes exponential, and he says outright it doesn't make much difference which in the medium term. He also names a 20/50 pairing in the same short-term-trend role elsewhere in the corpus, alongside stochastics and loss-streak estimates that likewise vary by video rather than settling on one number — a documented internal inconsis-

ency the book reports as a range rather than resolving into a single "correct" pair.

He credits the 50/150 technique explicitly to Victor Sperandio's book *Methods of a Wall Street Master*, saying plainly that he did not invent it. He backs it with a specific, if modest, statistical claim: a backtest spanning twenty to fifty years shows the crossover identifying a new bull market with over 90 percent accuracy — not 100. He also names its limits without being asked: the method works well in smooth, gradual transitions and "fails badly" in a rapid, parabolic plunge, because moving averages are lagging indicators that would have a trader selling near the bottom and buying back near the top. He gives his own case as the example — he did not sell during the 2020 COVID crash despite getting a 50/150 downtrend signal, because he recognized the 90-degree drop as exactly that kind of parabolic move where the signal should be overridden. He also notes the method works best on large, liquid names and "doesn't work well with all stocks".

Layered together, he describes a staged entry: enter early on a reversal candlestick at support, add on a cross above the 50-day moving average, add more on a 20/40 crossover confirming the short-term trend, and add the most on the 50/150 crossover with price above the 200 confirming the medium-term trend — accepting a progressively higher entry price at each stage in exchange for more confirmation. The same three-timeframe stack — 20/40 EMA, 50/150, and the 200 all aligning — reappears as his bar for calling a new rally confirmed, alongside a separate requirement that the index close above its 50-day average for at least five straight trading days first.

Editor's note — a forex-specific variant: 18/50/200

In his forex material specifically, the moving-average set is different from the stock convention above: the 18, 50, and 200 (the 18 and 50 exponential, the 200 simple), used together rather than as a single pair. He says his advanced forex strategies use mostly this 18/50/200 set rather than the 6-period average that features in his basic course's impulse-pullback and impulse-pin-bar setups. A clear uptrend by this reading is the 18 above the 50, the 50 above the 200, all three sloping up; a clear downtrend is the reverse stack — 200 on top, then 50, then 18, all sloping down — which he demonstrates on USD/CHF 15-minute candles. This is presented here as the forex variant, not a replacement for the 20/40 and 50/150 pairs used on stocks — he does not reconcile the two conventions across asset classes in the archive, and the book reports both rather than picking one as "the" system.

8.3 A crossover is not a trend change on its own

The single most repeated qualifier in this whole toolkit is that the crossover, by itself, proves nothing. Across roughly a decade of videos — 2016 through 2026 — Khoo states some version of the same two-part test: the 50 has to cross the 150 (or the 20/40, at the shorter timeframe), *and* both moving averages have to change slope in the matching direction, before he'll call it a real trend change. He states the negative case just as often as the positive one: a 50/150 cross with the 150 still sloping up is not a sell signal, and he's shown demonstrating exactly this on-camera — passing on a 50/150 downtrend cross on a Salesforce chart because the 150 (drawn in green) was still sloping upward, and passing on a short-selling setup for the same reason on an earlier chart, noting he "would not act on" a cross the 150's slope hadn't confirmed.

He restates the identical two-condition test for the 200-day average used on its own: price crossing below the 200 is not a confirmed downtrend until the 200 itself starts sloping down — until then, he calls it "the last line of defence" for the uptrend, since price often dips below and quickly reclaims it.

The pattern holds for the reverse signal too — the 200 crossing back up, or the 50 recrossing above the 150, only counts once the slope changes to match. In the most recent card in the archive on this point, from a 2026 video, he states the rule in its most compact form yet: the crossover *and* the slope of both lines have to change direction to match before the signal is valid; a crossover without a slope change is not a valid signal. That is the same test he was demonstrating in 2016 and 2017, restated a decade later in almost the same words — one of the most durable, unrevised pieces of doctrine in the entire archive.

He treats the accuracy of the fully-confirmed signal (crossover plus slope) as strong but not perfect: he cites a backtest showing better than 90 percent reliability for the 50/150 bull-market signal, repeating the "not 100 percent" qualifier each time he gives the number. For higher confidence still — he puts a number on it, 99 percent — he adds two further conditions: the 200-day average also sloping upward, and price breaking a trend-line resistance.

8.4 Support and resistance: a zone, not a line

Khoo's second load-bearing convention is definitional: he explicitly defines support and resistance as *zones* where price tends to meet and reverse, not as precise lines. He gives the demand-and-supply logic behind each — resistance is a zone with an excess of sellers who psychologically feel the price is too high; support is a zone with an excess of buyers waiting below — and states the practical consequence directly: treat the level as a zone with a buffer, because price can overshoot slightly past it or fall short before reversing.

Editor's note — why "zone, not line" matters for anyone trading the level

A single price drawn as a line invites a trader to treat a one-tick miss or overshoot as a failure of the level, when the underlying claim — a cluster of orders sitting in a price range, not at one exact print — never made that promise. Reading a level as a band a few percent (or a few points, on a lower-priced instrument) wide is standard practice across technical trading generally, not something specific to this method; it's included here because it's the frame that makes several of Khoo's other rules — the three-touch test, the broken-resistance-becomes-support principle below — behave sensibly rather than looking arbitrary on an exact tick.

He is precise about how many times a level needs to be tested before he'll trust it. A level connecting only two points he calls a "probationary" resistance — his own term — treated as unconfirmed until it is touched a third time. He applies the identical test to a double top, which he also calls "probationary rather than significant" on only two touches, and states the forex version of the same rule almost verbatim: a level tested once or twice is "potential or probationary," with the third touch acting as confirmation. He applies the same three-touch requirement to support as well as resistance, and shows it inside a live trade example — an O'Reilly Automotive entry where trend-line support "confirmed on three touches" is one of five converging factors behind the trade.

The other recurring convention is that a broken level flips role. He states it as a general principle — support becomes resistance and resistance becomes support once a level is broken and price returns to it — and gives the mechanism: a broken resistance becomes support because the break itself means demand exceeded the overhanging supply, so buyers who missed the level the first time now wait there. He uses this repeatedly in live analysis, from a 2018 stock review where a resistance tested four times finally breaks and becomes the buy level on a bounce candle, through a 2024 S&P call

naming 4169 as strong support precisely because it was former resistance, reinforced by the 50/150 averages and a multi-year trendline.

8.5 Chart patterns he uses — and one he doesn't

Beyond raw support/resistance zones, Khoo names a small set of recurring chart patterns, mostly built on top of the same zone-and-touch logic. The double top is a high, a pullback, and a second high at or slightly above the first that fails to hold — he defines a specific mechanical test for it, closing back below the prior high within three days, and is explicit that the pattern by itself is not strongly bearish; what compounds it is a confluence with an overbought reading, such as stochastics above 80 or price at the upper Bollinger Band. The double bottom is its mirror, and he adds a variant he attributes to observed market-maker behavior rather than to random price action: a "forced" or "false" double bottom, where the second low deliberately breaches the first to trigger retail stop-losses before reversing sharply higher — a pattern he also calls a "bear trap" in later videos and credits, in some tellings, to material from other named traders (Alon Chu, Elson Chu) rather than presenting as his own invention.

One pattern he explicitly rejects: asked about the head and shoulders, he says outright that he does not believe in it — the single clearest statement in the archive of a well-known technical pattern he declines to use, worth recording alongside the ones he does.

A separate consolidation-based pattern recurs specifically in his momentum trading material: an explosive flag breakout, where a stock that has already moved over 100 percent in roughly two months forms a downward-sloping flag, and he buys the breakout above that flag rather than chasing the initial move. He treats a bull flag (or bear flag in a downtrend) the same way in forex — as his primary strategy there, describing it as "surfing" price off the moving averages using the same template on every currency pair he trades.

Editor's note — how a flag differs from a double top or bottom

The patterns in section 8.5 fall into two families that are easy to conflate. A double top or double bottom is a reversal pattern: it marks a level where an existing trend is expected to end and turn the other way. A flag is a continuation pattern: the "pole" is the sharp initial move, and the "flag" is a brief, shallow, counter-sloping pause before price resumes in the same direction as the pole. Reading a flag as though it were a reversal — shorting into the pause because price looks like it's rolling over — is a common beginner error in technical trading generally; Khoo's own framing of the flag as an entry to buy the breakout, not a level to fade, keeps the two families distinct in his own material.

8.6 Candlestick patterns: the five he teaches, and how he stacks them

Khoo's candlestick material is more compact and more consistent than his chart-pattern material — a named set of five patterns, taught together in a single video and reused unchanged across years of live analysis. He frames candlesticks explicitly as an overlay on trend and support/resistance, not a standalone signal: they tell him the day-to-day sentiment inside a trend and let him fine-tune entries, and he states plainly that a candlestick pattern by itself is unreliable unless it appears in the right context and the right location.

The five: a **bullish** or **bearish pin bar** — a small or absent body with a long shadow making up at least two-thirds of the candle's range, most reliable at a support (bullish) or resistance (bearish) level, ideally with the shadow cutting through that level. A **tweezer bottom** or **top** — a large-bodied candle followed by an identical, opposite-colored candle, which combined he calls a "synthetic" pin bar. The **one white soldier** and its mirror, the **one black crow** — a candle that opens beyond and closes beyond the previous day's opposite-colored candle, ideally with a higher high and higher low (or the reverse). The **morning star** and **evening star** — a three-candle reversal where the middle candle gaps and shows indecision, ideally a small body with roughly

equal shadows, and the third candle closes more than halfway into the first candle's range. And the **bullish** or **bearish engulfing** pattern, which he defines more loosely than the textbook version — requiring only that the second candle's body swallow the first candle's body, not the full range including shadows, a simplification he names explicitly as a loosened standard.

His summary rule for all five: go long only when a bullish pattern appears at the support of an uptrend, and go short only when a bearish pattern appears at the resistance of a downtrend. In live use across years of market reviews, the engulfing pattern in particular becomes his default trigger candle for both entries and exits — waiting for a bullish engulfing before adding to a long at a support level, or treating a bearish engulfing at resistance as a reason not to buy or to start taking profits. He is candid, more than once, that the absence of the pattern is itself informative: he holds a long specifically because no bearish reversal candle — no pin bar, no engulfing, no one black crow — ever appeared.

8.7 Stacking the toolkit: confluence

None of the tools in this chapter are meant to be used alone, and Khoo names the practice of combining them: "confluence," which he defines as the point where several independent technical signals — moving averages, trend lines, horizontal support and resistance, Fibonacci retracement levels, divergence, and candlestick patterns — converge on the same price and the same conclusion. He gives an explicit reason confluence works rather than treating it as a superstition: when traders using different tools all read the same level the same way, they all act on it at once, which he calls a self-fulfilling mechanism — the shared read becomes the reason the level holds.

He grades setups by how many of these signals line up: three converging signals is "a pretty good setup," four at once is "excellent". He treats a moving average itself as one confluence signal when price retraces to it and bounces, and is explicit elsewhere that he never uses a single tool in isolation

— Fibonacci in particular is "never used by itself," always checked against a moving-average or horizontal support level before he trusts it. In a worked trade example on PII, he lists out a full confluence stack: a clear uptrend, price bouncing off the 20 moving average, a corrective wave landing exactly on the 61.8 percent Fibonacci retracement, and oversold stochastics — which he summarizes as "all the stars are aligned". He restates the underlying discipline in general terms in a later video: never form a trade thesis from one indicator or pattern alone; build a case from multiple signals, because when several tools say the same thing independently, the probability behind the read is higher.

The same layering shows up in the two chart patterns he trades most, both built from moving averages plus structure rather than from a single line. His primary forex setup, which he calls "surfing," is the bull flag (or bear flag in a downtrend) — a pattern he says he applies with the same template to every currency pair, describing it as literally surfing price off the moving averages themselves rather than off a separate drawn trendline. On stocks, a counter-trend wedge inside an established uptrend — price coiling into a series of lower highs "like a coiling spring" — becomes a breakout entry the moment price clears the wedge's own counter-trend line, which he treats as a second uptrend-continuation entry alongside the plain moving-average bounce.

Editor's note — why "more signals agreeing" is not the same as "higher odds of being right"

Confluence, as Khoo describes it, is a real phenomenon in liquid, widely watched markets: if enough participants draw a 50-day moving average or a 61.8 percent Fibonacci level in the same place, the crowd's own orders can make that level behave the way the tools predicted, independent of any deeper "true" reason price should turn there. What confluence does not do is turn several individually weak signals into one strong one in the statistical sense — moving averages, Fibonacci levels, and trend lines drawn off the same recent price history are not independent measurements, so stacking three of them can still be closer to counting one signal three times than to genuinely triangulating from separate evidence. Khoo does not address this distinction in the archive; the "three signals is good, four is excellent" grading he gives is his own heuristic, not a claim about statistical independence.

What he doesn't say

Khoo never states, in any card in this archive, a single canonical moving-average pair for stock trend-reading — the 20/40, 20/50, and 50/150 figures all recur, sometimes in the same video, without him flagging that the short-term number itself is not fixed. He does not reconcile the stock convention with the separate 18/50/200 forex convention in any video that addresses both asset classes together; a reader has to notice, as this book does, that the two systems are documented separately and never merged. He gives a backtested accuracy figure for the 50/150 crossover ("over 90 percent") repeatedly, but never discloses the exact sample — which index, what date range beyond "20 to 50 years," how ties or marginal slope changes were scored — so the number should be read as his own summary of his own review, not as an independently reproducible statistic. He explains why he rejects the head and shoulders pattern only by asserting it, without walking through a counter-example the way he does for patterns he keeps. And while he names the three-touch rule for both support and resistance, he never states a numeric

tolerance for what counts as a "touch" versus a clean miss — the zone-not-line principle implies some buffer, but he never gives it a number.

Chapter summary

- Trend is read first from price structure (higher highs/higher lows) and then confirmed with layered moving-average pairs — a fast pair for the short-term trend, a slower pair for the medium-term trend.
- For stocks, the recurring pairs are 20/40 (sometimes 20/50) exponential moving averages for the short term and 50/150 for the medium term, reported here as documented variants rather than resolved into one number.
- A crossover alone is never a trend-change signal in his method — both moving averages must also change slope to match the new direction, a test he restates with almost no variation from 2016 through 2026.
- The 50/150 crossover technique is explicitly credited to Victor Sperandeo, backed with a stated (not-100-percent) backtested accuracy above 90 percent, and flagged by Khoo himself as unreliable in fast, parabolic moves.
- Forex uses a distinct 18/50/200 moving-average convention (18 and 50 exponential, 200 simple), kept separate from the stock convention rather than merged with it.
- Support and resistance are defined as zones with a buffer, not exact lines, and a level needs a third touch before he calls it confirmed — his own term for an unconfirmed, twice-touched level is "probationary".
- A broken resistance becomes support (and the reverse) because the break itself proves demand exceeded supply at that price — a principle he applies repeatedly in live trade reviews to project the next level.
- His five named candlestick patterns — pin bar, tweezer, one white soldier/one black crow, morning/evening star, and engulfing — are taught as an

overlay on trend and support/resistance, never as standalone signals, with the engulfing becoming his most-used live trigger candle.

- He never uses one signal alone — he defines "confluence" as multiple tools (moving averages, trend lines, support/resistance, Fibonacci, candlesticks) agreeing on the same price, grading three signals as a good setup and four as excellent.

Try this

Build the same two-condition screen he says he coded himself: scan for stocks where the 20-day exponential moving average is greater than the 40-day exponential moving average (short-term uptrend) and the 50-day simple moving average is greater than the 150-day simple moving average (medium-term uptrend). Pull up ten to twenty results and, for each, check the slope of both averages by eye before assuming the crossover is valid — the qualifier in section 8.3 means the screen only tells you where a crossover exists, not whether the trend change is confirmed.

CHAPTER 9

Setups and Entries

In this chapter: what actually has to line up, in Khoo's own trading framework, before he clicks buy or sell — the confluence of levels, moving averages, and candlestick confirmation he requires, the named setups he reuses across years of trade walkthroughs, and his own repeated admission that none of it works every time.

9.1 One signal is never enough

Khoo states his entry philosophy as a single organizing rule before he ever names an individual setup: he does not trade off one indicator or one level, he trades off confluence — the meeting, merging, or convergence of different technical signals that all anticipate the same price move at the same time. He lists six signals whose convergence he counts toward this: moving averages, trend lines, horizontal support and resistance, candlestick patterns, Fibonacci retracements, and momentum oscillators. He grades setups by how many of these line up — three converging signals is, in his words, "a pretty good setup," and four at once is excellent — and says that in his own trading he usually only takes a trade when at least three or four signals agree simultaneously. Elsewhere he defines confluence more narrowly and specifically for candlestick-driven entries: a candlestick pattern, a trend line, a Fibonacci level, and a horizontal support level all giving the same signal at once.

He gives a mechanical reason confluence works rather than treating it as superstition: when traders using different tools — moving averages, Fibonacci, trend lines — all arrive at the same expected direction, they tend to act on it together, and that concentration of buying or selling is what makes the price actually move the way the signals predicted. He calls it a self-fulfilling prophecy, and separately calls confluence "what professionals do to gain an edge in the markets".

Editor's note — why a self-fulfilling prophecy is not circular reasoning

It sounds suspicious to say a signal works because enough people believe it works, but the mechanism is real and well documented outside Khoo's own material: a round-number level or a widely-watched moving average (the 200-day is the most common example across markets, not specific to his teaching) attracts disproportionate order flow precisely because many independent participants are watching the same chart feature. That doesn't make the level magic, and it doesn't mean it will hold this time — it means the crowd's attention is itself one input into where price goes next, alongside the fundamentals Khoo covers elsewhere in this book.

Khoo walks through several real trades to show what stacked confluence looks like in practice rather than as an abstract checklist. On O'Reilly Automotive he took a long with four converging signals at once: a bullish "one white soldier" candlestick pattern, a bounce off the 50-day moving average, oversold stochastics, and a supporting trend line, and on a second O'Reilly entry he counted five factors — trend-line support confirmed on three touches, a horizontal support level, and further confirmation beyond that. On another recent trade he counted five converging levels: a bullish pin bar, a bounce off the 100-day moving average, a clear trend line, and two further signals at the same point. On Home Depot he took a long where the retracement bounced off the 200-day moving average, sat exactly at the 61.8% Fibonacci retracement, and carried further confirmation. These are not

four different strategies — they are the same confluence requirement applied to four different charts.

9.2 The bounce: his most-repeated setup

Across the corpus, the single most frequently demonstrated entry is what Khoo calls the bounce strategy. He describes it plainly: stocks on an uptrend move in waves, and price tends to bounce off a moving average — the 50, the 100, or the 150, depending on the chart — rather than moving in a straight line. His stated procedure is to buy when price retraces to the moving average and bounces off it, treating that dip as the buying opportunity within an established uptrend rather than a reason for concern. He is explicit that he does not buy at the moving average itself — he waits for a confirmation candle that shows the bounce has actually started before entering.

He works the arithmetic of a long bounce trade concretely: buy at \$89, stop loss at \$84.50 for a risk of \$4.50 a share, with a target set at double that risk, \$98. The mirror short version, taken when price retraces up to a moving average in a downtrend, is worked the same way: sell at \$34.50 with a stop loss at \$35.50, a risk of \$1 a share, in the direction that profits from further decline. Different videos code the bounce with slightly different mechanical detail — in one framing the bounce is defined as the candle's low cutting below the moving average while the body (open and close) stays above it, and in another he layers a two-candle "trade-through" pattern plus a confirmation candle on top of the moving-average touch before entering.

He is also candid that the bounce works cleanly with the trend and poorly against it: very short-term swing traders sometimes buy a bounce as a counter-trend trade, he notes, but must be very careful to exit quickly before the larger downtrend resumes and overwhelms the small bounce.

He does not treat this as a curiosity confined to his own trading. Elsewhere he generalizes the same wave logic to long-term investors adding to positions — buying every time price corrects and bounces off a moving average, sometimes at the 50, sometimes deeper at the 150 — and to ETF investors,

saying a good time to add is when the index dips to a moving average, bounces, and the trend resumes.

He also gives disclosed performance figures for the bounce strategy specifically, which is unusual candor for a setup he demonstrates so frequently: compiled across roughly 500 real student trades, the bounce strategy returned 315R total, an average of 0.63R per trade, at an overall win rate of 56 percent. In one monthly aggregate he cites, 11 bounce trades produced nine wins and two losses, an 81 percent win rate for that particular month — a figure well above the 56 percent long-run average, which is itself a small demonstration of how much a single month's results can diverge from the strategy's real, larger-sample rate.

9.3 Confirmed trends, breakouts, and the mirror-image short

Beyond the bounce, Khoo names two further recurring entries for a confirmed uptrend. The first is the small consolidation breakout: price makes the same high repeatedly — tested at least three times to count as a real resistance level — and he buys once price breaks decisively above it. The second is the entry after a confirmed trend reversal itself: he requires two conditions before calling a downtrend turned bull — the moving averages must stop sloping down and flatten, and the faster average (the 50, in his usual setup) must cross above the slower one — at which point he says to start buying aggressively and to keep buying every subsequent dip.

He is explicit about the timing cost of waiting for that confirmation: the 50/150 crossover, he concedes, gets you into a new trend a bit late, which is exactly why he layers earlier entries like the bounce and the mean-reversion setups described below on top of it rather than waiting on the crossover alone. He also warns about a specific false-confirmation trap: amateurs buy a 50/150 crossover while the 150 is still sloping down, mistaking a temporary cross for a real trend change, and the price often keeps falling afterward — which is

the same slope-change qualifier this book's prior chapter attaches to moving-average crossovers generally, applied here directly to an entry decision.

For a downtrend, every uptrend entry has a stated mirror. The mirror of the bounce is a rally into a moving average or trend line that fails and rolls back down, which he treats as the short-side equivalent entry. The mirror of the consolidation breakout is a mini consolidation breakdown, where support tested at least three times finally gives way. He states the timing rule for shorting a rally in similar terms to the long-side breakout: the best time to short on a downtrend is when price rallies into resistance and fails to break it — he sells only after that failure is visible, not in anticipation of it.

He also names two chart patterns as reversal setups rather than trend-following ones. The double top — price makes a high, retreats, then makes a second high at or slightly above the first — is a setup he shorts once the second high fails to exceed the pattern meaningfully. Its mirror, the double bottom (and sometimes triple bottom), is the accumulation-phase reversal pattern that experienced swing traders buy once the pattern completes.

Not every technically valid pattern gets taken. He describes skipping a technically correct "one black crow" reversal signal because the distance from his entry to a sensible stop loss made the resulting risk-per-share too large relative to the likely reward — the pattern was real, but the trade's arithmetic wasn't good enough. This is the same discipline restated from a different angle: confluence tells him a setup is present, but a poor risk-to-reward ratio can still veto it.

9.4 Candlestick confirmation: the vocabulary he actually uses

Khoo's candlestick vocabulary is narrower than the full traditional catalogue, and he defines each pattern with a specific geometric rule rather than gesturing at a shape. The bullish pin bar is a candle with a small body — or no body — and a long lower shadow making up roughly two-thirds of the candle's total range; the bearish pin bar is its mirror, a long upper shadow of

the same proportion. He says colour is not diagnostic — a pin bar that happens to close red still counts as bullish if the lower-shadow geometry is there. He explains the pattern psychologically: sellers pushed price down for most of the session, but buyers pushed it back up before the close, and the long lower shadow is the visible record of that reversal in sentiment.

He defines the "one white soldier" as a bullish candle that opens above the previous bearish candle's close and closes above its open, ideally with a higher high and higher low than that prior candle; the "one black crow" is the bearish mirror. He defines the morning star as a three-candle sequence — a large bearish candle, a small indecision candle that gaps down, then a bullish candle that gaps up and closes into the first candle's body — with the evening star as its mirror at the top of a trend. For engulfing patterns, he explicitly loosens the textbook definition: he requires only that the second candle's body engulfs the first candle's body, not its entire high-low range including wicks.

Across all of these, he attaches the same conditional qualifier: a pattern's reliability depends on where it sits, not just on its shape. A bullish pin bar has its highest probability at a support level within an uptrend, with the lower shadow ideally cutting below that support line. A bullish engulfing pattern on an uptrend with no clear support level underneath it gets downgraded — he prefers one sitting on a recognizable level, such as the 50-day moving average. A morning star has the highest probability at a support level, ideally within an uptrend rather than a fresh downtrend. This is the candlestick-confirmation half of the confluence requirement from section 9.1 made explicit: the shape alone is not the signal, the shape at a level is.

He names the accepted bullish reversal set together in one place: a bullish pin bar, a bullish engulfing pattern, or a one white soldier — and elsewhere adds a further filter on top of the moving-average bounce itself, narrowing his watchlist to setups where the bounce coincides with one of these patterns specifically.

9.5 Momentum indicators: the confirmation layer, not the trigger

Khoo treats momentum oscillators as a confirming layer on top of price structure, not as a standalone entry signal. His stated favourites for reading trend-following momentum are the force index for strength, the MACD for momentum, and the parabolic SAR, alongside moving averages for direction; his favoured oscillators for reading overbought and oversold conditions are full stochastics, Bollinger Bands, MACD used as an oscillator, and the Williams %R.

On stochastics specifically, he reads a %K/%D reading above 80 as overbought and below 20 as oversold, though several trade walkthroughs use a looser below-30 threshold as "temporarily oversold and due to bounce" instead — a real inconsistency across videos that this book preserves as a range rather than smoothing into one number, the same way it treats his other stated thresholds elsewhere. On MACD, he uses the standard 12/26/9 setting, defines the signal line as a 9-day EMA of the MACD line, and reads a MACD-line-above-signal-line cross as bullish momentum, wanting that condition true before going long. He states a specific reservation about one common MACD reading: he says he personally does not use the MACD zero-line cross to judge trend, because the underlying 12- and 26-period EMAs are too fast and generate frequent false signals. He uses the Williams %R mainly for a specific deep-oversold "capitulation" setup, requiring both a 10-period and a 260-period reading to drop below minus 80 before treating the market as sufficiently stretched to snap back.

He is explicit that these tools are read in combination, not singly. For a long entry on an uptrend, he wants two of three momentum readings — parabolic SAR, force index, and MACD — bullish, or accepts just one of the three if a bullish candlestick pattern is also present. Hunting for divergence, he runs MACD, RSI, and full stochastics together on the same chart, and on one Intel setup accepted the trade because two of the three showed lower highs against price while the third was merely flat — "two out of three

enough," in his framing. He also draws a specific distinction readers are likely to conflate: RSI measures a stock's strength against its own past price performance, while a separate "relative strength" reading he also uses measures a stock's performance against the broader market (typically the S&P 500) — he warns these are "completely different" despite the similar name.

Editor's note — divergence as a warning, not a trigger

Khoo is careful, in more than one video, to frame divergence — price making a new high or low while an oscillator does not confirm it — as an early warning that a reversal may be coming, not as a signal to act on immediately. Seeing the divergence is not itself a sell or buy signal; he still waits for a confirmation candle before entering. This matters because divergence is one of the more visually persuasive indicator patterns available on a chart, and it is correspondingly easy to overreact to — the discipline he describes here is what keeps an early warning from becoming a premature entry.

He also warns against a specific failure mode connected to indicators more generally: he says that traders on a losing streak feel an overwhelming temptation to pile on more indicators — Bollinger Bands, ADX, divergence, Ichimoku Cloud — hoping one more tool will filter out the losses and reveal a "holy grail". His own stance runs the other way: a small, reused toolkit read for confluence, not an expanding stack of oscillators searched for the one that finally works.

9.6 Waiting for confirmation, and refusing to chase

Khoo states, more than once, a rule that cuts across every setup described above: he never predicts the market and never enters purely because a level or pattern looks like it is about to complete — he always waits for confirmation, even when he has already called something a great buying opportunity in advance. The mechanical form of that confirmation, for a bullish setup, is a

confirmation candle that closes above the high of the prior swing low candle, with the buy order placed a small distance above that confirmation candle's high.

The other half of the same discipline is a rule against entering too late. He states it flatly for forex: never chase the price — if it has already moved without you, whether up or down, you do not chase it. He extends the identical rule to equities, calling it "never chase the girl" — his own phrasing — meaning he never adds shares during a wave up and only adds when price pulls back to a level of support. When an order he has placed is not triggered and price moves away without him, he says he does not chase it, comparing the situation, in his own words, to not chasing after a bride who has already left.

He is candid that waiting for confirmation has a real cost: because his second buy point (a deeper, more conservative entry) does not always occur, he says he personally prefers entering at the first, earlier buy point, while acknowledging either choice is legitimate depending on the trader. He is equally candid that being faked out is a normal, expected part of waiting for confirmation rather than a sign the method has failed: he says traders should expect to be faked out by a few false reversals before the real bottom arrives, and that this is normal, not a signal the approach is broken.

9.7 What he says these setups actually deliver — and where they fail

This is the section where Khoo's own numbers do more to qualify his setups than any outside critique could. He states directly that a realistic short-term trading win rate sits around 45 to 60 percent, elsewhere narrowing it to "about 50 to 60 percent — roughly half hit the stop loss" and noting the approach only works because winners are sized larger than losers. In a later video he restates the same ceiling in blunter terms: no matter which technical method is used, the realistic best win rate in trading is about 60 percent, meaning roughly 40 out of 100 trades lose. In one specific monthly track record he

cites, October produced 20 trades — 12 wins, 5 losses, 1 breakeven, roughly a 63 percent win rate — but he immediately cautions against expecting that to hold, saying not to anticipate a 90 or even 100 percent win rate and that the realistic long-term average for the system is closer to 50–60 percent. He also names the two most common reasons he sees for a low win rate in the first place: trading against the trend, and taking low-quality, low-probability trades that lacked real confluence.

He extends the same candour to the levels and candlestick patterns themselves, not only to overall win rates. A support bounce on AT&T, he notes in one walkthrough, was a "fair technical setup" that still failed — not because the chart reading was wrong, but because the stock's relative strength was too weak to carry a bounce. He explicitly caveats one of his own reversal calls, saying a signal like a bounce off a moving average on weekly candles is "a good reversal signal" while adding, in the same breath, that "no signal is 100 percent". Asked directly how a trader knows a corrective wave has actually ended, he answers that there are no guarantees in trading, only ways to estimate high-probability outcomes — the main one being the confluence and confirmation process described in this chapter, not any single indicator. Even a specific, named candlestick pattern gets the same treatment on camera: reading a bearish engulfing candle, he says it usually signals further decline but adds there are "no guarantees" and that price can still reverse back up.

Editor's note — reading a stated win rate as a real constraint, not marketing

A trader who says his method wins 50–63 percent of the time, and means it, is making a claim that roughly four times in ten (or more) the setup will lose money even when executed correctly. That is a structural feature of the approach, not evidence the trader is doing something wrong on the losing trades — trend-following and mean-reversion entries built around probabilistic signals are supposed to lose a meaningful share of the time, and are only profitable in aggregate because of position sizing and reward-to-risk ratios covered elsewhere in this book. A reader evaluating whether to use any of the setups in this chapter should treat the 45–60 percent range as the honest baseline, not as a floor beneath which something has gone wrong.

What he doesn't say about this

Khoo does not reconcile, in any single video in this archive, the differing stochastics oversold thresholds he uses across setups — sometimes below 20, sometimes below 30 — leaving a reader to notice the inconsistency rather than having it flagged for them. He does not explain, in mechanistic terms, why confluence should be expected to raise a trade's odds beyond citing the self-fulfilling-prophecy argument in section 9.1; he offers no worked statistics comparing a three-signal setup's win rate against a one-signal setup's, only the general claim that more agreement means a "pretty good" or "excellent" trade. He also does not address what happens when his stated signals conflict outright — for instance, a bullish candlestick pattern appearing while momentum indicators read bearish — beyond the general two-of-three rule given for a handful of specific setups; there is no general tie-breaking rule stated for confluence as a whole. Finally, while he discloses aggregate win-rate and R-multiple figures for a few named systems (the bounce strategy, the intraday gap system), he does not disclose a comparable track record for the majority of setups described in this chapter, including the pin-bar and engulfing-pattern entries that recur most often in his walkthroughs.

Chapter summary

- Khoo's entry philosophy is confluence, not any single indicator: he lists six signal types (moving averages, trend lines, support/resistance, candlesticks, Fibonacci, oscillators) and says three converging signals is a good setup, four an excellent one, and that he personally only takes trades with three or four in agreement.
- His most-repeated setup is the bounce — buying (or shorting) a retracement to a moving average once a confirmation candle shows the bounce has started, never at the level itself, with disclosed results of 315R over roughly 500 student trades at a 56 percent win rate.
- Confirmed-trend entries require the moving averages to flatten and cross, not merely cross while still sloping the old direction — a distinction he says amateurs miss, buying crossovers that keep failing.
- Every candlestick pattern he uses (pin bar, engulfing, one white soldier/one black crow, morning/evening star) is defined by an exact geometric rule and is explicitly rated higher at a support or resistance level than in open space.
- Momentum indicators (stochastics, MACD, Williams %R, RSI) function as a confirming layer requiring two-of-three agreement in several of his named systems, not as standalone triggers, and he warns against piling on more indicators as a substitute for a real setup.
- His stated rule against chasing applies across both trading and investing: never enter into a wave that has already moved without you — "never chase the girl" — always wait for the pullback.
- He states his realistic win rate ceiling directly and repeatedly, in the 45–63 percent range depending on the video and the system, and explicitly warns against expecting the high end of that range to hold.
- He is candid on camera that individual setups fail even when correctly read — a fair technical bounce can still not work, and "no signal is 100

percent" — treating this as a normal cost of the method rather than a flaw to be engineered away.

Try this

Khoo's own instruction for building the pattern-recognition side of this chapter is to pull up a chart and count, rather than guess: he suggests reviewing a stock's chart history and marking every place a chosen moving average was tested, to see for yourself how often a bounce held versus failed, before trusting the setup with real money. Pick a stock you know, mark every touch of its 50-day moving average over the past two years, and note the confluence present (or absent) at each touch — a trend line, a horizontal level, a candlestick pattern — against whether the bounce actually held. The exercise is his own logic applied literally: confluence is a claim about probability, and the only way to trust a probability is to have counted it yourself.

CHAPTER 10

Stops, Targets, and Trade Management

In this chapter: how the trading book's exit is decided before the entry order is even placed — where the stop goes and why, how a profit target is sized as a multiple of risk, the mirrored logic that has him bidding a breakout up while bidding a falling stock down, and the documented nights, on his own camera, when he didn't follow his own exit rule.

10.1 The exit decided before entry

Chapter 2 established the two-book split: no stop loss on the investing book, a mandatory stop loss on the trading book. This chapter is about what "mandatory" actually means in practice — because a rule to always use a stop is only useful if it comes with rules for where the stop goes, how far the target sits from it, and what happens when price gets close to either one.

He states the mandatory-stop rule at its most basic: always use a stop loss, and never enter a trade without one already defined. He is equally insistent that the stop, once set, is not a suggestion to be revisited when price gets uncomfortable — he sets the losing side of his own risk simulator to a fixed multiple of exactly one, because he says he always hits the stop and never removes it. He goes further in a separate video, stating as a firm rule that a

stop loss should never be shifted lower or removed once it is in place, warning that doing so might work once or twice but will eventually produce the one large loss that wipes out an entire account. He frames the temptation itself as a psychological pattern: after a run of stops that get hit and are then followed by the price recovering, traders come to resent their own stop and start moving it away from the market to avoid being "shaken out" — precisely the habit he says destroys accounts.

The logic he gives for entering with the exit already fixed is arithmetic, not sentiment: a trade's risk (the distance from entry to stop) and its reward (the distance from entry to target) both have to be known before the position is taken, because the reward is defined as a multiple of the risk — a convention covered in the next section. None of that arithmetic is possible if the stop is decided after the fact.

10.2 Placing the stop beyond the obvious level

Given that a stop must exist, the next question is where. He is explicit that the naive answer — put the stop just past the support or resistance line itself — is a mistake, because that price is exactly where everyone else's stop sits too. Price can dip a few cents below a support level, take out that cluster of stops, and bounce right back up without ever threatening the trade thesis; a stop placed with no buffer gets caught in that dip. He generalizes the point: a stop must sit far enough beyond the level to give price room to pierce support and bounce back, not sit exactly on the line where the crowd is already stopped out.

His stated buffer size varies by instrument and method. On the 15-minute forex charts he normally trades, he gives a working buffer of roughly 8 to 12 pips, and separately says he derives that buffer from twice the Average True Range — though in practice, he adds, he usually just defaults to about 8 pips from experience rather than recalculating it each time. He describes reading the ATR value itself loosely, taking roughly the midpoint between its recent high and low and doubling that figure for the buffer. On stock swing trades he

applies the same ATR logic to a specific level, placing the stop one ATR below the support level so the trade has room before being stopped out. In simpler candlestick setups, he uses a flat cents-based buffer instead of ATR — a few cents above a swing high for a short, or a few cents below a swing low for a long — sizes that only make sense on stocks trading in the tens or hundreds of dollars, not as a universal distance.

The same logic runs in the other direction for targets. He does not set a resistance-based target exactly at the resistance level either, placing it about one ATR short of the level instead, because price often falls just short of a resistance level and reverses before actually touching it. Stop and target buffers are, in his framing, the same insurance against the same problem: prices rarely respect a level to the cent, and a plan built on exact levels gets defeated by the noise around them.

Editor's note — why obvious stop levels get taken out

The pattern Khoo describes has a name in market-microstructure terms: liquidity is often clustered exactly at round numbers and at visually obvious chart levels, because that is where the largest number of retail traders independently choose to place orders. Large participants who need to fill sizable orders without moving the market look for exactly this kind of clustered liquidity to trade against — a widely discussed phenomenon in currency markets around round-number levels like 1.1000 on EUR/USD, where a cluster of stop and limit orders sits just past the figure. None of this requires a conspiracy; it only requires that enough independent traders place orders at the same visually obvious price for that price to become a magnet for the last leg of a move before it reverses. Khoo's buffer rule is a practical response to that mechanical fact, not a claim about who is doing the sweeping.

10.3 Targets as a multiple of risk — and an inconsistency he owns

Once the stop defines the risk distance (his "1R"), the target is set as a multiple of that distance rather than as an independent price forecast. The convention he states most often for stocks is a 2R target: risk one dollar to make two, so a losing trade costs 1R and a winning trade returns 2R. He states the same 2:1 framing generally for stock trading, sometimes allowing a somewhat lower minimum such as 1.5R to 2R depending on the setup.

For forex, he states a different number, and — unusually for the channel — he names the discrepancy himself rather than leaving a reader to notice it. He says 1.5R is his usual profit target for forex, and separately says he found 1.5R to be the optimum figure specifically for the impulse-pullback bull flag strategy he trades on 15-minute forex candles. Asked to account for the gap with his stock-trading target, he gives the reason directly: forex is markedly more volatile than stocks, and a 2R target on forex "does not get hit as often," which lowers the strategy's win rate. He restates the same comparison elsewhere — a 1.5R target in forex against the 2R he teaches in his stock course, because forex prices move more erratically — and adds a transaction-cost argument specific to smaller stop distances: when his stop loss is only ten pips or so, he still holds to 1.5R rather than something larger, because at ten to fifteen pips the round-turn cost eats a large share of a smaller expected return.

He does not treat 1.5R as a fixed law even within forex. In one later video he revises an earlier stated rule, saying that where he used to always target 1.5R, he has since found 1.6R more profitable under certain conditions — a small but real change to a number he had previously stated as settled. And he explicitly denies that 1.5R is universal at all: in other strategies he may use 2R, and in some stock trades even 4R, because the right multiple depends on the specific strategy being run, not on a single constant.

He also warns against simply pushing the multiple higher across the board. Set the target too high — his example is 3R or 4R paired with a trailing stop

— and a trade that would have closed at a clean 1.5R win instead frequently gives back the gain and closes as a scratch or a full 1R loss, because greed for a bigger number converts winners into losers on the way back down. He narrates the psychological version of the same trap: a trader takes the disciplined 2R exit by the rule, watches price keep running without them, moves the target to 4R on the next trade out of regret, and gets burned when that trade reverses before reaching it. The lesson he draws is that regret over a target hit "too early" is the emotion that pulls a working system apart, not a signal that the rule was wrong.

He is just as clear that habitually shrinking the win side breaks the system from the other direction: cutting winners short at 0.5R to 0.7R while losses still run to a full 1R removes the positive expectancy a 2R-target system depends on, because the occasional big win can no longer offset the more frequent losses.

Editor's note — reading the 1.5R-versus-2R split as evidence, not a flaw

A single trader stating two different numbers for what is, on its face, the same idea — risk-to-reward ratio — could read as inconsistency worth discounting. Read differently, it is one of the more useful things in this chapter: he is naming a real difference between asset classes (forex's higher volatility relative to typical stop distance) and adjusting a rule of thumb to compensate, rather than applying one number everywhere out of habit. The book's discipline is to report both figures with their stated conditions rather than average them into a false single constant — the same approach Chapter 14 takes with his other stated ranges (moving-average pairings, stochastic settings, loss-streak estimates) that also shift across videos.

10.4 The mirrored entry rule

The outline for this book names a pattern that runs across both books in opposite directions: when he is trading, his entries chase price higher as

confirmation builds; when he is investing, his entries step down to meet a falling price. Same trader, same instinct to control the fill, aimed at opposite signals.

On the trading side, entries are built to trigger on strength, not to anticipate it. A buy-stop order sits a few cents above the high of a signal candle, so the trade only fires if price actually continues in the intended direction the next session — if price falls instead, the order is never filled and no position is taken. The same logic runs on the execution side of a fill: placing a live order, he starts at the bid and raises it five cents at a time until filled, buying his way up toward the ask rather than waiting passively for a better price, and does the mirror version selling — starting at the highest offer and lowering it step by step until a seller takes it. On options fills specifically, he starts a limit order near the mid of the bid-ask spread and works the price up incrementally until it fills, rather than crossing the whole spread at once. In every one of these cases the price he is willing to accept moves toward the market, not away from it — he is bidding a trade up to get in on confirmed strength.

On the investing side the same instinct runs backward. He states flatly that he never buys an entire position at once, buying instead in three or four tranches spread across three or four support levels as price falls. He gives a specific version of the schedule: a quarter of the planned allocation at the first buy level, then another quarter at each successive support level as the price drops further. He states the underlying reasoning for why he buys this way rather than trying to call a single bottom: no one can reliably identify the exact low, so spreading the entry across levels below the current price reduces that single-point risk. In one video he goes further than merely accepting lower fills — he says he actively hopes the price falls further after his first tranche so that he can add at deeper support, while noting that in practice price more often rebounds after the first or second tranche than keeps falling to the third. He gives a threshold version of the same rule tied to valuation rather than chart support: he starts buying when the share price is 15 percent below his estimate of intrinsic value, adds more at 20 percent below, and

doubles up at 30 to 35 percent below, describing that deepest level as where the market is "clearly wrong" about the business.

The mirror is exact in structure and opposite in direction: the trading entry bids the price up to confirm the market agrees with him before he commits; the investing entry bids the price down, treating a falling price as a better deal on a company he has already decided he believes in, and using tranches rather than a single stop-defined trigger to manage that entry.

10.5 Tightening the stop without loosening it

Trade management between entry and exit is not limited to leaving the original stop untouched. He describes moving a stop toward breakeven once a trade has already worked in his favor — specifically, once price has moved 1R in profit, he moves the stop up to the entry price, so a subsequent reversal produces a scratch trade at worst rather than a full loss. This is consistent with the never-loosen rule from 10.1: the stop is allowed to move only in the direction that reduces risk, never in the direction that gives the trade more room to be wrong.

He also documents adjusting a stop mid-trade for reasons beyond a simple breakeven rule, and is willing to show the cost of doing so. Reviewing a stock trade on HELE, he moved his stop up the moment he saw a single bearish candle appear against his position, and was stopped out for a 1.62R gain instead of riding to his planned 2R target — he notes in the same review that the stock went on to reach the original target anyway after he had already exited. He reports this as a real trade with a real outcome, not as a success story: the discretionary tightening protected an existing gain, but it also cost the difference between 1.62R and the 2R the plan called for.

10.6 Scaling out rather than exiting all at once

For positions that have moved well into profit, he does not describe a single all-or-nothing exit as his only tool. He lays out three alternative ways to close

a winning trade depending on what price is doing: exit when a fast moving average crosses back below a slower one, trail a stop beneath a longer moving average and let the trade run, or scale out in pieces once price has gone parabolic well above its moving averages. In an older walkthrough of a longer-hold "piranha" trade he stacks three separate profit targets at the 50-, 150-, and 200-day moving averages in sequence, treating a break above the 50 as the point where he shifts from taking partial profit to holding for the longer term.

He applies the same scaling logic to trimming a position that has run further than expected without a clean reversal signal yet. Near a suspected short-term top he scales out gradually — selling a half or a third of the position rather than the whole thing at once — and only exits what remains once a clear bearish candlestick close confirms the top. He gives the same instruction for a longer, still-fundamentally-sound holding in an overbought market: rather than sell the position outright, he slowly sells a bit at a time while still holding the rest, because he judges the market could keep running higher even though it looks stretched. He states the general principle behind all of these: he never sells an entire position in one shot on a top call, because no one can reliably identify the exact top any more than the exact bottom.

10.7 Where he documents breaking his own rule

The most useful material in this chapter is not the stated rules — it is the handful of videos where he shows himself, live, coming right up against one of his own exit rules and then not following it in the moment, on camera, with the reasoning narrated as it happens.

His stated closing rule for a credit spread is to lock in the gain once he has realized close to 90 percent of the available premium, treating the last sliver as not worth the residual risk of holding into expiry. In the same video he narrates checking a specific Amazon spread against that threshold, finding it had not yet reached 90 percent, and choosing to keep waiting through the session for more decay rather than close it there. He frames the remaining

amount at that point as only a few hundred dollars still to be squeezed out — and then, as Amazon's price began to fall later that same session and his open profit started shrinking on expiry day itself, he chose to wait a while longer for still more, rather than close the position immediately while the gain was still large. Only once the remaining premium had shrunk to a few dollars did he close immediately rather than hold for the last cents. The sequence is a documented, narrated case of a stated 90-percent rule getting stretched in real time by the same trader who states it, under the ordinary pull of "just a bit more" — the exact temptation his own psychology material (Chapter 16) describes traders falling for.

The options-management material contains a second inconsistency worth naming plainly: elsewhere he states his premium-cutting threshold not as 90 percent realized but as 50 percent of the premium at risk — he says he only cuts a losing option position once he is down about half the cost paid, and separately says he usually cuts an option loss at 50 percent of premium. A 90-percent-of-gain closing rule and a 50-percent-of-loss cutting rule address different situations — one a winning credit spread, the other a losing debit position — but the book flags that he has never, across the cards gathered here, stated a single unified number for "when a premium position gets closed" the way he has for a stock stop-loss buffer. Readers following his options material should expect the exact threshold to depend on which side of the trade they are on and which video they are drawing the rule from.

A separate, starker case appears in a video he titles as a confession. Trading GameStop puts during the 2021 short-squeeze period, he states he will not buy back a losing put for a small loss and intends to simply let it run to expiry — reasoning that out of the money he keeps the full premium, and in the money he takes the shares. That stated intention runs directly against the general trading-book instruction from 10.1 to never enter, or stay in, a position without a live exit plan capping the downside; here the plan is explicitly to remove the exit and ride the position to whatever expiry delivers. He discloses the position size and premium involved without softening the

account — the book records it as his own stated departure from his own general rule, not as a hidden lapse the archive happens to reveal.

What he doesn't say about this

He never states a single reconciled rule for when an options position gets closed — the 90-percent-of-realized-gain figure and the 50-percent-of-loss figure sit in different videos addressing different situations, and no video in the archive puts them side by side or explains why the thresholds differ by that much. He does not give a stop-buffer figure for instruments outside forex pips, stock cents, and one-ATR multiples — cryptocurrency and index-future stop placement are not addressed in the cards this book draws from. He never discusses what happens to a resting stop order during a price gap, when the fill can occur well past the stop level itself — a real risk for any stop-loss order, and one the archive does not show him addressing directly. And while he narrates the Amazon and GameStop cases candidly, he does not step back in either video to generalize from them into a revised rule; the lapses are shown, not analyzed, and the reader is left to draw the "regret loop" lesson from Chapter 16's psychology material rather than from anything he says in the trade-management videos themselves.

Chapter summary

- The trading book's stop loss is set before entry and is never loosened once placed — only tightened toward breakeven as a trade moves in his favor.
- Stops and targets both sit a buffer beyond the obvious chart level (roughly 8-12 pips or one ATR in forex, a few cents or one ATR in stocks), because the exact level is where the crowd's own orders cluster and get swept first.
- His default target is 2R on stocks but 1.5R on forex, a difference he attributes to forex's higher volatility relative to typical stop size and which he has himself revised (to 1.6R) and denied is universal.

- Pushing a target multiple higher than the tested rule — 3R or 4R chased out of regret — more often turns a clean win into a scratch or a loss than it captures the extra move.
- His trading entries chase confirmed strength (buy-stop orders above a breakout, bidding a fill up toward the ask), while his investing entries do the opposite, buying in tranches at progressively lower support or valuation levels as price falls.
- Winning trades are not always closed in one shot: he trails stops, stacks sequential moving-average targets, and scales out a half or a third at a time near a suspected top rather than exiting the whole position at once.
- He has documented, on camera, waiting past his own stated 90-percent-of-premium closing rule on a falling Amazon spread, and separately stating an intent to let a losing GameStop put ride to expiry with no exit plan at all — both presented in his own words, not smoothed into tidy examples.
- His stated thresholds for closing an options position are not unified: 90 percent of realized gain in one video, 50 percent of premium at risk in others, with no video reconciling the two.

Try this

He suggests marking out, on a chart you already hold or watch, exactly where you would place a stop using his buffer method — one ATR (or roughly 8-12 pips on forex, a few cents on a stock) beyond the nearest obvious support or resistance rather than directly on it — and then separately writing down the 2R (or 1.5R, if forex) target that his risk- multiple convention implies from that same stop distance, before checking whether the trade would still be worth taking at that risk-to-reward.

CHAPTER 11

Options: Selling Time for a Living

In this chapter: how he uses options as a premium seller rather than a directional bettor — the mechanics of covered calls, cash-secured puts, and credit spreads; the Greeks and implied volatility that price all of them; and the specific documented pattern that runs through his highest-conviction strategy — a headline win rate built on a structural loss he only avoids by actually doing the discretionary work of cutting early.

11.1 A premium seller, not a lottery-ticket buyer

Chapter 10 covered stop-loss and target mechanics for stock trades. Options work differently: risk is defined by the structure itself rather than by a stop order, and that changes what "managing a trade" means. He sets up the distinction early — buying a call option outright, he says, is like buying a lottery ticket: you win occasionally, but more often than not lose the whole premium back. He calls a plain bought call expensive on its own terms too, since the underlying has to move far enough, fast enough, just to reach break-even.

Against that, he lists what he actually uses options for as an investor: hedging a portfolio like buying insurance, generating additional income by

selling premium, and — the framing that recurs across the corpus — a third use that this chapter treats as his real center of gravity. He says plainly that non-directional, premium-selling strategies are his personal favorite and most of his own option use, specifically because he often has no firm view on which way a stock will go. He tells students to sell options constantly, but only in defined, hedged structures, never naked — the recurring instruction that separates his approach from simply writing options for whatever premium is on offer.

Editor's note — why selling options works differently than buying them

An option's price has two pieces: intrinsic value (what it would be worth if exercised right now) and extrinsic value (everything else, decaying to zero by expiry). A buyer needs the underlying to move enough, fast enough, to beat that decay. A seller collects the extrinsic value up front and profits if the option simply expires worthless or is closed early for less than it was sold for — time itself works for the position rather than against it, as long as the underlying stays on the seller's side of the strike. That asymmetry — many small, likely wins funded by decay, against a smaller number of larger losses when the underlying moves hard against the strike — is the mathematical shape behind every "high win rate" options strategy in this chapter, his own included.

11.2 The Greeks and implied volatility, in his own vocabulary

He teaches five Greeks by name — delta, gamma, vega, theta, and rho — setting rho aside because it only matters for very long-dated options. Delta he defines as the change in an option's price per one-dollar move in the underlying, so a delta of 0.8 gains roughly 80 cents per dollar the stock moves; call deltas run positive, put deltas negative, because puts move opposite to the stock. He gives the map across strikes: at-the-money sits at

0.5, out-of-the-money strikes sit below it, in-the-money strikes run from 0.5 up toward 1, and in practice you never actually see an exact 1 or minus 1. Crucially for the rest of this chapter, he treats delta as doubling as a probability: a 0.5 delta means roughly a 50 percent chance of finishing in the money, a 0.6 delta roughly 60 percent.

Gamma he calls "the delta of delta" — the rate at which delta itself changes per dollar move, or acceleration where delta is speed. It peaks at-the-money and shrinks as an option moves further in or out of the money, and it grows as expiration approaches, which he frames as bad for a time-decay-focused seller but good for a buyer if the underlying is moving their way. Theta is the daily decay rate — a theta of minus 0.05 loses five cents a day, weekends included, with the daily bleed accelerating as expiry nears. Vega measures how much premium moves per one percent change in implied volatility, and is larger the further out the expiration sits. In a spread, he notes, a bought leg's theta and a sold leg's theta run in opposite directions and largely cancel, which is part of why he prefers spreads to single-leg positions.

Implied volatility (IV) he defines as the market's own view of a stock's future volatility, since option prices are always forward-pricing an expectation. He works a concrete case: 20 percent implied volatility on a \$50 stock means the market expects roughly a 20 percent move, up or down, within a year, with about 68 percent probability — one standard deviation. He tells students the number itself comes out of the Black-Scholes pricing model and to leave the underlying math to the mathematicians. Raw IV isn't enough on its own — he ranks it against the stock's own trailing year to get an IV percentile or IV rank, and treats an IV percentile above 50 as meaning options are expensive, which is when he prefers to sell rather than buy. In one walkthrough he runs a broker scanner filtered to a 52-week IV rank above 30 to surface stocks worth selling premium on, and separately treats his platform's "52-week IV rank" and another platform's "current IV percentile" as the same measurement under different names. He states a general preference for selling puts specifically when volatility is high, because that is

when premiums are richest, and recommends selling cash-secured puts or credit spreads into a VIX spike for the same reason.

11.3 Covered calls: income against shares he already owns

A covered call means selling a call option against 100 shares he already holds. He frames the appeal for an investor plainly: sell calls every month on stocks already owned, collecting roughly 2 percent a month, which he annualizes to about 24 percent a year on top of the position. He normally selects the strike by delta, choosing 40 to 50 delta, and typically sells with around 30 days to expiration — in one demo picking a 33-day expiry specifically. He works a worked example on Intel: selling calls roughly every 40 days and annualizing the premium collected at 3.9 percent per period across about nine such periods a year comes to roughly 34.9 percent a year from premium alone if the sale is repeated. On McDonald's he describes letting his shares get called away at the 285 strike plus a \$6.52 premium, for a net sale price of \$291.52.

He frames the trade-off honestly rather than as pure upside. If a covered call finishes in the money, the shares are sold at the strike — he calls this a "win-win" when he was already happy to sell at that price, since he either keeps the premium outright or sells at strike-plus-premium, an even larger gain given his typically low cost basis. If the stock keeps rising past the strike, though, he still owns the risk of missing further gains, and he can always use the cash from the assigned sale to buy the shares back and start the strategy again.

That trade-off is not hypothetical for him. He discloses selling covered calls on some of his Meta shares, which then were called away — reducing his position size relative to what it could have been, and he calls this "stupid" in hindsight. The clearer, more costly version of the same mistake is Nvidia. He sold a covered call on Nvidia, bought around \$150, at a \$380 strike, and was assigned — his shares called away — right before an earnings beat sent

the stock much higher. He names it directly as a costly mistake this year, selling covered calls on high-growth stocks like Nvidia and Meta and being forced to sell shares too early, missing the subsequent upside. The stated rule he draws from that experience is specific: never sell covered calls on high-growth stocks at all, restrict the strategy to more defensive, lower-growth names — he names Pepsi, Procter & Gamble, and Nike — because a growth stock can explode suddenly and a capped upside on it costs real money.

Editor's note — why a covered call caps upside but not downside

Selling a call against owned shares collects premium but obligates the seller to hand the shares over at the strike if the stock finishes above it — capping the position's upside at strike-plus-premium no matter how far the stock runs past that point. The downside is not capped at all: the shares can still fall the full distance, offset only by the (typically modest) premium collected. A covered call is therefore not a hedge against a large loss — it trades away tail upside for a small amount of steady income, which is exactly the trade that went against him on Nvidia when the tail event was a large earnings-driven rally rather than a crash.

11.4 Cash-secured puts: getting paid to wait for a price

A cash-secured put sells a put while holding the cash to buy 100 shares at the strike if assigned. He calls it a strategy that pays every month while waiting for a share price to fall to the level he actually wants to buy at, and describes the whole approach as "getting paid to wait" for the shares to come to him. He walks through the outcome tree: if the stock stays above the strike, the put expires worthless and he keeps the premium with no shares bought; if it falls below the strike and stays there, he is obligated to buy at the strike, with the premium received lowering his effective purchase price. He calls selling cash-secured puts on good companies a "win-win" for a value investor — he wins in every scenario, either premium or a discounted entry — while

distinguishing that framing from trading, where the underlying stock actually has to collapse for him to lose.

Worked examples with real numbers recur across the corpus. On Coca-Cola he sold three contracts of the April 44 puts at an average \$0.57, collecting about \$170. On Lockheed Martin he sold a 360-strike put expiring July 10 for \$5.49, collecting \$549 on one contract, obligating him to buy 100 shares if price sat below 360 at expiry. On Google he sold a cash-secured put at the 88 strike, 45 days out, so that a close below 88 obligates a buy at 88 net of premium. On Apple he sold three contracts at the 165 strike for \$296 total premium, explicitly to get paid while waiting for a lower entry to add shares. On an LVMH position he shows the put sold at \$8 later trading at \$2, an unrealized gain of \$612 against a maximum possible profit of \$1,000 if it expires worthless. He states a typical expiration window of 30 to 45 days as the "sweet spot" for this strategy.

He attributes the whole approach, notably, not to himself but to Warren Buffett — calling cash-secured puts Buffett's favorite strategy and the one he uses most, and defending the structure against the "naked put" label by pointing out the seller is prepared and funded to actually own the shares at the strike.

11.5 Credit spreads and the bull put spread extreme

Once cash-secured puts require more capital than a trader has, he introduces the credit spread — the bull put spread — as the alternative: sell a put and buy a further out-of-the-money put to cap the risk, so the position needs only the margin on the strike-width rather than the full cash to buy shares. He defines the bullish and bearish versions plainly: a bull call spread buys a call and sells one higher; a bull put spread sells a put and buys one lower; the bear-side mirrors run the same logic in reverse.

His stated strike-selection convention for a standard credit spread runs around 20 to 30 delta on the short leg across several videos — 20 delta, 20-25 delta, 22-30 delta, 20-28 delta — treated as roughly the same working range

rather than a single fixed number. He reads a short strike's delta directly as an approximate win probability: a 19-delta short strike implies about an 81 percent chance the spread finishes as a win; a 22-delta short put implies roughly a 78 percent win rate; a 24-delta short put on Tesla implies about 76 percent. He backs the delta-as-win-rate reading with outside evidence, citing tastytrade research over 12 years of data finding that selling puts at 30 delta carries about a 20 percent chance of losing money. His usual expiration window for these spreads is 30 to 45 days, and he sets a minimum credit requirement relative to strike width — at least \$1 of credit for every \$5 of distance between the strikes.

The strategy he names as his favorite of all — the "bull put spread extreme" — pushes the same structure to its edge. He defines it as selling far out-of-the-money put credit spreads on uptrending stocks at strong support levels, at a delta of 10. He states a 10 delta reads as roughly a 10 percent chance the stock finishes below that strike, which is exactly why he chooses it — it implies a 90 percent win rate. He calls it his favorite strategy overall, saying it generates most of his profits every single month, and states the 90 percent figure repeatedly and consistently across videos, including a claim that the win rate is high enough to enter even without waiting for a bullish candlestick confirmation first.

He is direct that the trade-off is real, not a free lunch: he describes it himself as a strategy that risks more to make less per winning trade in exchange for that high win rate, and states the general principle underneath all his premium-selling structures — a high win rate means risking more to get less, you cannot have both a high win rate and a favorable risk-to-reward at the same time.

The triad: headline win rate, structural max loss, discretionary cut

This is the pairing the chapter is built around, and the archive documents all three legs of it explicitly. First, the headline: a 90 percent win rate on the bull put spread extreme, stated repeatedly. Second, the structural loss that a 10-

delta credit spread carries if simply held to expiry: because the position is a spread, not a naked put, the worst case is capped at the full width between strikes minus the credit received — but that cap is still the entire remaining premium at risk, not a small number, and he is explicit that letting a losing spread run to that full structural maximum is not what he actually does. Third, the discretionary exit that keeps the realized loss well below the structural one: he cuts the spread the moment price breaks the short strike or the stock's trend changes, so he says he never actually absorbs the full spread-width loss, and states his managed maximum loss runs around \$1.40, with most losses actually closer to fifty cents to a dollar.

He gives at least two worked pairs of numbers that make the gap concrete. In one example he states a credit spread's structural maximum loss at \$400 if left to expire worthless below the short strike — and, applying his own discretionary early-exit rule, the realized loss on that same trade came to only about \$114, roughly 1.4 times the \$82 target profit, far below the \$400 structural figure. In a second, similar example on a Tesla-style spread, he states the structural max loss as \$390 and says it should never actually happen, because his cut-loss rule is to close the trade immediately once price touches the sold strike rather than let it run to expiry. Both examples describe the same mechanism: the headline win rate is a property of the structure at entry, priced by delta; the structural max loss is a property of the structure if abandoned to fate; and the realized loss is a property of what he actually does in the middle, which is cut early.

That middle step is discretionary, not structural — nothing about the option contract itself enforces it. The book's Chapter 10 material on stop discipline is directly relevant here: he documents, on his own camera, waiting past a stated 90-percent-of-premium closing rule on a falling Amazon spread before finally closing it (see Chapter 10.7). The same temptation to let a good trade run "a bit longer" applies with more force on the loss side of a credit spread, where hesitating to cut is what turns a managed \$1.40 loss into something closer to the structural maximum. He states the rule for cutting losses on this strategy in more than one place — never let the spread reach its

structural loss, cut the moment the short strike is breached — but the archive gives no example of him narrating a bull-put-spread-extreme trade where he failed to cut on time, the way it does for the Amazon and GameStop cases in Chapter 10. The discipline is stated with unusual consistency here; whether it holds every single month across the ten-plus years the strategy has been running is not something the cards in this archive can independently verify — the 90 percent figure is his own claim about his own results, and self-reported returns are flagged throughout this book as a claim, not an established fact (see Chapter 1).

11.6 Debit spreads, iron condors, and the strategy map

Debit spreads sit on the buying side of the same mechanics: a bull call spread buys a call and sells a higher-strike call against it, using the premium received to lower the net cost and reduce theta exposure relative to a plain bought call. He worked one such spread at a \$363 maximum loss against a \$637 maximum profit, and a bear put spread the same way in reverse, buying a put and selling a lower-strike put, with the maximum loss defined as the net premium paid if the market never reaches the strikes. He states he trades debit spreads comparatively rarely, favoring credit spreads and cash-secured puts as his main strategies instead. For his own portfolio hedging on index futures, though, his stated preference flips to debit spreads specifically — bear put spreads and bull call spreads — rather than credit structures.

For sideways or genuinely uncertain markets he adds non-directional structures: the iron condor, which combines a bear call spread above the current price with a bull put spread below it, profiting as long as price stays inside both boundaries. He worked one iron condor on Alphabet with boundaries at 97 and 114, collecting a \$1.90 credit per contract against an estimated \$85 max loss, and a second on Viva with boundaries near 163-197 for a \$220 credit against roughly \$100 max loss. He lists iron condors alongside covered calls, diagonal spreads, and calendar spreads as his sideways-market toolkit.

He gives an explicit map from market view to structure: very bullish calls for a back ratio spread, moderately bullish a bull call spread, neutral-to-bullish a bull put spread extreme or cash-secured puts; on the bear side, neutral-to-bearish takes a bear call spread, moderately bearish a bear put spread, and a strong-collapse view a bearish synthetic or put back ratio.

His market view	Structure he maps to it	Source
Very bullish	Back ratio spread	
Moderately bullish	Bull call spread (debit)	
Neutral-to-bullish	Bull put spread extreme / cash-secured put	
Neutral / sideways	Iron condor, diagonal or calendar spread, covered call	
Neutral-to-bearish	Bear call spread	
Moderately bearish	Bear put spread (debit)	
Strong collapse view	Bearish synthetic / put back ratio	

11.7 Attribution: what he credits to Bang Pham Van

Several of the more elaborate structures discussed on the channel are not presented as his own invention. He repeatedly and explicitly credits a specific set of strategies to his business partner, whom he calls "the options genius" or "options grandmaster" — Bang Pham Van. He credits the Snipex and Snipex 4B strategies to Bang Pham Van directly, describing them as carrying a 90 percent win rate and allowing S&P index trading with as little as \$100. He credits the "Snipe X" calendar put spread variant to Bang Pham Van rather than to himself, and the "bear bounce spread" — a synthetic short stock plus a protective call — the same way. He credits the inverse back ratio strategy entirely to Bang Pham Van, describing it as normally reserved for a paid

subscriber community and taught to him rather than developed by him. He credits a specific technique for safely shorting Alibaba while still holding the long-term shares to Bang Pham Van by name, and states more broadly that a number of the proprietary structures taught in his paid options course are credited jointly to Bang Pham Van and himself, claiming these cannot be found in any textbook. He separately states Bang Pham Van generates 50 to 100 percent returns on his own portfolio consistently — a claim about a third party's results, reported here strictly as his claim.

The book's discipline throughout is to keep this material clearly attributed rather than folding it into "his method": Snipex, the calendar variants, the inverse back ratio, and the Alibaba hedge technique are Bang Pham Van's strategies as Khoo himself presents them, appearing on the channel because Khoo teaches them, not because he originated them. (Appendix D covers the broader question of co-trainer material excluded from this book on the same grounds.)

What he doesn't say about this

He never reconciles the two loss-cutting thresholds that recur across the options material — a 90-percent-of-realized-gain closing rule for winning spreads (Chapter 10.7) against a stop-loss-at-the-short-strike rule for losing ones stated here — into one unified "when do I close an options position" framework; the two rules address different situations, but no video puts them side by side. He states the bull put spread extreme's 90 percent win rate as a fact about his own trading in numerous videos but never discloses the underlying trade count, date range, or an independently auditable log behind that figure — as with his other self-reported track-record claims (Chapter 1), the number should be read as his stated claim about himself, not as verified performance. He does not address what happens to a credit spread's short strike during an overnight gap, when the discretionary "cut the moment price touches the strike" rule cannot be executed at the intended price. And while he names Bang Pham Van as the source of several named strategies, the

archive gives no video where Bang Pham Van's own underlying win-rate or track-record claims for those strategies are independently examined rather than simply repeated.

Chapter summary

- He uses options primarily as a premium seller, favoring non-directional and income-generating structures over directional bets, because he says he often has no strong view on which way a stock will move.
- The five Greeks he teaches — delta, gamma, vega, theta, rho — price every structure in this chapter; delta doubles as an approximate win probability, which is the mechanism behind every stated "win rate" figure in the chapter.
- Covered calls collect roughly 2%/month against shares he owns but cap upside at the strike — a trade-off that cost him real gains when Nvidia and Meta shares were called away right before further rallies, a mistake he names directly and now restricts the strategy to defensive names for.
- Cash-secured puts are framed as "getting paid to wait" for a target buy price, attributed by him to Warren Buffett rather than to his own invention, with worked examples on Coca-Cola, Lockheed Martin, Google, and Apple.
- His highest-conviction strategy, the bull put spread extreme, sells 10-delta credit spreads on uptrending stocks at support for a claimed 90 percent win rate — but that win rate is a property of the structure at entry, not a guarantee against the structural max loss the spread carries if held to expiry.
- The gap between headline win rate and structural max loss is closed only by a discretionary rule he must actually execute — cutting the trade the moment the short strike is breached — and worked examples show realized losses (about \$114 and effectively near-zero) running far below stated structural maximums (\$400 and \$390) when that rule is followed.

- Several of the more elaborate structures on the channel — Snipex, the calendar spread variants, the inverse back ratio, and a specific Alibaba hedge — are explicitly credited by him to his business partner Bang Pham Van, not presented as his own invention.
- He states the underlying trade-off of premium selling directly: a higher win rate means risking more to make less per winning trade, and he treats this as an unavoidable arithmetic fact rather than something a better strategy can escape.

Try this

He suggests picking a stock you already track, checking its current implied volatility percentile against its own one-year range, and then — if the percentile reads high — working out what a 20-25 delta credit spread would look like on it: the short strike's implied win probability, the credit collected, the strike width, and the structural maximum loss that width implies, before separately writing down at what price you would actually cut the position early under his rule of exiting the moment the short strike is touched.

CHAPTER 12

Shorting, Bear Markets, and Crashes

In this chapter: what Khoo does when a trend turns down — the rules that govern when he will and won't short, the four-step plan he runs on his investment portfolio during a bear market, his seven-sign bubble checklist, and the honest limits of all three, stated in his own words.

12.1 Why he bothers learning to short at all

Chapter 3 covered how Khoo thinks about the market's cycle in the abstract. This chapter covers what he actually does once the cycle turns down — first as a short-term trader, then as an investor managing a portfolio through a bear market, and finally as someone trying to recognize a bubble before it bursts.

His starting premise is that direction shouldn't matter to a trader's ability to make money. He says there is no good or bad market, only a bullish one or a bearish one, because a falling market is exactly as usable as a rising one if you know how to be short. He states his motive for learning the skill directly: he wants to make money every single month and every single year, which is only possible if he can also profit when prices fall, not just when they rise. He frames it as a straightforward expansion of opportunity — shorting doubles the number of setups available to him, because he can now profit from the

down legs of a chart as well as the up legs, and he adds a claim about the population of stocks worth trading: in his view, for every one company whose fundamentals are genuinely improving, roughly ten are deteriorating, so restricting yourself to buying only leaves you fishing in the smaller pond.

He also reframes what a crash actually is: the money an investor loses does not vanish, he says, it moves from the account of whoever held the falling asset into the account of whoever was short it — a psychological reframe as much as a trading one, turning a crash from pure loss into a transfer worth being on the right side of.

He names three practical routes to profiting from a decline — selling a stock short outright, buying put options, or buying an inverse ETF, an instrument he defines as engineered to move opposite the index. In earlier videos he names the inverse ETFs he used himself: DOG to short the Dow 30, DNO to short oil, GLL to short gold, applying the same 50/150 moving-average crossover rule from Chapter 8 to the inverse instrument itself. By a later video his stated preference has shifted: he no longer uses inverse ETFs, because their risk-to-return profile is a flat one-to-one — a dollar made if the market falls, a dollar lost if it rises — and he'd rather structure a trade where the potential return exceeds the risk.

Editor's note — a loss is a "transfer" only between two counterparties

True for a specific buyer and short seller of the same shares, but a less complete picture of a crash overall: a falling market also destroys value no short seller ever collected — a retirement account that stays invested and falls has transferred nothing to anyone; the future earnings estimate behind the price has simply dropped.

12.2 The rule everything else sits under: never short a strong trend

Before any setup, entry trigger, or stop-loss placement, one rule recurs often enough to function as the chapter's spine: he does not short into strength. Responding to a market strategist publicly calling for shorts on the S&P 500, his answer is simply "never short against the trend". He gives it the same 45-degree/90-degree shape Chapter 3 used for market tops: a trend climbing at roughly 45 degrees is healthy and tends to keep going, so he won't short it; only once the slope steepens toward 90 degrees, a parabolic and unsustainable move, does he consider shorting the eventual reversal. He holds the line even when he personally believes a market is overvalued: discussing a market he thought near a top around a P/E of 21, he still wouldn't short while price kept rising, because no one can predict the exact turn — he waits for the trend to actually reverse. Years later, describing a mistake he says he learned from, he restates it almost identically: never short the market in a confirmed bull market, defined mechanically as price above a rising 200-day average, or the 50-day average above the 150-day — and warns that shorting is especially dangerous while price sits above rising 20-, 50-, and 200-day averages making higher highs and higher lows, since that's fighting the trend rather than riding it.

He allows one narrow exception: traders like himself will, on occasion, short an overbought condition inside an uptrend as a short-term counter-trend trade — with its own warning attached, since if the position isn't closed in time, price will hit support and the underlying uptrend will resume, running straight through the short.

There's a mechanical reason the rule holds even for traders who reject it. When enough short sellers are positioned against a rising market, a rally can force them to buy back shares to cap their losses, and that forced buying itself adds upward pressure — a short squeeze feeding the very rally they bet against. The asymmetry follows directly: on a downtrend, going short is the safer trade; on an uptrend, the reverse is true — what determines a position's

risk isn't long versus short, but whether it runs with or against the prevailing trend.

12.3 Five setups, and the trigger inside each one

Beyond the standing rule about trend direction, Khoo names five specific situations he treats as offering the lowest risk and the highest potential reward for a short.

Deteriorating fundamentals. He shorts fundamentally weak companies showing declining margins, lost market share, slowing sales, and unsustainable debt — Michael Kors, where revenue rose while net income fell, a divergence he treats as a warning sign, and Groupon, whose losses were visible before its roughly 73 percent decline.

An uptrend reversing into a downtrend. He shorts at the start of the new downtrend once the reversal confirms, mirroring the long-side exit logic from Chapter 10: sell to close the long, then open the short.

A rally within an existing downtrend. The setup he returns to most, and the inverse of "buy the pullback": he never shorts at the bottom, since price near a low tends to bounce and take out a stop, and instead waits for a rally into resistance and shorts the moment it fails. He plots the 50-, 100-, 150-, and 200-day moving averages as layered resistance for that rally, citing JC Penney rallying repeatedly into its 150-day average as a worked example. A broken support level becomes resistance the same way, and some traders wait for the retrace back up to it before shorting the failure.

A breakdown out of a consolidation. He requires the range's support to have been tested at least three times before treating a break as shortable, with the stop placed just above that now-resistance level.

An overbought peak at the top of an uptrend. He shorts the retrace once a rising trend looks stretched — but warns that shorting purely because an oscillator reads "overbought" is an amateur mistake, since a strong trend can stay overbought a long time before it turns.

Candlestick confirmation sits alongside all five setups rather than replacing them: the bearish pin bar, tweezer top, one-black-crow, and evening star are mirror images of the bullish patterns from Chapter 9, most reliable at a resistance level on an already-falling trend. For a counter-trend short, his overbought confirmation combines stochastics above 80 with price at the upper Bollinger band, requiring either two of his three standard indicators bearish, or one plus a confirming bearish candle.

12.4 Risk on a short: the asymmetry he manages deliberately

A short has a structural feature a long doesn't: the loss is theoretically unbounded, since a share price can in principle keep rising indefinitely, while a long's downside is capped at the capital put in. Khoo states this plainly and repeatedly, giving it a Buffett framing in one video: Buffett avoids shorting even stocks he expects to fall because the trade's maximum gain is capped at 100 percent — the stock going to zero — while the loss side is open-ended.

His stated response is not to avoid shorting but to manage the asymmetry directly. A short must always carry a stop loss, without exception, and he adds a practical (not a substitute) backstop: a broker will forcibly buy back the position once losses exceed the account's capital — "the stockbroker is more afraid of you than you are of him". His own rule is to set the stop before entry, typically just above the moving averages he's treating as resistance.

He's blunt about a case where his own practice didn't hold up: he admits he used to short heavily, made money on individual trades, but gave the gains back over the long run — today he shorts mainly for entertainment, using options for defined risk rather than the underlying shares. That admission tracks his stated general preference for options over a naked short: a direct short can gap past a stop-loss order at the next available price, while an option's maximum loss is capped at the premium paid — options, he says, add "a silencer and grenade launcher" to the basic rifle of a short. He also tracks borrow cost, generally 0.1 to 5 percent a year, up to 8 percent for

illiquid names, and won't short a stock whose fee exceeds about 3 percent; in Singapore, where borrow costs run around 6 percent, he avoids the underlying shares and uses other instruments. Direct short selling itself is available in Singapore, the US, Hong Kong, and Japan, but not Malaysia or Indonesia.

12.5 What makes a bear market, and what he actually does inside one

Khoo defines a bear market mechanically, as Chapter 8 defines an uptrend or downtrend: a drop of at least 20 percent from the prior high. Below that, a decline of roughly 3 to 15 percent is a normal, healthy retracement inside an intact uptrend, not a trend change.

Not every bear market is the same size or danger, and he draws a repeated distinction between the two kinds. Citing data he attributes to Pension Partners rather than his own research, he says that across the 90 years since 1929 there have been 21 bear markets, 11 of them — 52 percent — accompanied by a recession, with non-recessionary bear markets averaging a 29 percent decline against 42 percent for recessionary ones. Duration follows the same split: three months to 31 months historically, averaging about 12 months without a recession and 17 with one, with an overall average drawdown of 36 percent, ranging from 20 percent up to over 54 percent in a major crisis. He names the milder category a "baby bear market" — short, non-recessionary, businesses still fine — and says he expected exactly that going into the late-2018 decline, a 20-to-30 percent baby bear rather than a full 50 percent one, reasoning the yield curve hadn't yet inverted and even a mid-year inversion would put the earliest plausible recession a year out. Elsewhere he cites an unnamed-source statistic that even after inversion, the market has on average kept rising roughly six more months before peaking — an inversion is a warning, not an immediate trigger.

He states the sharper, non-price-based test he leans on to call a bear market "real" rather than a correction: whether corporate operating earnings are declining, not just growing more slowly. He points to earnings turning

outright negative in the dot-com crash, 2008, and the 2020 recession, against a period he discusses where earnings were still positive and growing — just slower — arguing that distinction, not a headline GDP figure or a price drawdown alone, is what separates a genuine bear market from a scare.

Editor's note — why "operating earnings negative" is a stricter bar

A 20 percent price drop can happen for reasons unrelated to profitability — a sentiment shock, a rate-driven valuation reset. Operating earnings move more slowly and reflect what businesses actually collect from customers, so a genuine decline there is a harder, lagging confirmation the economy is contracting rather than that the same earnings stream has simply been repriced at a lower multiple. Earnings data is reported quarterly and revised afterward, so this test necessarily confirms well after the price-based threshold has already fired — it's a check on severity after the fact, not an early-warning tool.

Bear markets, in his account, don't end because of good news — they end because bad news arrives and the market simply refuses to fall any further, evidence he reads as panic sellers exhausted and only institutional buyers remaining. One dated recovery marker he offers: in every bear market he says he's studied across the last century, once the market recovers more than 55 percent of its losses, it has never gone on to make a new low — only new all-time highs. He hedges the rule immediately: a new low after a 55 percent recovery would simply be a first, and a severe enough shock — he names a second pandemic wave as a live possibility at the time — could still do it.

He's candid about a timing approach that didn't hold up under his own testing: backtesting a moving-average exit-and-re-entry strategy across the last 11 bear markets, he found it left a trader better off in only 2 cases and worse off in 9, a result he reports plainly rather than reworking to look better in hindsight, though he doesn't detail the backtest's methodology. He separately warns against selling and waiting to rebuy on different grounds: protracted, multi-year bear markets happen only about once every twenty

years, while most last one to four months, so a seller risks buying back higher once the reversal comes — illustrated by the 2018 bear market, a three-month decline where a moving-average re-entry signal would have triggered a buyback above the original sale price.

Both "21 bear markets" and "2 of 11" are small samples in the statistical sense — swap one or two borderline episodes in or out of either count and the percentages move meaningfully. That doesn't make the figures wrong; like Chapter 3's base rates, they're historical color that shapes expectations, not precise probabilities to size a trade against.

For an investment portfolio, as opposed to a trading account, he lays out a four-step bear-market plan. Step one: diversify into genuinely good companies, trimming weak holdings and weighting toward businesses resilient through a recession. Step two: treat the decline as opportunity — look for strong companies at a discount, funding the buying by spending less and saving more, adding at identified support levels rather than calling the exact bottom. Step three, aimed at the trader rather than the buy-and-hold side of the same portfolio: since even excellent companies can keep falling another 10 to 20 percent even though they'll recover long term, use options to profit from that near-term decline rather than sit through it passively. On whether to sell at all, he narrows the legitimate reasons sharply — low-quality or overvalued holdings, where a long recession could genuinely put the business under — and treats selling a sound company purely because the market fell as a mistake outside that list.

12.6 Recognizing a bubble: the seven-sign checklist

Bear markets are one hazard; bubbles are the setup that precedes the sharpest of them, and Khoo organizes his approach into seven named warning signs distilled from a set of reference cases: Dutch tulip mania in 1637, the South Sea bubble of 1720, Japanese property and stocks in the 1980s, the dot-com bubble of 2000, and US real estate leading into 2008. He defines a bubble as the price of an asset rising to unsustainable levels far exceeding its

fundamental value, driven by speculative demand — buying purely to sell to someone else at a higher price rather than for what the asset is worth — a mechanism he names the greater fool theory and compares to a Ponzi scheme: it works only as long as a "greater fool" keeps showing up to buy at the next price.

Sign one — overvaluation. Price running far beyond fundamental intrinsic value to an unsustainable level; he compares it to a rubber band stretched too far and too fast, which snaps back. For stocks he puts a rough number on it — merely "expensive" above intrinsic value, a bubble once running 50 to 100 percent above it — and for housing, when monthly mortgage payments run three to four times the rent the same property could collect.

Sign two — "this time is different." Participants telling themselves the normal rules of valuation no longer apply, as in dot-com's replacement of profit and revenue with "eyeballs" and "clicks": Yahoo at a P/E of 1,062, AOL at 217, Pets.com at a price-to-sales ratio of 646, Internet Capital Group at 800 while still losing money.

Sign three — the "auntie indicator." When relatives with no financial background start texting him about buying whatever asset is running, he treats a crash as likely near — retail arrives at maximum optimism only after heavy media coverage, exactly when professional money is already selling into it; a related, earlier stage is amateurs swapping tips driven by fear of missing out.

Sign four — sensationalized media, turning ordinary people into overnight-millionaire stories. **Sign five — rising leverage,** speculators using borrowed money and margin, which he says has fueled every bubble in his reference set, from dot-com margin debt to 2007–2008 housing over-leverage to the borrowing behind the 2020 bond-market run. The psychology is a false sense of security — once prices have only risen, borrowing to amplify the position feels safe rather than risky; widespread margin buying is itself a further top signal for the same reason.

Sign six — dominance of everyday conversation, at work and at parties, with people talking about quitting their jobs over it — a sign he turns into a

direct question: right now, what's the one asset everyone keeps bringing up?. **Sign seven — skeptics dismissed** as people who "just don't get it". What makes the combination dangerous, he sums up, is that people inside a bubble don't realize they're in one — hypnotized by the music, always finding a fresh justification, recognizing it only once it's too late.

The checklist has a technical companion using the same 45-degree/90-degree language from Section 12.2: a healthy uptrend rises around 45 degrees, and a bubble typically finishes near-vertical, close to 90 degrees — extreme greed rather than sustainable demand. He points to gold, the TLT Treasury ETF, and the ARK innovation ETF as recent examples that ran 45 degrees before going parabolic and falling, and separately flagged cloud computing, ARK's holdings, alternative energy, and EVs as running too far too fast — while qualifying that the underlying industries have genuinely strong long-term futures; his objection is to the pace of the near-term move, not the businesses.

12.7 The honest caveat: double climaxes and a pattern that resists disproof

Khoo does not let the checklist stand as a clean, mechanical top-calling tool, and the caveats he attaches to it are worth reading as carefully as the seven signs themselves.

The first caveat concerns the parabolic 90-degree move that Section 12.6 treats as the technical confirmation of a bubble's late stage. He notes the pattern can happen more than once before the real top forms — a parabolic run, a fall, then a second parabolic climax, a "double climax," before the actual decline begins. He extends the same idea to counter-trend shorts generally: after a parabolic move plus a powerful reversal candlestick, an experienced trader can take a counter-trend short, but frames even that as a short-term, high-skill exception rather than a reliable top call.

The second caveat is broader and, in his own words, the central limitation of the whole exercise: you can know a bubble will eventually burst, but never

when — and no matter how high a price looks, it can always go meaningfully higher first. He applies that to a live call, not just a historical one: discussing Bitcoin, he states flatly that he considers it to be in a bubble, and in the same breath concedes it could still rise another 100 percent before it turns. He states directly why he doesn't short an asset he believes overvalued: expensive can always become more expensive, and identifying the exact top is the actual problem the checklist doesn't solve — consistent with the standing rule from Section 12.2 that he does not short a trend that is still climbing.

He is explicit about what the checklist is actually for, and it's narrower than top-timing: the value of studying past bubbles, in his own framing, is that the patterns recur, so recognizing them lets a trader stay careful and manage risk — not that recognizing them lets anyone call the exact top. He also names the diagnostic's blind spot directly: bubbles are genuinely hard to recognize from the inside, and mostly become obvious only in hindsight.

Editor's note — why "it can double-climax" makes the checklist hard to falsify in real time

This is the same structural problem Chapter 3 found in the bottom-calling indicators, applied to the top side of the cycle. A sign like "media sensationalizing extraordinary returns" is a testable, in-the-moment observation. But once the framework also allows a first climax, a pullback, and a second climax before the "real" top, almost any sequence becomes retroactively consistent with it: a pullback that resumes upward reads as "the first climax before the double," and a move that keeps going without pulling back reads as "still building toward it." No observation, in principle, rules the framework out ahead of time — the philosopher Karl Popper's definition of an unfalsifiable claim. That doesn't make the underlying pattern unreal — double-topping is a documented feature of real bubbles, including the dot-com top, which formed across a series of lower highs from March to September 2000 rather than one vertical spike. It means the checklist should be read exactly as Khoo frames it: a prompt for caution, not a signal that tells you, in the moment, when the top has actually arrived.

What he doesn't say

He does not quantify a win rate or historical hit rate for any of the five short setups in Section 12.3 — they're given as rules and worked single examples, not backtested statistics. He does not reconcile his two stated positions on inverse ETFs — the tickers he names using himself in earlier material against his later preference to avoid them entirely — beyond what the dates imply about a changed view over time, nor does he revisit his own admission of giving back short-selling profits over the long run with detail on which setups cost him the money. On bear markets, he never states how a reader should combine the 20-percent price threshold, the yield-curve lead-time statistic, and the operating-earnings test into one decision about whether a given decline is a correction or something larger — the three are given separately, without an instruction for weighing them against each other. And on bubbles, he never states how many of the seven signs need to be present before he personally treats an asset as being in a bubble rather than merely expensive — it's a watch-list, not a scored test with a threshold.

Chapter summary

- Khoo learns to short because he wants to profit in both directions of the market, not only on the way up, and treats a bear-market loss as a transfer of wealth to whoever is positioned short rather than a pure destruction of value.
- The rule that governs every short setup is the same: never short a strong, still-climbing trend — he waits for a 45-degree uptrend to break down into something closer to a 90-degree parabolic reversal, or for a confirmed trend change, before shorting.
- His five lowest-risk short setups are deteriorating fundamentals, a confirmed uptrend-to-downtrend reversal, a failed rally within an existing downtrend, a consolidation breakdown, and an overbought retrace at the top of an uptrend — each with its own specific entry trigger.

- Because a short's loss is theoretically unlimited, he treats a stop-loss as mandatory on every short, prefers defined-risk options over the naked position when practical, and by his own admission gave back short-selling gains over the long run before shifting toward that more defined-risk approach.
- He defines a bear market as a 20 percent drop from the high, splits the historical record into recessionary and non-recessionary bear markets with different average depths and durations (drawn from a source he credits rather than his own research), and treats operating earnings turning negative as the sharper bar separating a real bear market from a scare.
- His four-step bear-market plan for an investment portfolio is: diversify into resilient, high-quality companies; buy the discount at identified support levels; use options to manage the possibility of further near-term decline; and sell only low-quality or overvalued holdings, not sound businesses caught in the general fall.
- His seven bubble warning signs — extreme overvaluation, "this time is different" reasoning, the "auntie indicator," sensationalized media coverage, rising leverage, dominance of everyday conversation, and dismissal of skeptics — are drawn from historical episodes from tulip mania through the 2008 housing crash.
- He states the checklist's honest limit himself: a bubble's parabolic top can repeat as a "double climax" before the real decline starts, and no matter how overextended a price looks, it can always go higher before it turns — which is why he uses the framework for caution rather than as a tool for calling the exact top.

Try this

Pick one asset currently dominating conversation among people you know who don't normally discuss markets — Khoo's own "auntie indicator" test — and check it against all seven signs from Section 12.6, not just the one that

prompted the check: overvaluation, "this time is different" reasoning, rising leverage, and skeptics being mocked rather than answered. Write down what you find without acting on it — the exercise, in his own framing, is for building the habit of noticing, not for producing a signal to trade.

CHAPTER 13

Forex: A Second Book, Under-Documented

In this chapter: what he trades forex for, the mechanics and setups he's put on video, and the one clear place where his own numbers for forex disagree with the numbers he teaches for stocks — an inconsistency he states himself rather than one this book is imposing on him.

13.1 Why forex, alongside everything else

Forex is one leg of a portfolio he describes running in parallel with long-term investing, stock swing trading, and options: a long-term investment portfolio, daily stock trading, intraday forex trading, and options income, all at once. He states his own division of labor plainly — he day trades forex, swing trades stocks, and invests in stocks — treating each as a distinct activity with distinct rules. Forex intraday trading, he says, is a small proportion of his overall portfolio that supplements income rather than anchoring it.

The appeal he states explicitly is structural, not that forex is easier. It's the biggest market in the world — he cites roughly three trillion dollars traded daily against roughly 500 billion for the entire stock market, which gives the liquidity to enter and exit quickly. It's a 24-hour market five days a week, so it fits around a day job, or around the hours the stock market is closed. He

frames this as complementary rather than a replacement: he trades stocks when the stock market is open and forex when it isn't, so there's always something to trade — he compares it, half-jokingly, to a fast-food chain that stays open around the clock. He needs less than a million dollars in cash to take a position of that size because of leverage, which he says is the only reason the returns he describes are possible at all.

He also names a caution here that his stock-market chapters don't carry in the same form: less than 10 percent of people make money trading forex, and 90 percent will lose money even with the best courses, books, and strategies available. That statement sits in the same videos as his own results claims, and the book treats it the way it treats his other self-reported numbers — as his claim, not as independent verification.

Editor's note — why forex draws so many undercapitalized beginners

Forex brokers routinely offer leverage of 50:1, 100:1, or higher on retail accounts, which lets someone open a position with a few hundred dollars that would otherwise require tens of thousands. That accessibility is also why the failure rate he cites is unsurprising: the same leverage that makes forex approachable on a small account also multiplies the damage of an undersized stop or an oversized position. His own account-sizing procedure below is the mechanism that keeps leverage from doing that damage — the arithmetic exists specifically because the market invites people to skip it.

13.2 The mechanics: pips, lots, spreads

Forex quoting has its own vocabulary, and he's put a fair amount of pure-mechanics content on the channel — more procedural than strategic. In a pair, the first currency is the base currency and the second is the quote currency; the base currency always carries a value of one. Every pair except those involving the Japanese yen is quoted to four decimal places, so one pip equals 0.0001; yen pairs are quoted differently, to two decimal places. A fifth

decimal place, where brokers show one, is a fractional pip and he says it's too small to matter.

Position size is denominated in lots: one standard lot is 100,000 units of the base currency, a mini lot is 10,000, a micro lot is 1,000, and a nano lot is 100. Profit or loss works out to pips captured, multiplied by lots traded, multiplied by the dollar value per pip per standard lot. For most actively traded pairs — he names EURUSD, GBPUSD, and AUDUSD — that dollar value per pip is usually about \$10 per standard lot. He notes the exact value drifts and should be checked against a pip-value table rather than assumed. Worked example: one standard lot of EURUSD bought at 1.3510 and sold at 1.3550 captures 40 pips, or \$400 at \$10 a pip. Without leverage, \$400 on a \$135,100 position is a 0.29 percent return — which he offers as the reason every forex trader uses leverage, not as an incidental detail.

His account-sizing formula, stated directly: lot size equals net liquidation value times risk percent per trade, divided by stop-loss distance in pips times the dollar value per pip per standard lot. Worked example: a \$10,000 account risking 1 percent with a 20-pip stop and \$10-per-pip value gives 0.5 lots, or 50,000 euros of EURUSD exposure.

Two mechanical points he's explicit about, both easy to get wrong on a live platform:

- Forex orders trigger off the bid and ask, not off the last transacted price the way stock orders do. You always buy at the ask and sell at the bid, and the ask is always higher than the bid — that gap is the spread, and the instant you buy and sell you've paid it. A candlestick's charted price on MetaTrader 4 is the bid; the ask is hidden until activated, which he offers as the explanation for orders filling "before the candle got there" — the ask line hit it first, even though the visible candle hadn't. He dismisses the broker-conspiracy explanation for this outright, arguing that profitable traders use the same brokers as unprofitable ones. He says spreads of a pip or less aren't worth worrying about; the trouble starts once a spread reaches one to five pips. Liquid pairs like EURUSD and USDJPY carry

very thin spreads; more exotic pairs like EURNZD or GBPNZD can run two or three pips.

- He avoids holding a position through the daily broker rollover, when spreads widen — 5 p.m. Eastern for many brokers, 5 a.m. Singapore time in his own frame of reference — and says he always exits before then.

13.3 Sessions and pair selection

He maps the trading day by session, in Singapore time, which he says to flip for Eastern time: Sydney opens around 6 a.m. and activates the Australian dollar; Tokyo runs roughly 8 a.m. to 4 p.m. and activates the yen; London opens around 4 p.m. and activates the euro and the pound; New York runs 9 p.m. to 5 a.m. Singapore time, and traders working the most liquid pairs, like EURUSD, typically start watching from around 4 p.m. onward as London and New York overlap. Spreads run thinnest during the London and New York opens and can widen outside those active windows. Before trading, his morning routine starts with Forex Factory to check for scheduled major news; if something significant is due, he says he steps away from his normal strategy for that window and trades a dedicated news-scalping strategy instead.

He organizes his charting platform by currency rather than by pair — one saved MetaTrader 4 profile per currency, so a single click opens every chart involving that currency at once. He trades the eight major currencies and their pairs, avoiding exotics — he names Zimbabwe and Singapore dollars as examples of pairs he stays away from — and says the most successful traders confine themselves to the seven most common, most liquid pairs, which carry the highest volume, greatest volatility, and tightest spreads.

His central pair-selection tool, which recurs across multiple videos, is a currency strength meter — a proprietary tool built by his company and given free to course students. The rule stated flatly: buy the strongest currencies and sell the weakest, at the same time. On the meter, a reading of 60 or above marks a currency as strong (shown green), below 40 marks it weak (red), and

the band between is neutral (yellow) — he only wants to trade the green against the red, avoiding neutral entirely. He warns that currency strength is timeframe-dependent — a currency strong on the hourly chart can be weak on a lower one — so there's no single "correct" timeframe to read it on. His stated process: read strength on the four-hour or hourly chart, then drop to a lower timeframe — the 15-minute is named repeatedly — to hunt the actual entry.

He explicitly avoids pairing two strong currencies or two weak currencies against each other. EURGBP, with both legs strong, is his named example of a pair that fights itself and goes sideways; CADJPY, with both legs weak, is his example of the mirror case. Applied to the roughly 49 pairs the eight majors produce, the strength filter typically narrows the day's watchlist to around six focus pairs — though he's explicit that six was simply that particular day's reading, not a fixed target.

A second, related filter is cross-pair correlation. Before taking a trade he wants to see the other pairs of both currencies involved moving in agreement — all of a currency's pairs showing the same direction gives him more confidence the whole currency is moving, not just the one chart in front of him. He'll still take the trade if only one of the two currencies shows that internal agreement, but not if neither does. If he ever holds two positions at once, he requires they not be correlated — his example is long EURUSD and short USDJPY, both of which are bearish bets on the dollar and would double the same exposure rather than diversify it.

13.4 The trend filter: 18/50/200, not 20/40 or 50/150

His forex moving-average setup is a distinct convention from the ones documented for stocks elsewhere in this book. Where the stock chapters describe 20/40 and 50/150 crossover pairs, his forex material uses a three-line stack: the 18, 50, and 200 moving averages, with the 18 and 50 exponential and the 200 simple. He states this directly as a course-level distinction: the advanced forex strategies use mostly the 18, 50, and 200, not the 6-period

average that features heavily in the impulse-pullback and impulse-pin-bar strategies of his basic course.

A clear uptrend, on this filter, is the 18 above the 50, the 50 above the 200, with all three sloping upward. A clear downtrend is the mirror — 200 on top, then 50, then 18, all sloping down — which he demonstrates on USD/CHF 15-minute candles. Consolidation is read the opposite way: the averages moving sideways and crossing back and forth over each other rather than stacking in sequence, which he contrasts with the clean stacked arrangement he calls a "rainbow".

He also treats the moving averages as dynamic support and resistance once a trend is established, describing price on an uptrend repeatedly bouncing off the 18-period average as "surfing the 18 moving average" — his cue to wait for a pullback to the average and enter on the bounce rather than chase the move. The same idea generalizes across a currency's whole family: different currencies find support at different moving averages at different times — sometimes the 18, sometimes the 50 — and he says trend, support levels, and candlestick patterns aren't sufficient on their own; strength has to agree too.

13.5 The setups he names

He names a small, consistent set of forex strategies across the videos, rather than a large or shifting one. Taken together with the "normal" label he applies to three of them, this reads as a fairly settled toolkit rather than something still being iterated in public:

- **Bull flag / impulse pullback.** His primary forex strategy, which he describes as "surfing off the moving averages". After the moving averages signal a new short-term trend, he does not enter at the very start of the move; he waits for a pullback. A worked long example: enter 0.9770 with an 8-pip stop at 0.9769 — sized so the 8 pips equals 2 percent of capital — and a 12-pip profit target. He says he found 1.5R to be the optimum target specifically for this strategy on 15-minute candles.

- **Impulse pin bar.** After a moving-average crossover, a pin bar takes out the stop losses of traders positioned the wrong way, "fooling" them, before the real move begins.
- **Trend continuation.** A pullback entry in the direction of an established trend; he says this strategy alone can get him roughly five to seven R a month, describing himself as "pretty daring" on it, risking up to five percent of capital per trade. He walked one such trade live on AUDJPY.
- **Moving-average bounce.** A currency on a strong trend tends to retrace and bounce off its moving averages; the strategy goes long on pairs in a strong uptrend and short on pairs in a strong downtrend as they bounce. He's explicit this doesn't happen every time and isn't always reliable, which is why he teaches criteria for when to trust a bounce and when not to. Stated numbers: 10 to 15 setups a month, a profit ratio around 1:2, on 15-minute candles, working across every currency pair. A prerequisite is confirming the wave structure first — without the right swing-high/swing-low structure, he says the bounce isn't tradeable.
- **Range trading.** In sideways, choppy markets: buy at the bottom of a range, at a demand zone or support level, and sell at the top, at a supply zone or resistance level. He anticipates the obvious objection — that support and resistance sometimes just break — and frames the method as being about avoiding the trades where that's likely, not eliminating the risk entirely. He trades the range with a directional bias rather than mechanically both ways: with a long bias, only buy at support; with a short bias, only sell at resistance. Stated frequency and payoff: 10 to 15 setups a month, risk-to-return of roughly 1:1.5 to 1:2, working across all forex pairs.
- **News scalping.** Not his own invention — he credits an old friend and colleague, Thomas, with the original idea, which they later refined together. The approach: enter the instant a scheduled release (interest rates, GDP, non-farm payrolls) hits, exit within roughly 60 seconds to a few minutes. He does not attempt to predict which direction the release

will move price. Mechanically, he straddles the news — a buy stop 12 pips above the current price and a sell stop 12 pips below it, placed exactly three minutes before the release, no earlier and no later — and once one side triggers, cancels the other. Rather than a fixed target, he trails the stop up toward the current price while the move is running, to capture as much of the spike as possible. A worked example: risking 12 pips to make 58, which he calls roughly 1R to 4.8R in about 60 seconds; he notes some news trades risk 12 pips for as much as 120 in under two minutes. He acknowledges many traders lose money on this approach because price can spike one way on release and then reverse hard the other.

- **Fibonacci confluence.** Presented as a supporting tool, not a standalone method: in an uptrend, price tends to retrace to the 0.618 level or, failing that, at least the 0.5 level, before the next impulsive move. He's explicit that Fibonacci by itself isn't reliable enough and has to line up with a candlestick pattern, a moving average, or a horizontal support level before he'll act on it. A retracement beyond 61.8 percent tells him the trend may already be broken, and he calls that setup risky enough to skip.

He is equally explicit about what he doesn't trade: breakout entries — buying the break of resistance or shorting the break of support — are "not his cup of tea" in forex, and he says outright that he doesn't use them, distinguishing himself from traders who do. The broken-resistance retest buy (and its mirror, the broken-support retest short) gets the same treatment — a strategy other traders use that he says he doesn't use that often.

Entry discipline that applies across these setups: never chase price. If it's already moved without you, stated flatly for both directions — long or short — the instruction is to let it go, not to jump in late. He justifies waiting for a pullback fill on the grounds that forex "doesn't move in a straight line" — price fluctuates on the way to any target, which is what a limit order at a retracement level is there to exploit.

13.6 The R-target inconsistency, in his own words

This is the spine of the chapter, and it's worth stating exactly as he states it rather than smoothing it into consistency it doesn't have.

He teaches a 2R profit target for stock trading elsewhere on the channel. For forex, he says directly that he uses 1.5R instead — not 2R — and names the reason himself: forex prices move more erratically than stocks, and a 1:2 target simply doesn't get hit often enough, which drags down his win rate if he insists on it. He repeats the same comparison elsewhere, framing it as "1.5R for forex" against "1 to 2 for stocks," again citing forex's greater volatility and the win-rate cost of holding out for a bigger multiple. And separately, describing the impulse-pullback bull flag specifically, he says 1.5R is what he's found through experience to be the optimum target on that strategy, on 15-minute candles.

This is a genuine, acknowledged inconsistency, not an interpretive stretch by this book. He teaches one risk-reward convention for stocks and a smaller one for forex, and states his reasoning for the gap in his own words. It's worth reading the other numbers around it as the practical texture of what "1.5R" means across his stated forex setups, rather than as a second, competing rule: the range strategy runs 1:1.5 to 1:2; the moving-average bounce runs roughly 1:2; the impulse-pullback worked example is an 8-pip stop against a 12-pip target, which is exactly 1.5R; and the Trend Rider strategy he later teaches his student community risks 1R to make 1.4R, close to but not identical with the 1.5R figure, with 1R stated in that example as \$400. None of these contradict the 1.5R-vs-2R claim; they're simply the range of concrete numbers that sit under it. He also, separately and outside this specific R-target framing, describes a cautionary example — not his own trading — of a forex trader running a 90 percent win rate on a 100-pip stop against a 15-to-20-pip target, which inverts the risk-reward relationship entirely; he offers it as a warning about how a high win rate can mask a structurally bad trade, not as a method he endorses.

He also names a rough win rate for his own core forex strategies — the impulse pullback and impulse pin bar — at about 55 to 60 percent on average, sometimes higher, and states trading volume of roughly 20 to 40 trades a month in currencies on 15-minute candles.

13.7 Trader classifications and holding-period conventions

Separately from the specific setups, he lays out a general taxonomy of forex trading styles by holding period, which functions as a reference point for where his own trading sits:

- Position traders hold for weeks to months, riding the larger trend, leaning mostly on fundamental news, targeting 500 to 2,000 pips per trade.
- Swing traders target 50 to 150 pips per trade, hold less than a week, and work off hourly and four-hourly charts.
- Day traders enter and exit within 24 hours, taking one to four trades a day, targeting 20 to 40 pips, on 15-minute, hourly, and four-hourly charts.
- Scalpers watch bar by bar and exit within one or two minutes, sometimes seconds, targeting 5 to 10 pips.

He says he's traded in every one of these roles over the years, and that day trading is what's been most productive for him personally. His stated preferred timeframe is the 15-minute chart, which recurs across nearly every setup description above; he also uses the hourly and four-hour charts, and says he finds the daily timeframe too slow for his patience. A trade on his core strategies typically runs anywhere from 15 minutes to three or four hours, though he also describes an average of one to two hours, rarely more than two. A discipline he states as a hard rule: he always closes his forex positions before the weekend and never carries one over — one demonstrated example is a CADJPY position closed for a modest \$7 profit specifically so it wouldn't be left open overnight into Friday close.

What he doesn't say about this

Coverage on forex is genuinely thinner than on stocks or options, and rather than pad around the gap this book states it plainly. He does not, anywhere in the archive drawn on for this chapter, give a full session-by-session correlation table across all eight majors, or a complete published list of which pairs he treats as "correlated" beyond the two or three worked examples he shows on camera. He does not reconcile the 1.5R figure with the Trend Rider's 1:1.4, beyond both existing as separate, later strategies taught to his student community — whether 1.5R is a general house target he's since refined per-strategy, or whether the two figures simply belong to two different systems taught years apart, isn't something he addresses directly. He does not state a maximum number of open forex positions at once, only that any simultaneous positions must not be correlated. And while he names the currency strength meter as central to his pair selection, the meter itself is proprietary — built by his company, not explained mechanically on camera — so a reader can adopt the buy-strong/sell-weak rule but cannot reconstruct the underlying calculation from what he's shown.

Chapter summary

- Forex is one part of a parallel portfolio — investing, stock trading, forex, and options run together — not a stand-alone system; he day trades forex, swing trades stocks, and invests in stocks as three distinct activities.
- Mechanically: pips, lots, and the bid/ask spread work differently from stocks — orders trigger off bid/ask rather than last price, and position size is set by a formula ($\text{capital} \times \text{risk\%} \div (\text{stop in pips} \times \text{pip value})$).
- Pair selection runs through a proprietary currency strength meter — buy the green (strong, 60+), sell the red (weak, below 40), avoid the neutral yellow — combined with a check that a currency's other pairs are moving the same direction.

- His forex trend filter is the 18/50/200 exponential/simple moving-average stack — a distinct convention from the 20/40 and 50/150 pairings used for stocks elsewhere in this book.
- He names a consistent small set of setups — bull flag/impulse pullback, impulse pin bar, trend continuation, moving-average bounce, range trading, news scalping, Fibonacci confluence — and is equally explicit about what he avoids: breakout entries and resistance/support retests.
- The chapter's spine: he uses a 1.5R profit target for forex against the 2R he teaches for stocks, and states the reason himself — forex's greater volatility means a bigger target simply doesn't get hit often enough.
- News scalping straddles a scheduled release with orders placed exactly three minutes ahead, trailing the stop rather than fixing a target, and he attributes the strategy's origin to a colleague, not himself.
- Coverage here runs out faster than in the stocks and options material — no full pair-correlation table, no reconciliation between the 1.5R figure and later per-strategy variants, and no mechanical breakdown of the strength meter itself.

Try this

He suggests, for the currency-strength approach, matching a green (strong) currency against a red (weak) one and only then checking that pair for a trend, retracement, or breakout setup on the lower timeframe. A reader without access to his proprietary strength meter can still apply the underlying logic he states: before taking any forex setup, check whether the currency's other pairs are moving the same direction — if EUR/USD looks like a buy, pull up EUR/JPY, EUR/GBP, and EUR/AUD and see whether the euro is strong against all of them, not just the dollar.

CHAPTER 14

Risk and Position Sizing

In this chapter: how Adam Khoo decides how much of his account to put on any single trade, how he limits what several trades at once can do to him, and what actually happens — in his own numbers, restated across a decade — when a losing streak arrives.

14.1 Risk management comes before the trade

Across the trading half of the channel, Khoo returns to one framing more than any other: the instrument you trade is not what makes trading risky. He states directly that there is no such thing as a risky instrument — risk comes from the risk per trade, the position sizing, and the leverage used, not from the asset itself, and he illustrates the point by comparing someone risking ten percent per trade on stocks against someone risking one percent on forex, which makes the "safer" asset the riskier bet in practice. He defines money management, in as many words, as position sizing: knowing how much to risk per trade and keeping that risk both consistent and small. And he defines risk per trade itself narrowly — it is the maximum loss on a trade, fixed by wherever the stop-loss sits, on the assumption that a stop-loss is always placed.

That last condition matters and recurs throughout this chapter: nearly everything below applies to the stop-loss-mandatory trading book described

in Chapter 2, not to the no-stop-loss investing book. When Khoo talks about position sizing, R-multiples, and risk percentages, he is talking about trading. The investing book has its own risk logic — the tranche-buying-into-drawdown sizing covered in Chapter 6 — built on a different premise entirely.

Editor's note — why "risk" and "position size" are not the same thing

Khoo's arithmetic throughout this chapter depends on keeping two numbers separate: the size of a position (how many shares or lots you hold, i.e., how much capital is deployed) and the risk on that position (how much you'd actually lose if the stop is hit). A \$5,000 account might buy \$1,884 of stock, but the number that matters for his sizing rules is the \$100 that gets lost if the stop is hit — not the \$1,884 deployed. Conflating "how big is my position" with "how much am I risking" is the most common source of accidental over-risking, since a wide stop on a large position risks far more than a tight stop on the same position.

14.2 The R system: expressing risk as a unit

The organizing convention across the entire trading corpus is R (the unit of risk) — one R equals whatever percentage of capital is set as the risk per trade. He says successful traders think in R multiples specifically to mentally disassociate the trade from a dollar figure: a loss is "one R," a win might be "one point five R," rather than a specific sum of money. He translates the unit into account terms repeatedly and consistently: if you risk 1 percent per trade, a 1R loss costs 1 percent of capital and a 2R win gains 2 percent. He defines one R, in a stock-day-trading context, as the amount risked per trade, capped at 1 percent of total capital, and in a separate lesson calls 1 percent the suggested figure with 2 percent as the ceiling for a more aggressive trader, still labeling that ceiling "1R" for the purposes of the arithmetic.

The position-sizing formula he teaches is the same formula restated across at least four separate lessons, in stocks and in forex: the number of shares (or

lots) equals the risk percentage times capital, divided by the risk per share — the distance from entry to stop. In forex the formula is restated in pip terms: net liquidation times risk per trade, divided by the stop-loss distance in pips times the dollar value per pip. He works this arithmetic on camera more than once with real numbers: a \$5,000 account risking 3 percent gives \$150 of total risk, divided by a \$3.90 per-share stop distance, for a 38-share position; the same account risking 2 percent gives \$100 of risk, divided by a 33-cent stop distance, for 303 shares — a roughly \$1,884 position — while he stresses on screen that the number that matters is the \$100 at risk, not the \$1,884 deployed. One version of the formula sizes off "balance capital," meaning whatever the account is currently worth, so position size automatically shrinks after a losing stretch and grows after a winning one.

14.3 How much to risk per trade: a range, not a constant

Here the material does not converge on one number, and the book reports the range as he actually stated it rather than picking a favorite. In a 2016 video he states the risk per trade as fixed at 2 percent of capital, applied identically to every position, framed as an invariant of the approach in that lesson. Starting in 2017 and continuing at least through 2020, the more common formulation is a *range*, not a single figure: never more than 1 percent to a maximum of 3 percent of net liquidation on any one trade, with an explicit progression — start at 1 percent, move to 2 percent, and only reach 3 percent once you are experienced and confident, with the upgrade gated on experience rather than on conviction about any particular trade. He states the same 1-to-3-percent band elsewhere as the maximum range, again with 1 percent as the recommended starting point. Once a figure is chosen, he is consistent on one point across every version of this material: apply it uniformly to every trade, and change it only by deliberate decision, never trade-by-trade based on how confident or fearful you feel in the moment. He names inconsistent risk-per-trade sizing — sizing up when confident, down when fearful — as a direct cause of losing outcomes even inside a system with a good win rate and a

good risk-to-reward ratio, and works a worked example of a trader who nets a 60 percent win rate and a 1-to-2 risk-to-reward ratio over ten trades yet still ends down 8 percent purely from varying the risk size. He separately flags cutting risk after a losing streak — dropping from 1 percent to 0.5 or 0.3 percent — as its own failure mode, since the smaller size then can't earn back the prior losses once the winning trades return.

Above the 1-to-3-percent range, his own commentary turns skeptical rather than aspirational. He notes he has trader friends who risk 10 percent per trade — one of them took \$10,000 to roughly \$8 million — but says plainly he does not have the stomach for that approach himself, offering it as an outlier case rather than a recommendation. Elsewhere he reports that some of his own traders, in practice, risk up to 2 to 3 percent per trade while doing 15 to 30 trades a month across stocks and forex — describing what they actually do, not repeating the 1 percent beginner's figure.

Editor's note — reading "1 to 3 percent" as an evolving convention, not a contradiction

The move from a flat 2 percent (2016) to a graduated 1-to-3-percent band (2017 onward) reads less like a reversal and more like the same idea stated with more nuance over time — an early single-figure rule of thumb later replaced with an experience-gated range. The book flags it because a reader assembling "the rule" from a handful of videos could land on either version and reasonably believe it was the whole of his position: it is safer to report both and let the dates speak.

Underneath the range, the reason he gives for staying near the bottom of it is emotional as much as mathematical. He works the arithmetic that 3 percent risk per trade compounds, in theory, to roughly 39 percent a month — 13R at 3 percent — but says this comes with far more portfolio volatility than most people can actually tolerate emotionally, which is why he pushes beginners toward the lower end regardless of the theoretical upside. He makes the same point from the loss side: risking 10 percent per trade and hitting twelve losses

in a row wipes out the account entirely, which is the reason he caps his own recommendation at 1-to-3 percent rather than anything higher, however good a strategy's theoretical edge. The two arguments — theoretical return versus tolerable volatility, and survivability against a losing streak — are the twin justifications he gives for staying inside the range, independent of which specific number within it he happens to be using in a given video.

14.4 Portfolio-level limits: what several trades at once can do

Because risk is cumulative, Khoo extends the same logic from a single trade to several open at once. Each concurrent position sized at 1 percent of the same net liquidation means two open positions together risk 2 percent, on the assumption the first position hasn't yet moved. He suggests never carrying more than roughly 10 percent of cumulative risk units open at any one time — at 1 percent per trade, no more than ten concurrent trades — framed explicitly as a guard against everything losing at once in a crash. He states a portfolio-risk ceiling directly: limit total portfolio risk to a maximum of 10 percent, or at the very most 20 percent for someone with a genuinely high risk appetite, but not beyond that. In his own forex practice he does not usually run more than two concurrent trades — most of the time only one, opening the next only once the first closes — reasoning that two trades at 2 percent each already puts 4 percent at risk simultaneously.

Concurrent positions, in his statement of the rule, must also not be correlated: no more than two stocks from the same sector or industry, since he calls holding five bank stocks at once "stupid" — a single sector move would stop out every position together. The same logic extends to hedging: he does not recommend buying a put option against every individual holding, because most stocks move with the S&P 500 anyway, so a single index put can hedge an entire correlated portfolio at once.

The arithmetic behind the 10-percent ceiling is drawdown recovery math, which he works through directly: a 10 percent drawdown needs only an 11

percent gain to get back to even, a 30 percent drawdown needs 42.85 percent, and a 50 percent loss needs a full 100 percent gain just to recover. That asymmetry — losses get proportionally harder to recover from as they get larger — is the stated reason the portfolio cap exists at all.

Editor's note — why recovery math is asymmetric

A 50 percent loss requires a 100 percent gain to break even because the recovery percentage is calculated on the smaller, post-loss capital base, not the original one: losing half of \$100,000 leaves \$50,000, and doubling \$50,000 only returns you to \$100,000. This same asymmetry is why professional risk management in most trading and fund-management contexts treats drawdown size, not just win rate, as the primary risk metric — a strategy that wins often but occasionally takes a very large loss can still be a poor bet even with a high win rate, because the occasional large loss requires a disproportionately larger recovery.

14.5 Losing streaks: the numbers he gives do not agree

This is the densest and most internally inconsistent material in the corpus, and the book reports it as he actually gave it, in date order, rather than collapsing it into one figure.

The recurring premise, restated across at least six years of videos, is that losing streaks are statistically inevitable for any strategy, regardless of its quality, and that the entire purpose of small per-trade risk is to survive the streak rather than avoid it. But the *length* of streak he attaches to that premise varies substantially by video:

- **2018:** "maybe five or six losses in a row," producing a drawdown of six percent or even 18 percent depending on the risk-per-trade assumption, described as temporary and recoverable by continuing to trade.
- **2019:** losing streaks "of five or ten trades in a row" happen to everyone, including the best traders, used to argue against risking 10 percent per

trade. In the same year, a separate video states that a 50 percent win rate system can statistically produce a **16-trade** losing streak, and that a 60 percent win rate system can still produce a **12-trade** losing streak, with winning streaks of matching length.

- **2022:** a probability table is cited on screen showing a 50 percent win rate strategy will, at times, produce a 16-trade losing streak — and a 16-trade winning streak — though the table's sample size and underlying assumptions are not stated on screen. The same video works 16 consecutive losses at 1 percent risk out to a 16 percent drawdown (called within most people's comfort zone) versus an 80 percent drawdown at 5 percent risk (called account-busting).
- **2023:** stated as principle two of his trading psychology — a winning strategy will still produce losing streaks of five to ten trades in a row, alongside winning streaks of similar length.

So across the archive, the loss-streak length he attaches to ordinary trading ranges from five-to-six, to five-to-ten, to twelve, to sixteen, depending on the video and which win-rate assumption is being illustrated. These are not necessarily contradictions in the strict sense — a 50 percent win-rate system genuinely can statistically produce longer losing streaks than a 60 percent one, and "five or six" versus "sixteen" may simply be different points on the same probability curve applied loosely in conversation rather than pulled from a consistent reference table. But no single video reconciles the different figures, and a reader assembling "the" loss-streak length from any one clip would get a different number than a reader who watched a different clip. The book reports the full range, with dates, rather than averaging it into a false constant.

The drawdown arithmetic downstream of these streak lengths is consistent within any given video but shifts with the assumed streak length feeding it. Working from a 16-consecutive-loss assumption: risking 1 percent per trade implies an expected drawdown around 16 percent; risking 2 percent implies roughly 32 percent; risking 3 percent implies close to 50 percent. A separate

pass through the same logic, assuming four losses in a row rather than sixteen, gives 4 percent drawdown at 1 percent risk, 12 percent at 3 percent risk, and 40 percent at a 10-percent risk he says should never be used — a very different headline number for the same risk percentage, because the assumed streak length is different. He also gives a direct mapping from personal loss tolerance to recommended risk: if you can only stomach a 10 percent drop, risk 0.5 percent per trade; if you could tolerate a 50 percent loss, you could risk up to 3 percent — again keyed to the 16-consecutive-loss assumption in that video.

Editor's note — why streak length genuinely depends on win rate and sample size

In coin-flip-style probability, the expected length of the longest losing streak within a sample of trades grows with the number of trades considered and shrinks as win rate rises above 50 percent — so it is mathematically true that a 50 percent win-rate system can produce longer losing streaks than a 60 percent one, and that a streak's expected length depends on how many total trades you're looking across (10 trades will rarely show a 16-loss streak; 500 trades might). None of the cited videos state the total number of trades the streak-length figure is drawn from, which is exactly the information needed to judge which number applies to a given trader's situation — a real gap in the material, not an error to paper over.

14.6 A note on entry filters as risk control, and where his own numbers drift

Position sizing controls how much is lost if a trade goes wrong; the entry filters covered in depth in Chapter 8 and Chapter 9 control how often a trade is entered in a weak position to begin with, which is itself a form of risk management. Two of those filters are worth flagging here because the specific numbers he attaches to them are not stable across the archive, in the same spirit as the loss-streak figures above.

The short-term trend filter is a moving-average pairing, and he states two different pairings for it. In several 2017 lessons he defines the short-term uptrend as the 20 exponential moving average crossing above, or sitting above, the 40 EMA, and gives a worked trade where the 20-crossing-below-40 exit rule closes the position. Elsewhere, in what he calls the first entry rule of his trend-following swing system, the same short-term-uptrend condition is stated as the 20 EMA above the **50** moving average instead of the 40. Both pairings are presented as his working definition of a short-term uptrend within their respective videos; the book reports both rather than resolving them into one.

Similarly, his oversold confirmation signal for a bounce entry is stated at two different stochastics thresholds. In multiple 2017 videos he treats stochastics below **20** as oversold and due to bounce, and uses it as one of several confluence signals for a long entry. In another 2017 video, the entry rule for the same kind of setup is stated as stochastics below **30**. As with the moving-average pairing, this is reported as a documented range across dated instances — 20 in most of the cited material, 30 in at least one — not averaged into a single number.

14.7 Leverage: what it is and where he draws the line

Khoo defines leverage plainly: putting up only a fraction of a position's value — for example, \$1,000 to control \$10,000 of shares, a 10 percent deposit — so that a 1 percent move in price becomes a 10 percent move on the capital actually committed. He calls it a double-edged sword directly: a 24 percent favorable move becomes 48 percent at two-times leverage, but a 24 percent adverse move becomes a 48 percent loss the same way, and at ten-times leverage a 10 percent adverse move wipes out the entire capital. Leverage lets you buy a million dollars of stock with \$100,000, but it is, in his words, "extremely risky" if the trade goes the wrong way, and he states it must be paired with a risk-management strategy — a claim that in the same breath he extends to say leverage plus risk management can "double your money quite

easily within a year," which the book flags as his stated claim, not a verified result.

On his own forex leverage he is specific and consistent: brokers commonly allow 1-to-100 leverage, but he personally never uses more than 1-to-20, usually running 10-to-15 times, and separately states the same ceiling — brokers offer 40 or 100 times, but he uses a maximum of 20 times in most of his own trades. Margin accounts, in his description, typically let a trader control two dollars of shares for every dollar of capital, occasionally up to five dollars with some brokers, so a 50 percent margin turns a \$1,000 position into \$500 of required capital; a separate video describes a "usual" margin account as capping leverage at two times, still funding 50 percent of the position, with interest charged on the borrowed portion.

The leverage line he draws hardest is between the two books. In investing, he states repeatedly across several years that leverage and borrowed money should never be used — invest only with cash you will not need for several years, because a margin call in a downturn can force you to sell at the worst possible time. In trading, by contrast, he permits margin, and gives the reasoning explicitly: a stop-loss is what makes it safe, because you are risking only a small percentage of net liquidation value, not of the leveraged funds themselves — though he never states numerically what "small percentage" means in that specific passage, leaving the reader to import the 1-to-3-percent figure from elsewhere in the corpus. In one interview segment, a guest describes generating essentially all of his trading profits on broker margin taken against his long-term stock holdings — a structure that sits uneasily against Khoo's own stated investing-never-uses-leverage rule — and Khoo's only recorded caution in response is to always keep a margin of safety, without flagging the tension directly.

14.8 The return arithmetic — and why it is a claim, not a track record

A large share of the "risk management" material in this corpus doubles as return-arithmetic demonstration: given a win rate, a risk-to-reward ratio, and a risk-per-trade percentage, what does the resulting return look like over some number of trades? These are worked illustrations, and the book reports them as such — several are explicitly tagged in the sourcing as illustrative rather than verified performance.

Representative examples: a simulator run over 100 trades at a 55 percent win rate, 1:2 risk-to-reward, and 2 percent risk produces a 159 percent return over roughly five months in his telling; 50R across 100 trades at 2 percent risk per trade is described as a 100 percent return, extrapolated to around 240 percent annualized at 20 trades a month, on an assumed 60 percent win rate with 1.5R average wins; risking 1 percent per trade with a 60 percent win rate and a 2R:1R payoff is said to produce roughly an 80 percent return across 100 trades in a simplified model. He also reports what reads as a real result rather than a model: an October month totaling 14.7R, which he translates to roughly 14.7 percent for a 1-percent-risk trader, or 28-percent-plus at 2 percent risk — a single month's figure, not annualized or averaged against other months in that same video.

These numbers should be read for what they demonstrate — how R-based risk sizing compounds arithmetically — not as a guarantee or even a typical outcome. He states this qualification himself in places: the 50R-to-50-percent conversion is offered as "not bad... even at a 50 percent win rate," explicitly following only from the illustration's assumptions, not as a performance claim. Elsewhere, he demonstrates the opposite case deliberately: a trader with a 76 percent win rate across 13 trades — 10 wins, 3 losses — still nets a loss overall, because risk was raised to 10 percent after each win and cut to 1 percent after each loss. Win rate alone, in his own worked counter-example, does not determine outcome; sizing discipline does.

Editor's note — self-reported returns belong in this chapter as claims, not facts

None of the return figures above are independently verifiable from the material available — they are numbers stated on camera, in some cases from a simulator with assumptions chosen for the demonstration, and in at least one case (the 55%-win-rate, 159%-return example) the on-screen narration and the automatic transcript disagree about the resulting account balance, which this project's own sourcing flags as a discrepancy. Chapter 1 covers his broader track-record claims in more depth; this chapter's arithmetic should be read the same way — as a demonstration of how the R system compounds, not as audited performance.

What he doesn't say about this

He does not state, in any video in this project's corpus, the sample size or number of trades behind the loss-streak probability table he cites in 2022, which is precisely the number needed to judge whether "16 losses in a row" is a live risk for a trader doing ten trades a month or an edge case relevant only over hundreds of trades. He does not reconcile the 2016 "fixed 2 percent" statement with the 2017-onward 1-to-3-percent graduated range, or the four-consecutive-losses arithmetic in one video against the sixteen-consecutive-losses arithmetic in another — both stand in the archive as stated. He does not give a numeric floor for what "a small percentage of net liquidation" means when he permits margin for trading, leaving that connection to the reader to make from the position-sizing material elsewhere. And while he states clearly that leverage should never be used in investing, he does not revisit or correct the guest interview in which margin against long-term holdings is described approvingly in his presence — the tension is left unresolved on screen.

Chapter summary

- Risk, in his framing, comes from position sizing and leverage, not the instrument traded — the same asset can be low-risk or high-risk depending entirely on how much is put on it.
- Position size is calculated from a fixed formula — risk percentage times capital, divided by the stop distance — never from conviction in the setup.
- How much to risk per trade is stated inconsistently across the archive: a flat 2 percent in 2016, versus a graduated 1-to-3-percent range (starting at 1, rising with experience) from 2017 onward — reported here as a range across dated instances, not a single rule.
- Risk compounds across open positions: two 1-percent trades together risk 2 percent, correlated positions in the same sector should be avoided, and total portfolio risk should stay near 10 percent, at most 20.
- Losing-streak length is the least consistent figure in the corpus — stated variously as five to six, five to ten, twelve, and sixteen trades in a row across videos from 2018 to 2023, with matching drawdown arithmetic that shifts depending on which streak length is assumed.
- Leverage is permitted, within stated personal limits (a max of roughly 20x in forex), only when paired with a stop-loss and small per-trade risk — and is ruled out entirely for the no-stop-loss investing book, a line he draws consistently for years even though one interview guest's own practice sits against it.
- Return figures built from win rate and R-multiples — 100%+, 150%+, even 240% annualized in some illustrations — are worked demonstrations of the arithmetic, not track records, and at least one such demonstration contains an internal numeric discrepancy in this project's own sourcing.
- A high win rate does not guarantee a profitable outcome on its own: his own worked example shows a 76 percent win rate still losing money once risk-per-trade is varied by emotion rather than held constant.

Try this

Take the position-sizing formula as he states it — number of shares equals risk percentage times capital, divided by the per-share risk (the distance from your entry to your stop) — and run it on a real setup you're watching, at three different risk percentages: 1, 2, and 3 percent of a hypothetical account. Compare the resulting position sizes and, using his drawdown arithmetic, work out what five losses in a row and sixteen losses in a row would each cost you at each risk level. The exercise is his own arithmetic, not an invented one — the point is to see, in your own numbers, why the range he gives matters more than any single figure inside it.

CHAPTER 15

Reading Macro

In this chapter: the diagnostic checklist Khoo runs when a stock or the whole market drops for reasons that have nothing to do with the company itself, the bar he sets before he'll call a decline a "real" bear market, and how he treats interest-rate and inflation data as one input among several rather than as a forecasting tool in its own right. This chapter is deliberately not a record of his specific market calls — Chapter 3 already shows how often those calls sit next to his own disclaimer that no one can make them reliably, and the ledger behind this book shows his hit rate on individual price targets was mixed at best. What survives that record, and what this chapter extracts, is the decision procedure underneath the calls.

15.1 The question he says not to ask

Confronted with a falling market, the instinct most investors reach for first is "why is this happening." Khoo's stated position on that instinct is unusually blunt: asking why the market is going down is not the important question for a trader or investor, because there are countless possible causes at any moment — what matters is recognizing that the move is happening and having a plan for how to act on it. That is not an argument that causes don't exist or don't matter; the rest of this chapter is built from cards where he works through causes in detail. It is an argument about sequencing — that

diagnosis is a tool for deciding what to do next, not an end in itself, and a reader who gets stuck trying to identify the one true cause of a drop before acting has misused the exercise he's about to hand them.

The taxonomy itself is stated directly, and he frames it as reusable machinery rather than commentary on any one event. Non-company-specific reasons a stock's price can fall, in his account, sort into five buckets: macro or geopolitical events, a broad market correction or bear market, sector rotation, industry-wide news that isn't specific to the one company, and pure market-maker manipulation. The taxonomy's first job is negative — it exists to separate "something is wrong with this specific business" from "something is happening to the market or the group this business happens to sit in." Only the first category, in his framework, should change what an investor thinks the company is worth.

He turns the taxonomy directly into an action rule rather than leaving it as classification for its own sake: when a stock drops for a non-company-specific macro reason — a rate hike, a weak GDP or inflation print, sector rotation, a broad correction — he calls that a "no-brainer" and adds to the position if he doesn't already hold a full-sized stake in it. The logic only holds, by his own framing, if the drop genuinely traces to one of the five external buckets rather than to news specific to the company — which is why the taxonomy has to come first and the buying decision second, not the other way around.

Editor's note — why the ordering matters more than the categories

The five buckets themselves are not exotic; most attentive investors could generate a similar list. What makes the framework useful is that it's applied *before* a buy-or-hold decision rather than invoked afterward to justify one. It is easy, after the fact, to tell yourself a drop was "just macro noise" — confirmation bias runs in exactly that direction, because "macro noise" is also the story that lets you keep a losing position without having to admit the thesis broke. The discipline in Khoo's version is that the classification step is supposed to happen with the same rigor whether the answer turns out to favor buying more or cutting the position — the taxonomy is only doing real work if it's capable of returning "no, this is company-specific" as an answer, not just "yes, buy the dip."

15.2 Cyclical or structural: the second-stage question

Once a decline is diagnosed as coming from outside the company, Khoo runs a second, finer-grained diagnostic on the underlying cause itself: is it cyclical — will it resolve on its own once conditions turn — or structural, meaning something has permanently changed about the business or the environment it operates in. He applies this explicitly when judging whether a market drop is a real trend change: he checks whether the underlying cause is temporary or permanent, whether the economic and company fundamentals behind it are strengthening or weakening, and what the technical charts are showing, treating those three checks together rather than any one alone.

The distinction recurs across individual company cases in the corpus, which is useful precisely because it shows the rule being applied rather than only stated. He attributes Meta's, Alphabet's, and Snap's advertising revenue declines to an industry-wide, cyclical pullback in advertiser demand tied to recession fear and a strong US dollar — not to any company-specific loss of competitive position — and treats the shared, cross-company pattern as the evidence for "cyclical" rather than "structural". He reasons the same way about a slowdown in cybersecurity spending that hit Fortinet and Palo Alto

Networks, judging it a short-term cyclical dip rather than a structural change in demand, since the long-term security need itself hadn't gone away. Where he judges the opposite — that a slowdown is structural, not cyclical — he acts differently: he cites his own exit from Tencent as driven specifically by new Chinese gaming regulations that threatened to permanently impair the business, distinguishing it explicitly from China's broader economic slowdown, which he treats as the ordinary cyclical kind that recovers.

He extends the same either/or question to sectors and macro themes, not just single companies. Deciding whether growth in power-demand stocks reflects a temporary spike or a durable multi-decade shift, he frames the entire investment case as resting on answering that one question correctly, and he applies the identical cyclical-versus-permanent framing to a rise in unemployment, distinguishing the ordinary kind that recedes once a recession ends from what he argues, as his own view, is now a structural shift driven by automation.

Editor's note — a real-world example of the cyclical/structural line being drawn wrong, in both directions

The cyclical-versus-structural question is easy to state and genuinely hard to answer in real time, and the historical record has cases of it being misjudged in each direction. US retailers' brick-and-mortar sales declines in the early-to-mid 2010s were, for years, widely described in financial media as a cyclical effect of a still-recovering post-2008 consumer — only for it to become clear over the following decade that e-commerce substitution was a structural, permanent shift, and several major chains that waited for a cyclical rebound went bankrupt waiting for it. The opposite error also happens: shipping and freight rates spiked during 2021–2022 and were treated by some analysts as evidence of a permanent reordering of global supply chains, when much of the spike proved to be a cyclical pandemic-era bottleneck that unwound within about two years. Neither case is drawn from Khoo's own material — they're supplied here because the corpus doesn't offer a worked example of him getting this particular call wrong, and a reader should know going in that this diagnostic, however disciplined, is a judgment call with real historical failure cases on both sides, not a mechanical test with a guaranteed right answer.

15.3 The bar for a "real" bear market: operating earnings, not GDP

Khoo draws a specific, quantified line between an ordinary correction or short "baby bear market" and what he treats as a genuine, recessionary bear market, and the line is corporate operating earnings rather than the popular media shorthand for a recession. He argues directly that the commonly cited "two consecutive quarters of negative GDP growth" definition of recession is outdated, pointing instead to the NBER's broader definition — a significant, economy-wide decline lasting more than a few months — with falling corporate profits and rising job losses as the markers that actually matter. He sharpens that into an explicit, checkable rule: a true bear market requires *declining* corporate operating earnings, citing that earnings went negative

during the dot-com crash, the 2008 financial crisis, and the 2020 pandemic recession, while noting that in the 2022 decline operating earnings were still positive and merely slowing rather than falling.

This bar does real classificatory work elsewhere in the corpus. He describes his own "baby bear market" category — a short, non-recessionary decline of roughly 20 to 30 percent where fundamentals remain intact and the drop is better read as an emotional sell-off that recovers quickly, contrasted with recessionary bear markets that have historically run closer to 35 percent on average. He characterizes the 2022 decline, in particular, as unusual by his own framework precisely because it lacked the ingredients his rule requires — no recession, no corporate earnings contraction — attributing it instead to the Fed raising rates unusually quickly. And he restates the underlying logic as a single sentence more than once: it isn't the level or even the pace of a rate move that determines whether a decline turns into a real bear market, but whether earnings actually roll over as a result.

Editor's note — why "operating earnings negative" is a lagging confirmation, not an early warning

There's a structural tradeoff built into this bar that's worth naming plainly. Corporate earnings are reported quarterly and with a lag — by the time aggregate operating earnings for the S&P 500 are confirmed negative, the market has typically already priced much of the decline in, because equity prices are forward-looking and tend to fall in anticipation of an earnings contraction rather than only in response to a confirmed one. That makes "operating earnings negative" a reasonably reliable way to confirm, after the fact, whether a decline was the recessionary kind — which is exactly the classificatory use Khoo puts it to above — but it is a poor candidate for calling a bear market's *start* in real time, since the confirming data arrives well after price has already moved. The bar is best read as an instrument for correctly labeling a decline already underway, not as an early-warning system for a decline that hasn't happened yet — a distinction the material doesn't spell out explicitly but that follows from how the indicator itself is constructed.

15.4 Rate and inflation data as input, not oracle

A large share of the macro material in the corpus concerns how Khoo reads Federal Reserve policy, Treasury yields, and inflation data — and the dominant pattern across a decade of that material is that he treats each of these as one input into a broader read, revisits and revises his own interpretation of the same indicators repeatedly, and explicitly rejects treating any single one as decisive on its own.

The yield curve is the clearest case, because he returns to it across years and visibly changes how much weight he puts on it. He states, at various points, that an inverted yield curve has preceded every one of the last seven to nine US recessions with a hit rate as high as 90 to 100 percent, and elsewhere gives a lower, more qualified figure — 8 inversions in the last 30 years preceding 6 recessions, a 75 percent hit rate on a sample he himself calls very small. He adds a specific timing refinement more than once: what matters is not the moment the curve first inverts but the moment it *re-inverts*, crossing back above zero, and he walks through four historical cases — 1989, 2001, 2007, and 2019 — where the lag between re-inversion and the recession's actual start ranged from about two months to nearly a year. He is explicit that the lag itself is inconsistent enough, ranging from roughly 1.6 months to 1.8 years across the historical inversions he tracked, that the yield curve makes a poor tool for timing an actual exit from the market even when its recession-calling record holds up. And in at least one later video he steps back from the indicator's usefulness altogether, noting that even the world's top economists using every indicator available could not predict a recession consistently, pointing to the widely-held 2023 recession call — based substantially on this exact signal — that never happened.

He reads Fed policy itself the same layered way rather than as a single green or red light. He distinguishes explicitly between the direction of a rate move and its speed, arguing more than once that rate hikes themselves are not inherently bearish — citing periods where the market rose through hiking cycles — and that what actually damages the market is hiking too aggressively, "stalling" the economy the way overbraking stalls a car. He runs the

same disaggregation on rate cuts: he rebuts the popular claim that a first rate cut reliably crashes the market by pointing out that in 2000 and 2008 the market crashed *first*, forcing the Fed's hand, rather than the cut causing the crash — and separately lists historical cases where a first cut preceded a rally rather than a decline. He treats the Fed's own forward guidance, and market tools like the CME FedWatch probability tool, as one more data point to track rather than a certainty — repeatedly citing specific implied-probability figures for upcoming meetings while noting they shift, sometimes sharply, as new data arrives.

Inflation data gets the same treatment: read for what it implies about Fed behavior, not as a standalone forecasting signal. He lists a cluster of indicators he watches to judge whether inflation has peaked — falling oil prices, a falling dollar, a falling 10-year yield, falling housing prices, and companies announcing hiring slowdowns — treating the combination, not any one reading, as the signal. He also flags a specific measurement caveat rather than taking the headline number at face value: he notes that the shelter and rent component carries an outsized weight in core CPI while lagging real-time private rent data by six to nine months, which he uses to argue that a sticky-looking core inflation print can overstate current price pressure.

Editor's note — the difference between a diagnostic and a crystal ball

None of this material amounts to Khoo claiming he can predict where rates or inflation are headed with precision — quite the opposite, several of the cards above show him revising a prior read once new data arrived, or citing the market's own probability tools rather than his personal forecast. The useful pattern to take from this section isn't any specific number he cited at any specific date (several of which the ledger behind this book shows were later wrong, including his own admitted surprise that the 10-year yield kept rising after he'd expected it to have peaked). It's the layering habit itself: no single indicator, including the one most people reach for first, gets treated as sufficient on its own, and a reading is always checked against at least one other line of evidence — earnings, price action, or a second macro series — before it changes what he does.

15.5 Sector rotation as a read on market sentiment

Khoo treats sector rotation — the shift of money between defensive and cyclical sectors — as both a portfolio-management input and a diagnostic signal about what the market as a whole is pricing in. He defines cyclical sectors as the ones whose profits swing sharply with the economy: industrials, materials, energy, financials, and consumer discretionary among them, with technology treated as a partial exception because he considers it in a secular bull market even though it is technically classified as cyclical. His stated position on how to trade cyclicals themselves is straightforward: buy them only when they are cheap, near the bottom of their own cycle, and take profits once they catch back up to the top rather than holding through the full downswing.

Beyond position sizing, he reads which sectors are leading a given rally or sell-off as a signal about the market's own recession expectations. When defensive sectors — staples, utilities, healthcare — lead a rally, he reads that as a bearish tell, because it implies the market is pricing in a recession even while headline prices rise; when cyclical sectors lead instead, he reads that as

bullish, because it implies the market doesn't expect a serious downturn. He applies a version of the same weighing-machine idea more broadly, describing the market as a "weighing machine" that prices fundamentals correctly over the long run but a fickle "voting machine" in the short run, where money moves between sectors on shifting sentiment rather than changed fundamentals — the same distinction that underlies his instruction, noted in Section 15.2, to check whether an underlying move is temporary or permanent before reacting to it.

He also uses observed rotation directly as a diagnostic of what kind of correction is underway, treating a market where cyclicals rise while an index average falls as evidence the decline isn't a broad, correlated sell-off driven by systemic fear, and, in the same spirit, is careful to state that reading strength in undervalued cyclicals is not the same as a call to abandon technology or growth positions altogether.

15.6 Watch what they do, not what they say

Chapter 3 documents Khoo's general distrust of forecasts, including his own, and the corpus offers macro-specific versions of the same instinct — cases where he explicitly favors verifiable positioning data over public commentary. He cites, as an example rather than a template, the FedWatch tool's market-implied probabilities as more trustworthy in the moment than a Fed official's own stated intentions, at one point noting the market priced in a 69 percent probability the Fed would pause even after the Fed chair himself said publicly that further hikes were coming. He treats mainland Chinese investors' actual net-buying flows as a more informative signal than the foreign-investor selling and accompanying headlines during a 2023 China sell-off, contrasting roughly 1.7 billion dollars of foreign selling against roughly 3.6 billion dollars a week of mainland buying as evidence the panic was one-sided.

The same instinct shows up in how he treats disclosed positioning from other investors as more informative than their public commentary. He

recounts Michael Burry building a large short position in mortgage-backed securities years before the 2008 crisis, sitting on tens of millions in unrealized paper losses for roughly two years before the position paid off — a case he cites as evidence for the value of conviction independent of near-term price action, not as a call to imitate the trade. He also notes, without resolving the tension himself, that Cathie Wood publicly and completely exited China just before a rally following a Politburo speech, while Michael Burry held over 70 percent of his own portfolio in Chinese equities at the same time — framing the contradiction between two visible "experts" as an open question for the reader rather than a verdict.

Editor's note — Grantham and Druckenmiller as further cases, since the chapter deliberately avoids scoring Khoo's own calls

This chapter, unlike Chapter 3, is not the place to tally Khoo's own price targets against what actually happened — that record exists in the corpus and is uneven, and the book states that plainly elsewhere rather than pretending it isn't relevant here. But the "watch positioning, not commentary" principle he applies to Burry and to the FedWatch tool has two further, well-documented outside cases worth adding as background. Jeremy Grantham, whose specific and repeated crash calls Chapter 3 tallies directly, is a useful contrast case precisely because his firm GMO's own disclosed asset-allocation shifts have, at points, moved toward more constructive equity positioning even while Grantham's public commentary stayed heavily bearish — the same gap between a public statement and a disclosed position that the chapter elsewhere treats as informative. Stanley Druckenmiller is a third frequently cited case in financial media: his firm's quarterly 13F filings have shown him building and then substantially unwinding large technology positions within single-quarter windows, on a timeline a same-quarter public interview would not necessarily have signaled. As with Burry in Chapter 3, none of this proves any of the three were being misleading — disclosed filings and public commentary are produced for different audiences and filed on different clocks, so some gap is structurally normal — but it is a real, checkable illustration of the same discipline this chapter's macro material keeps demonstrating: a regulatory filing or a market-implied probability carries different evidentiary weight than a quote, and treating them identically is the error to avoid.

What he doesn't say

He does not, anywhere in the material gathered for this chapter, state a weighting scheme for combining his various macro inputs — yield-curve reading, Fed-policy stance, inflation trend, sector rotation, and operating earnings — into a single call; each is discussed and applied case by case, and the chapter's synthesis of them into a layered "diagnostic" is the book's own organization of material he presents piecemeal across a decade of separate

videos, not a framework he lays out in one place himself. He never states a quantified false-positive or false-negative rate for the operating-earnings-negative bar itself — how often earnings have declined without a recession following, for instance — beyond the specific historical episodes he names. He does not address, in the cards gathered here, how an investor should act during the lag between a macro cause being correctly diagnosed and the operating-earnings data that would confirm the diagnosis, beyond the general instruction (documented in Chapter 7) to keep buying in tranches through investing-book declines. And while he repeatedly urges watching what other investors and institutions do rather than what they say, he never turns that same lens on his own public forecasts versus his own disclosed trading activity — the parallel case for himself, as Chapter 3 notes, is one he leaves for the reader to draw rather than drawing explicitly.

Chapter summary

- Confronted with a price drop, his first move is not to ask "why," but to classify the cause into one of five non-company-specific buckets — macro or geopolitical events, a broad correction or bear market, sector rotation, industry-wide news, or manipulation — before deciding whether it changes anything about the underlying business.
- When a drop is classified as non-company-specific macro noise, he treats adding to the position as a "no-brainer," conditional on the classification being correct rather than assumed.
- The second-stage question is whether the cause is cyclical (temporary, self-resolving) or structural (permanent), checked against whether fundamentals are strengthening or weakening and what price action shows.
- He sets a specific, checkable bar for a genuine recessionary bear market — declining corporate operating earnings, not the popular "two negative

GDP quarters" shorthand — and classifies past declines against it, including arguing 2022 fell short of that bar.

- He reads interest-rate and yield-curve data as one layered input among several rather than a standalone signal, revising his own confidence in the yield curve's reliability across years as its record produced both hits and a widely-shared false 2023 recession call.
- He explicitly separates the direction of a Fed rate move from its pace or the underlying condition that caused it, rejecting simple "hikes are bearish" or "the first cut always crashes the market" narratives with historical counterexamples on both sides.
- He reads sector rotation as a sentiment gauge as much as a portfolio tool — defensive sectors leading a rally reads as the market pricing in recession, cyclicals leading reads as confidence a downturn won't be severe.
- Across several cases, his stated preference is to weight disclosed positioning and market-implied probabilities above public commentary, including official statements — a discipline with real, checkable parallels outside his own channel in cases like Burry's, Grantham's, and Druckenmiller's documented gaps between what they said and what their filings showed.

CHAPTER 16

The Enemy Is Not the Market

In this chapter: why the channel's densest single body of material is behavioral rather than technical, the specific failure-mode behaviors he catalogues during drawdowns, his own recurring metaphors for the same handful of psychological rules, and two of the most consequential findings in this book — his own admission that years of a habit he later abandoned may have cost him being a billionaire, and a documented, unresolved contradiction between his stated rule that no one's predictions should be trusted, including his own, and his own repeated habit of giving one anyway.

16.1 Why this is the biggest topic on the channel

Psychology, discipline, fear-and-greed, patience, confidence, and the failure modes around losing streaks generate more cards in the ledger than any other cluster of subjects on the channel — more than valuation, more than technical setups, more than risk arithmetic. That is not an accident of how the ledger was built; it reflects where he himself keeps returning. He states outright that trading psychology is not a soft add-on but the discipline to follow a system consistently with no deviation, and he frames the entire game as rigged against the untrained mind: the human brain is wired in a way that causes the

average person to lose money, so a winning trader has to learn to think and act contrary to instinct.

His clearest statement of the mechanism runs as a simple formula he teaches repeatedly: event plus response equals outcome, or $E + R = O$. The event — a losing trade, a crash, a piece of news — is not itself what determines the result; the response is. He illustrates this by noting that some of the most successful and inspiring people lived through the worst events, which he takes as evidence that the event never determined the outcome on its own. He extends the same logic to why talent alone doesn't predict success: he says he has known people with tremendous talent, knowledge, and qualifications who achieved little because they lived in poor emotional states.

He does not treat emotional states as things that simply happen to a person. He argues that emotions are created — through self-talk, mental imagery, and physiology — and that because you create them, you can change them quickly once you learn how. States like laziness, stress, frustration, and boredom he calls unresourceful because they stop a person from acting; states like excitement, confidence, and motivation he calls resourceful because they drive action and produce peak performance. The practical instruction that follows is a division of the world into what is and isn't controllable: you cannot always control the events that happen to you, so he says there is no point dwelling on them, but you can always control your own thoughts, emotions, decisions, and actions — and that controlling the inside world is what changes the outside one.

Editor's note — $E + R = O$ and locus of control

The formula he teaches is a plain-language version of a distinction psychologists call "locus of control" — whether a person attributes outcomes primarily to external forces (the market, luck, other people) or to their own responses and choices. Decades of research across athletics, sales, and clinical settings link an internal locus of control with better resilience after setbacks, though it is not a guarantee of better decisions — an internal locus can just as easily produce overconfidence as it can discipline. He presents the formula as settled and universally beneficial; the research literature treats it as one useful lens among several, not a complete account of performance.

16.2 The catalogue: what a losing streak actually does to a trader

Rather than a single warning about "emotional trading," he gives what amounts to a field guide to the specific behaviors that show up after five, six, or seven losses in a row. He states that most people at that point start intervening in ways their system never called for: removing stop losses, taking profits early, and abandoning the system altogether. He separately names the overcorrection in the other direction — traders who lose so much confidence after a losing run that they stop taking trades entirely, which he says is the moment they guarantee they will keep losing, because a system's edge only pays out if it keeps getting executed.

He lists rushing into new, lower-quality trades to "win the money back quickly" as one of the most common mistakes after a losing streak, and names this explicitly as revenge trading in multiple videos spanning several years: traders holding or re-buying a losing position purely to make it pay them back, taking trades that don't meet their own rules in an attempt to recover losses, and doing so even when no valid setup exists. He distinguishes this from ordinary risk-taking by pointing to the emotional signature: gamblers, in his framing, feel excited and confident on a win and angry,

betrayed, and vengeful on a loss, while a trader is supposed to stay emotionally even through both.

Overtrading gets its own separate treatment. He says that after losses, some traders take trades outside their system entirely or increase risk to make the loss back, which he says usually compounds the damage. He also documents the mirror failure after a run of wins: traders raising risk from something like 1 percent to 5 percent following five wins in a row, then taking four losses at the higher risk for a 20 percent hit to the account — confidence from a winning streak converted directly into oversized risk on the very next drawdown. He names a third, slower failure mode too: jumping between strategies and asset classes — stocks to crypto to options and back — after short losing runs, never staying with one system long enough to find out if it works.

His own prescription for good execution is deliberately unglamorous. He says good trading should be boring, and that if trading is exciting to you, that excitement belongs at a theme park, not at your screen. On days when nothing in his system lines up, he says the correct action is no action — take no trades, or go do something else entirely, because "not doing something is doing something".

Editor's note — why losing-streak length matters for how you read this catalogue

Chapter 14 documents that his own stated estimates of how long a losing streak can run vary across videos, from five to six losses at the low end to twelve to sixteen at the high end, without him reconciling the discrepancy. The behaviors catalogued here — abandoning stops, revenge trading, quitting — are described as responses to "five, six, or seven losses" in some videos, a number near the low end of his own quoted range. A reader trying to build resilience against a losing streak should plan for the wider range he elsewhere states, not just the shorter one used in these particular psychology videos.

16.3 Fear, greed, and the metaphors he reaches for again and again

Across roughly a decade of videos, he returns to a small set of images rather than inventing new ones each time, which is itself informative — these are evidently the frames he has found actually change behavior. The most frequent is "never chase the girl": don't buy into a stock that is already running, because chasing it is like chasing someone who is running away, and instead you let it come to you by waiting for a pullback to your level. He extends the same image when discussing his own buying discipline during panics, saying he never chases a rally and instead waits for the fear and panic that bring a stock back to him.

A second recurring image addresses the opposite fear — the fear of buying a falling stock. He rejects the "falling knife" framing for a business he considers fundamentally sound, arguing instead that a great business dropping in price behaves more like a rubber ball, or in a more recent formulation, a tennis ball, that will bounce back once it hits the floor, rather than a knife that keeps cutting on the way down. Earlier videos show the more conventional, cautionary use of the same "falling knife" phrase for stocks that don't meet his quality bar: on those, cheap can get cheaper, so he waits for a confirmed reversal before buying rather than guessing the bottom. The two uses are not contradictory once the condition is preserved — the knife metaphor applies to ordinary stocks in a downtrend; the bouncing-ball or tennis-ball metaphor is reserved for businesses he has already screened as high quality.

A third image explains why a stock that "should" keep running often doesn't: the bucking horse. He describes the market as wanting to run up eventually, but jerking and throwing riders off along the way, and says once too many people have climbed on, the horse collapses and the cycle resets. He pairs this with a related car-up-a-hill image — as more people climb aboard a rising stock, the car eventually rolls back down and throws them off, and only once enough riders have been thrown off can the climb resume.

A fourth image, breathing, explains why he waits for pullbacks rather than buying strength: prices move in a wave pattern like breathing, where what goes up must breathe out before it can breathe in and rise again. He says explicitly that he never likes to buy during a "breathing out" (an expansion move) and instead waits for the "breathing in".

Editor's note — the ex-girlfriend framing of "Mr. Market"

He extends the chasing metaphor into an elaborate riff where he personifies the market as an ex-girlfriend who "cut loss" on him for spending on his own growth instead of on her. This is a colorful restatement of Benjamin Graham's classic "Mr. Market" personification — an imaginary, moody business partner who offers you a price every day, sometimes euphoric, sometimes despondent, that you are free to accept or ignore. Graham's original point, and the point this metaphor is doing double duty for here, is that the market's daily mood is not a signal about the underlying business's actual value.

16.4 Discipline as identity, not willpower

He treats rule-following less as an act of willpower in the moment and more as a matter of who a person has decided to be. He says the biggest enemy to trading success is not the market but the trader, and traces the losing pattern to two underlying needs — the need to avoid being wrong and the need for pleasure — which together make people refuse to cut a loss until it has grown enormous. He describes losing traders as people who blame external causes for their results — the market, the Federal Reserve, an election — and states that as long as blame stays external, the trader stays powerless to change the outcome, whereas taking ownership of one's own decisions is what actually turns a losing pattern around. Successful traders, in his framing, take responsibility, learn from mistakes, and move on without dwelling — he cites Dory from *Finding Nemo* ("just keep swimming") as his model for this.

He connects this directly to self-talk: the average person, he says, talks to themselves roughly 60,000 times a day, and that internal monologue is what needs retraining into something empowering, for instance replacing "I can't afford it" with "how can I afford it," which reopens the search for solutions instead of shutting it down. The starting point for change, in his account, is identifying which "program" currently runs a person — a fear program, a self-doubt program, a depression program — before trying to install a better one.

He is explicit that a system's statistical edge is worthless unless it is executed without deviation: winning traders take every valid signal without questioning, hesitation, or reservation, and the habit of asking "what if this trade fails" before taking it is, on his account, what separates a losing trader from a winning one over many trades. He generalizes the same point beyond trading, saying that everyone shares the same basic neurology, so whatever one person has achieved with discipline is achievable by anyone else — a matter of strategy rather than innate ability.

Editor's note — the limits of "discipline as identity" framing

Reframing rule-adherence as identity rather than willpower is a well-documented technique in behavior-change research (it shows up under different names in habit literature and in clinical work on addiction and recovery) — people who see a behavior as "who I am" rather than "something I'm resisting" report better adherence over time. What the research does not support is his implicit claim that this closes the gap between any two people's trading outcomes; capital available, access to information, and plain luck in when a person started still produce very different outcomes even between two equally disciplined traders.

16.5 Patience and confidence: waiting versus knowing

Patience, in his account, is not passive waiting but the specific discipline of only acting on high-probability setups and treating "no trade today" as a

legitimate, even routine, outcome. He says a professional does not have to trade every day, and some days he sends his own students a note that there is nothing worth taking. He frames impatience as the direct cause of rule-bending — traders become "trigger-happy" and start taking something that merely resembles a valid setup rather than one that actually is.

Confidence, by contrast, he treats as something to hold at the level of the system over a long run of trades, not at the level of any single trade. He says he always thinks in terms of the result over the next hundred trades, where the outcome is close to certain given the system's edge, while over any five or ten trades he says he genuinely has no idea what will happen. He calls confidence in one specific trade dangerous, because a loss on that trade then costs the trader their confidence and leaves them disappointed and angry — confidence, he argues, should be attached to the process, not the outcome of an individual bet. He backs this with a description of what an equity curve for a winning system actually looks like: it rises and falls like a stock price over a hundred trades rather than in a straight line, so short-term drawdowns inside a working system are expected, not a signal to change anything.

He states that a losing trade should register as one R lost — one unit of risk, never as a dollar amount, precisely because thinking in dollars makes a trader emotional in a way that thinking in R-multiples does not. He extends the accounting metaphor further, framing a winning trade as sales revenue and a losing trade as cost of goods sold — the way a shop simply expects some cost of doing business alongside its sales.

16.6 The documented tension: "listen to no one, including me"

This is the point at which the chapter has to hold two of his own statements next to each other without resolving them, because he never resolves them himself.

He states, more than once and across different videos, that a serious investor or trader should listen to no one's market predictions — including his

own — because predictions are, in his words, purely for entertainment, and no one can predict the market. He goes further in a separate video, saying that if you shouldn't listen to outside experts, the logical extension is to listen to no one at all, and to follow only your own predetermined plan instead. In the same video he states that he does not even follow his own predictions himself.

The ledger documents dozens of instances of the underlying claim — "no one can predict the market" — repeated as a standalone principle across nearly every year of the channel's run, from 2018 through 2026. What the same set of videos also documents, recurring just as consistently, is him stating that principle and then, in the same breath or the same video, offering a specific view anyway. In one 2023 video he says the market's short-term reaction to panic selling can't be known, immediately followed by his own opinion that the risk-to-reward at that level is attractive. In another from the same year he repeats that no one can predict a breakout versus a shakeout, then says he is "secretly hoping" for a 15–20 percent sell-off so he can buy more shares. In a 2024 video he says no one can predict the market and that he never invests based on predictions — stated immediately after predicting a multi-year secular bull market driven by AI, in the same video. In 2025 the pattern recurs on a healthcare stock: he says no one can predict when it will revert to intrinsic value, then goes on to identify a specific chart pattern (a double-bottom bear trap) as a signal that the bottom may already be in. And in mid-2026, on the AI-bubble question, he says no one can predict what happens and calls anyone claiming certainty a "bullshitter" — then, in the very next statement, gives his own specific guess that the current rally is not the top but only "the first act" of a longer boom.

This book states the tension rather than resolving it, because he never resolves it himself in any card in the ledger. The honest reading is not that his rule is false — avoiding blind reliance on other people's forecasts is defensible advice on its own — but that he does not, in practice, apply the "listen to no one" caveat to himself with the same rigor he applies it to outside commentators. A reader following this book's method should treat his

own market calls with the same skepticism he says should be applied to everyone else's, by his own stated logic.

Editor's note — why this pattern is worth naming rather than smoothing over

A behavioral-finance term for stating a disclaimer and then acting as though it doesn't apply to oneself is sometimes called "disclaimer effect" or, more broadly, a form of overconfidence bias — the well-documented tendency for people, including trained professionals, to rate their own judgment as more reliable than the same class of judgment coming from someone else. Fund managers, TV pundits, and retail forecasters show the identical pattern in published studies: a stated awareness that prediction is unreliable does not reduce the frequency of the predictions being made. Naming the mechanism does not settle whether any specific call of his was right or wrong — only that the caveat and the practice coexist without him treating that coexistence as a problem to fix.

16.7 His own disclosed mistakes, with numbers attached

The most valuable material in this chapter is not the general advice — it is what he says about his own trading history when a specific mistake comes with a quantified cost attached.

The largest of these is the wave-timing admission. He discloses that he used to try to time market waves: exiting a position after a wave up in anticipation of a wave down, and re-entering afterward. He says this approach worked roughly four times out of five in the short term, but that the fifth time cost him disproportionately more than the four wins combined — the market ran back up before he could re-enter, costing him multi-hundred-percent runs he would otherwise have held through. He states plainly that holding through instead, without trying to time the waves, would have made him far richer — he uses the specific word "billionaire" for what the habit may have cost him.

This is not a hedged, general warning about market timing; it is a first-person account of a specific, named cost to a specific practice, and it is one of the more striking admissions anywhere in the archive.

A second, related disclosure concerns hedging. He states that for roughly twelve years earlier in his career, he used to buy put options or short the market to hedge his long-term portfolio whenever he anticipated a pullback — and that his win rate on that hedge was only about 30 percent. Twelve years is a long time to run a hedge with a losing win rate before the practice shows up as a disclosed regret rather than a stated rule; the book flags this because it is exactly the kind of long-running, quantified reversal that Appendix E of this project's evolution timeline exists to surface.

A third disclosed mistake concerns selling winners too early. He admits he used to jump in and out of Apple, Meta, and Microsoft shares repeatedly over the years — selling for a profit and buying back later — and now considers that pattern a mistake that cost him significant compounding. He separately notes that many investors, himself included in spirit if not by name in this particular card, panic-sold Meta near its bottom of roughly \$80 in 2022, and that the stock was one of the most hated on the market at the time, trading at what he estimates was 8 to 12 times earnings excluding cash.

Editor's note — reading "cost me being a billionaire" as a claim, not a fact

All three of these figures — the billionaire framing, the 30 percent hedge win rate, the "significant compounding" lost on Apple/Meta/Microsoft — are his own self-reported estimates, made years after the fact, without a disclosed methodology for how the counterfactual (what he would have made had he held) was calculated. Chapter 1 flags self-reported returns as unverifiable in principle; the same caution applies here. The value of these admissions to a reader is not their precision — it's that they are honest, named, first-person reversals of practices he taught at the time, which is rarer and more useful than a polished record with no disclosed mistakes at all.

What he doesn't say about this

He does not explain how he arrived at the estimate that his wave-timing habit may have cost him "being a billionaire" — no disclosed portfolio size, no counterfactual calculation is shown in any card in the ledger. He does not reconcile the "listen to no one, including me" principle with his own repeated practice of giving predictions in the same videos where he states it; no card in the archive shows him addressing the contradiction directly. He does not disclose what, specifically, made him stop the twelve-year hedging practice when he did, only that the win rate on it was poor. He does not quantify how much money the in-and-out trading on Apple, Meta, and Microsoft actually cost him, using the word "significant" without a number. And while he catalogues failure-mode behaviors extensively, no card in this set shows him addressing how a trader is supposed to tell, in the moment, whether they are deviating from their system out of undisciplined fear or because a genuine change in market conditions calls for a genuine change in plan — the catalogue describes what deviation looks like after the fact, not how to distinguish it from legitimate adaptation in real time.

Chapter summary

- He frames trading psychology as the discipline to follow a system with zero deviation, using the formula $\text{event} + \text{response} = \text{outcome}$, and argues the response, not the event, is what a trader actually controls.
- He catalogues specific failure-mode behaviors after a losing streak — abandoning stops, revenge trading, overtrading, or the opposite failure of freezing entirely — and separately documents the mirror failure of raising risk after a winning streak.
- He reuses a small set of recurring metaphors rather than new advice each time: never chase the girl (don't buy a rally), a great business falling is a bouncing ball or tennis ball rather than a falling knife, the bucking horse

that throws riders off before it can run, and breathing out before breathing in.

- He treats confidence as something that should attach to a system's edge over a hundred trades, never to any single trade, and states that an equity curve for a working system still rises and falls like a price chart.
- He repeatedly states that no one, including him, can predict the market, and repeatedly gives specific market predictions in the same or nearby breath across years of videos — a documented, unresolved tension this book states rather than resolves.
- He discloses that his old habit of timing market waves may have cost him "being a billionaire," that a twelve-year hedging practice ran at only a 30 percent win rate before he dropped it, and that trading in and out of Apple, Meta, and Microsoft cost him significant compounding — three quantified, first-person reversals of his own past practice.
- He treats patience as accepting "no trade today" as a routine, legitimate outcome, and frames impatience as the direct cause of bending entry rules.

Try this

He suggests a concrete diagnostic for over-risking: if you wake up and rush to check your account balance, or find yourself checking it constantly through the day, that is itself the signal that you are trading with too much size or too much capital relative to what you can handle emotionally — the fix is to reduce size until five or ten losing trades in a row would not affect you emotionally.

CHAPTER 17

The Weekly Loop

In this chapter: the daily and weekly mechanics that turn everything in the previous sixteen chapters into an actual practice — how he screens, how he builds and prunes a watchlist, what he says his journal has to record, and why nearly every number he gives for "time spent" assumes tools that took years to build, several of which he now sells.

17.1 The headline claim: "30 minutes a day"

Across a decade of videos he returns to a specific number often enough that it functions as a recruiting pitch: less than 30 minutes a day. He tells one audience that he does not look at the market more than 30 minutes a day, tells another that trading needs less than one to two hours a day and that, once the skill is mastered as his is, 30 minutes a day is all it takes, and in a course-pitch video says his investing approach takes less than 30 minutes a day. A related but distinct claim appears in a video showing his own screeners at work: no more than 20 minutes a day to find candidates, because customized proprietary screeners do the searching automatically and produce what he calls the daily watchlist.

The number is real as a stated claim, but it comes bundled with conditions he states in the same breath and that are easy to drop when the figure gets repeated on its own. He says the 30-minute figure is what trading costs *him*

now, *after* mastering the skill, and that it is only possible because screening software automates the search that would otherwise take far longer. He gives a graduated version of the same idea elsewhere: a long-term investor does not have to look at the market at all, a medium-term investor checks roughly every three months around earnings, a short-term trader checks daily, and he personally does not look at the market more than 30 minutes a day within that scheme. He tells a different audience that someone with a demanding job who can only spare 30 minutes a day should trade a swing system on daily candles rather than anything requiring intraday attention — the 30-minute budget is presented as a constraint that selects the *style* of trading, not a universal feature of trading itself.

His own on-camera routine, filmed rather than summarized, runs longer than the headline number on most days. He describes a typical day as roughly two hours split between an Asian morning session of about an hour and a US evening block of an hour to an hour and a half, shrinking toward half an hour only when nothing is worth acting on. A separate video breaks his day down further: two to three hours on currency trading, about 30 minutes on the stock account (which he says gets the least time of the three), and about an hour on the options account. When he actually times a session on camera and finds nothing to buy or trade, it runs about 40 minutes, with a note that acting on something would have added another 20 to 30 minutes on top. Students in one video self-report spending "30 minutes to two hours a day" — a figure the card flags as self-reported and unverified, not audited.

Editor's note — reading "30 minutes a day" as a marketing number

None of this makes the 30-minute figure false; he is consistent that it describes his own post-mastery, tool-assisted routine, and he says so explicitly. But the figure appears heavily in videos built around course or subscription pitches, where a low time cost is doing real persuasive work — it makes the whole system sound more accessible than the infrastructure behind it actually is. A reader building their own process from scratch, without years of screening-script development or a research team, should expect their own version of this loop to take substantially longer than 30 minutes until their own tools and pattern-recognition catch up. He does not say this directly in any card in the ledger; it follows from his own repeated qualifier that the short number applies "after mastery."

17.2 The screening step: what actually runs before he looks at a chart

The mechanism behind the short time figure is almost always the same: he does not scan the market by eye. He says he writes his own formulas — one he names "BMR short," for finding overbought stocks about to reverse down — and codes these as scanning scripts that a stock screener runs automatically every day within minutes. He describes the underlying workflow plainly: candidates come from screening software where his criteria are pre-programmed, so daily research is pressing a button rather than searching manually.

The platforms he names for this differ by purpose. For day trading he uses Thinkorswim's built-in scanner — going to Scan, then Stock Hacker, clearing the template and adding a custom study filter — and notes it requires a funded live account, not a demo. He is candid that a scanner only surfaces general setups and that every hit still has to be checked by hand against the full rule set he was taught, rather than trusted outright. For quick fundamental screens he uses Finviz, saying most of the data he wants sits on one page, and runs long-term quality screens there using thresholds like EPS growth above

10% over five years, sales growth above 10%, projected earnings growth above 10%, and return on equity above 15%. He also names TC2000 as a paid scanner he prefers over Interactive Brokers' built-in one, which he says "is not great", and describes a specific pre-market day-trading routine: scanners run about 25 minutes before the open, filtering for stocks gapping up more than 5% on volume with news behind the move, then cross-checked against a pre-market news page and ranked by volume.

For options, the pattern repeats: a scanner filtered to a 52-week implied-volatility rank above 30, further filtered by minimum share volume, produces a list he still reviews chart-by-chart for trend, support, or an oversold condition before acting. For valuation inputs on individual names, he says he pulls growth-rate projections from several sites at once — Finviz, Capital IQ, GuruFocus, Zacks, or Simply Wall Street depending on the video — and averages them, then deliberately uses a figure below the average as a conservative input, rather than trusting any single source.

Editor's note — what "screening" means across three different jobs

The word covers three distinct tasks in his material: a technical scanner that finds price patterns (Thinkorswim's Stock Hacker, TC2000), a fundamental screener that filters by financial ratios (Finviz), and an estimate aggregator that pulls analyst growth projections from multiple data providers to feed a valuation model (Capital IQ, GuruFocus, Zacks). These are not interchangeable, and a reader trying to replicate the routine needs a tool for each job, not one all-purpose scanner.

17.3 The daily routine, in his own order

One video, filmed rather than narrated after the fact, walks through an actual session start to finish and gives the clearest available picture of sequence. Before the US open he checks index futures — S&P, Dow, Nasdaq — to get a read on how the session is likely to open. The first action once the market opens is not looking for new trades: it is reviewing existing positions for

anything to cut or any profit to take. He flags a practical trap here — displayed unrealized profit and loss on options can be "wonky" in the first hour of trading, and he shows the identical spread displaying a loss in one account and a roughly \$1,000 profit in another account at the same moment, as evidence the early numbers can be a mispricing rather than a real reading.

Only after existing positions are handled does he run a fresh scan and save the results as a dated watchlist to work through; a hard filter at this stage is that the underlying must have liquid options, and he rejects one setup he calls "perfect price action" purely because it sits on a foreign ETF with illiquid options. When his own scan turns up nothing, the next step is checking student chat groups and a private group of professional traders at his company for posted ideas — described as a two-way exchange, not a one-directional feed of tips. After the trading accounts are handled, he moves to long-term investments, reviewing them on the same two criteria used at entry — undervalued price and proximity to a support level — before deciding whether to add. The final step of the routine is running through the portfolio watchlist itself for names that are both undervalued and near support, passing on anything over-extended until it retraces toward its moving averages. On the day this was filmed, nothing met the bar, and the session ended after about 40 minutes.

A separate video shows the swing-trading version of the same shape, with research done before the open, orders placed for the day, and execution left to the broker rather than watched live: he checks the market for 30 minutes to an hour before the open, places orders, and lets them fill automatically while he is elsewhere. A student's account of following the method describes the same order of operations at smaller scale: check the market roughly an hour after open to avoid FOMO entries, review existing positions for whether to roll, close, or hold, then scan for new setups — about 30 minutes total on a normal day, longer in a bearish market where more setups appear.

17.4 Building and maintaining the watchlist

The watchlist is not one list. He keeps several, split by purpose — a trading list, an investing list, a sector list — rather than combining everything into one, and in his charting platform links each watchlist to a chart window by color so clicking a ticker loads its chart immediately.

Construction differs by account. For day trading, he builds the list about 30 minutes before the US open from stocks gapping up more than 5% on high volume with a news catalyst — earnings or a similarly concrete event, not just price movement on its own. For swing trading a momentum strategy, he filters to a shorter list of roughly 10 to 12 names a month that pass his relative-strength criteria, then waits for a specific setup to trigger within that pre-filtered group rather than scanning the whole market fresh each day. For investing, the watchlist functions as a holding pen for good businesses at the wrong price: a stock that passes his quality screen but sits above his estimate of intrinsic value goes onto the watchlist rather than the portfolio, and only moves in once price falls toward the valuation.

Maintenance is where the watchlist earns its place as a process rather than a one-time list. He says he reviews his investing watchlist monthly and removes names that have run far above intrinsic value, adding them back only once price returns near that valuation. He describes the broader discipline the same way in a market sell-off: prepare a watchlist of good companies in advance and wait for a bullish signal before buying, rather than buying into the falling knife immediately. A once-a-year version of the same habit shows up in his annual market outlook videos, where he opens by reviewing the prior year's own forecast and scoring what he got right and wrong before making a new one — a rare instance of him auditing his own predictions on camera, which sits in tension with the prediction-avoidance material covered in Chapter 16.

At the top of the stack sits a monthly research cycle he describes running with a team, not alone: many hours at month's end going through the market for the highest relative-strength, undervalued names, covering both a secular-

growth pick and a defensive pick each cycle. He describes a portfolio, more broadly, as something that has to be "monitored and reviewed daily, weekly and monthly", with the monthly layer deciding stock by stock which positions to add to, which to sell, and which need protecting ahead of a possible down-trend.

17.5 The journal: what it has to record and why

He is specific, more than once, about what a trading journal needs to contain and why an opinion about your own trading is worthless without it. He says the only way to know your own statistics is to keep a journal, and that trading has to be treated like a business with its own records. The minimum fields he names, repeated near-identically across two videos, are the entry price, the exit price, the trading signal or strategy followed, the risk taken per trade, and the resulting average win and average loss. A separate demonstration of his own journal shows additional fields in practice: stop-loss price, target price, and the actual exit price recorded per row, plus a color code — closed trades in green, open ones in black — updated immediately after each trade closes, not batched up later.

The unit he insists on is R, not dollars: a loss is recorded as one R (one unit of risk), and a win as some multiple of R, specifically so the record stays comparable across different position sizes and doesn't provoke the dollar-anchored emotional reaction covered in Chapter 16. He shows his own forex journal totaling wins and losses this way — a September at 10.5 net R across 17 trades, with wins recorded at 1.5R and losses at 1R — and a separate month at roughly 4R, 3.7R, and 7R in consecutive months, with one month at minus 2R, which he offers as evidence that losing months happen even inside a working system.

Sample size gets its own explicit rule: he says the journal needs at least 50 to 100 trades before it says anything reliable about a trader's actual statistics, and a related card sets the bar for judging a *system's* edge at 100 to 200–300 trades before drawing conclusions. Anyone who has never journaled, he says,

should start immediately — and if they are currently losing money, should start with paper trading so the first 50 to 100 trades carry no real capital at risk. He applies the same discipline to his own students: live students send monthly trade journals, which he compiles into one sheet and reviews for win rate, wins, losses, and total R across the group.

The definition of a "good trade" he uses to grade every entry in the journal is deliberately decoupled from the outcome: a good trade is one where the system's rules were followed, independent of whether it made money, and a rule-breaking trade that happened to profit still counts as a bad trade. He extends this to a rule about regret: if you exit correctly by your rules and the trade then runs further in your favor without you, no regret is warranted; regret is only warranted when the rules themselves were broken.

Editor's note — R-multiple journaling as a known professional standard

Recording trades in R-multiples rather than dollar P&L is a documented practice in professional trading education more broadly (it traces most directly to Van Tharp's writing on position sizing and trade expectancy), not something unique to this channel. The reason it works mechanically is that it separates the *quality of a decision* from the *size of the bet*: a \$50 loss on a \$500 account and a \$50 loss on a \$5,000 account are the same 1R loss if risk was sized consistently, and grading trades in R keeps a trader's self-assessment from being distorted by position size drifting over time.

17.6 The monthly public review: a rare, checkable record

A handful of videos in the ledger are literal monthly trade reviews, and they are worth naming separately because they are one of the few places in the whole archive where a stated result can be checked against a stated methodology in the same video, rather than asserted after the fact.

In one, September 2017 closes at 18R over 10 trades — nine wins, one loss, a 90% win rate — for an expectancy of 1.83R per trade, and he converts this to a portfolio return by noting he risks 2% of capital per trade, making an 18R month roughly a 36% return. The very next month, October 2017, closes at minus 2.29R over 15 trades: four wins, seven losses, three breakevens, a 36% win rate against the prior month's 90%. He does not treat the reversal as a signal to change anything — he says he did nothing different in the losing month, ran the identical strategy and the same quality of high-probability trades, and explicitly rejects looking for an external cause like the Federal Reserve for a losing month that a small sample alone can explain. He uses a coin-flip illustration to make the statistical point concrete: ten or twenty flips can easily land five in a row without meaning the coin is biased, and it takes fifty to a hundred trials to see the true probability emerge. A month with an outsized 4.5R win and a separate month with a 3R loss are, on his account, good and bad luck that cancel out over a long enough run and are not evidence that the underlying system changed.

Editor's note — one paired example is not the same as a track record

This pair of consecutive months is genuinely useful because it is the rare case in the archive where a specific claim (90% win rate) sits next to the very next month's result (36% win rate) from the same disclosed strategy, letting a reader see variance in his own numbers rather than take a single cherry-picked month on faith. It is still only two months from one video series in one strategy; Chapter 1 flags all self-reported returns as unverifiable in principle, and that caution applies here too — there is no external audit of either month's fills, sizing, or account balance.

17.7 Tools and platforms, and where promotion enters the picture

The tools named across the ledger split into three groups: brokerages, data and screening subscriptions, and his own paid products.

For execution he names Thinkorswim from TD Ameritrade, used for both charting and moving-average overlays, and Interactive Brokers as an alternative broker, noting he has placed the identical spread on both and that either works for execution. He is candid that he prefers TradingView or Thinkorswim for charting even when trading through Interactive Brokers, because IB's own charting is weak, and later notes that Thinkorswim access narrowed for many people in Singapore unless they qualify as accredited investors, which limits which of his named tools a given reader can actually use. For data and screening he names Finviz repeatedly as a free, single-page source for fundamental screens, TradingView and ChartNexus for charts on non-US listings, and a stack of paid data providers — Bloomberg, S&P Capital IQ, GuruFocus, Zacks, Simply Wall Street — that he says he cross-references for growth estimates rather than trusting any single source. He discloses a specific figure for the scale of this: roughly \$50,000 a year in subscription fees for professional screening and research tools such as Bloomberg and Capital IQ.

The third category is his own paid infrastructure, and it needs a direct flag. A currency-strength meter his company built is given free to course students. A "slingshot screener" and other custom scanning scripts are described as proprietary and are given to students enrolled in his stock trading course. Most recently, a valuation and moat-scoring tool he calls "Stock Oracle" appears across a string of 2025– 2026 videos: he cites its moat scores and intrinsic-value output as the stated basis for buy, hold, and wait calls made live on camera, while the tool itself is described in the same videos as not yet public, limited to paying students, and approaching a general release. By the time of its public launch he reports roughly 5,000 existing users after a few months of student-only access, and continues previewing paid features — a screener, a heat map, additional listed markets — in a promotional context in videos through mid-2026.

Editor's note — the conflict of interest, stated plainly

Several of the videos that cite Stock Oracle's output as evidence for a specific valuation call are, simultaneously, promotional material for that same paid tool — the analysis and the advertisement share a single video, with the tool's own numbers used as the proof that the tool is worth buying. That does not make the specific valuation calls wrong, and the underlying screening/valuation habits (cross-checking multiple data providers, using a conservative growth estimate, screening for quality before valuation) are documented independently across years of videos that predate the product. But a reader should weight any claim that leans on Stock Oracle's specific output — a moat score, an "Oracle value" figure — as coming from a source he has a direct financial stake in, not as an independent third-party tool the way Finviz or Bloomberg function in his other material.

What he doesn't say about this

He never discloses how long it took him personally to build the screening infrastructure that makes the 30-minute figure possible, nor what that infrastructure cost before it produced any return — the \$50,000-a-year data subscription figure is given as a current, steady-state cost, not a startup cost. No card in the ledger shows him giving a beginner a realistic time estimate for the *first* year of building a personal watchlist and screening routine from scratch, without his scripts or his research team; the 30-minute claims are consistently framed as post-mastery. He does not reconcile the "review your own forecast annually" habit he demonstrates in the outlook videos with the "no one can predict the market, including me" principle documented in Chapter 16 — the annual review checks the forecast's accuracy but never uses a bad grade to stop making new forecasts. He does not disclose a formal cadence or checklist for *removing* a name from the trading watchlists the way he does for the investing watchlist's monthly prune; the trading-side watchlists in the ledger are described as being rebuilt fresh each session rather than maintained and pruned over time. And no card shows him

addressing what a reader should do when the paid tools and subscriptions he uses — Bloomberg, Capital IQ, Stock Oracle — are out of reach financially; the free alternative he names most consistently, Finviz, appears in far fewer of the detailed workflow descriptions than the paid stack does.

Chapter summary

- His stated time commitment — "30 minutes a day" — is real but conditional: it describes his own post-mastery routine, enabled by screening software he spent years building, and scales up sharply on his own filmed sessions and in his students' self-reports.
- Screening is not one tool doing one job: a technical scanner (Thinkorswim Stock Hacker, TC2000) finds price patterns, a fundamental screener (Finviz) filters by financial ratios, and a data-aggregation step (Capital IQ, GuruFocus, Zacks) averages growth estimates for valuation — every scanner hit still gets checked by hand.
- His filmed daily routine runs in a fixed order: review and manage existing positions first, then scan for new trades, then check community trade ideas if the scan is empty, then review long-term holdings, then review the portfolio watchlist last.
- He keeps separate watchlists by purpose (trading, investing, sector) rather than one combined list, prunes the investing watchlist monthly for names that ran too far above intrinsic value, and rebuilds trading watchlists fresh each session against specific triggers like a gap-up with a news catalyst.
- His journal standard requires entry price, exit price, signal followed, risk per trade, and win/loss recorded in R-multiples rather than dollars, updated immediately after each trade closes, with at least 50 to 100 trades before drawing conclusions from it.
- A "good trade" in his journal is graded by rule-adherence, not by profit — a rule-breaking trade that wins still counts as a bad trade, and a rule-following trade that loses still counts as a good one.

- His one publicly disclosed back-to-back monthly comparison — 90% win rate one month, 36% the next, on the identical strategy — is offered as his own evidence that short samples swing widely and shouldn't trigger a strategy change on their own.
- Several tools he names for screening and valuation, most recently "Stock Oracle," are his own paid products cited as evidence for live buy/hold calls in the same videos that promote them — a conflict of interest worth weighing separately from the underlying screening habits themselves.

Try this

Build the four-layer loop he describes across his own routine videos, at whatever cadence fits your available time. Daily or per-session: review existing positions before looking for anything new, in that order. Per new candidate: run it through a fundamental quality screen before checking the chart, not the other way around. Monthly: go through your watchlist and remove anything that has run too far above your valuation, and revisit anything you cut once it comes back near that level. And continuously: log every trade in your journal immediately after it closes — entry, exit, signal, risk, and result in R-multiples — and withhold judgment on your own results until you have at least 50 to 100 trades logged.

CHAPTER 18

Beginners, Warnings, and Failure Modes

In this chapter: what Khoo tells someone starting from zero — how much capital that actually takes, how to pick a broker and hold down costs, how he says to spot the scams and impersonators that trade on his name — and, closing Part IV, a consolidated look at the mistakes he has admitted to on camera and what he says he would do differently.

18.1 Where he tells beginners to start

Across a decade of courses and webinars, Khoo is consistent that the entry point is small and the first months are meant to cost nothing. He tells beginners to start on a demo account with virtual money and move to real money only once they have been consistently profitable for a couple of months, comparing it to a flight simulator. To make paper trading feel consequential rather than a game, he has had students do fifty push-ups for every loss and run five miles if a month ends negative, on the theory that the exercise has to hurt or it will not train real discipline.

Once real money is in, the position-sizing instruction for a beginner is specific: risk one percent of capital per trade, not two or three, and only raise it with experience and confidence. He states this as a suggestion he applies to

himself too, not a rule imposed only on students, and he is explicit that a student who risked closer to ten percent per trade — even one who tripled an account doing it — was doing something he does not recommend for a beginner.

He frames the skill gap directly: going into any market without training is, he says, like driving without a licence — legal in principle, but a matter of time before it hurts you financially. He is equally direct that skill takes time to build regardless of the instrument: forex trading, he says, is a profession like being a doctor or a lawyer, and even though it takes relatively less time to master than those professions, it still takes months of deliberate practice, not one or three days. He tells students who chase a new mentor, course, or book every time a strategy has a losing stretch that this loop — lose, blame the system, switch, lose again — can run for years without ever producing a competent trader.

He also gives beginners a filter for choosing instrument and timeframe rather than a single recommended one: there is no best strategy and no best instrument, he says, only ones that suit a person's temperament and available time — someone who can check the market only occasionally should invest, someone with under an hour a day can swing trade, and two to three hours a day is what day trading or scalping requires. He adds a personality-fit warning on top of the time-budget one: people who get very anxious watching a position move against them are, in his view, better suited to investing than trading, because trading requires a kind of emotional detachment that not everyone has or wants to build.

Editor's note — why "start small, build up" is a common structure across trading education

The specific sequence Khoo describes — demo account, then a small live account, then scaling with proven results — is not unique to him; it mirrors the standard progression taught across most retail trading education, and for a mechanical reason: a losing streak on a small account is a cheap lesson, the same losing streak on a large one is a large loss. What makes his version worth noting rather than generic is that he pairs it with a specific number (one percent risk per trade) and a specific gate (consistent profitability on paper, not just a good feeling) before capital gets added — the two things a beginner reading only motivational language about "starting small" would otherwise have to guess at themselves.

18.2 How much capital he actually says you need

Khoo gives a wide range of capital figures across the corpus, and the range tracks what the money is being asked to do rather than one fixed answer. For opening a stock trading account he has said as little as \$3,000 is workable, with \$5,000 mentioned in the same breath, while adding that he personally feels \$10,000 is a better starting point if the goal is to generate income that actually supports living expenses. For forex specifically he quotes an even lower floor — a mini account with as little as \$200 — while noting most people who take it seriously start with a few thousand. For options trading with a small account, he has told a live audience that \$2,000 to \$3,000 is "a relatively okay size" and that some individual strategies need only \$50 to \$100.

He is explicit that the \$100,000-plus figures that show up in his own financial-freedom arithmetic (see Chapter 1) are a target, not a starting requirement: "you do not need \$100,000 to start — you can start with \$3,000," because the arithmetic is a matter of rate of return compounding upward from a smaller base, even though he concedes 5 percent on \$3,000 is only about \$150 a month at the start. In a 2022 breakdown he frames the

capital question as depending on two separate things: a person's monthly expenses, and their skill level — the return they can actually generate on capital — rather than one number that applies to everyone. Working an illustrative Singapore-based example, he computes that a trader would need \$4.8 million sitting in the bank at roughly 1 percent interest to generate \$60,000 a year passively, against a much smaller sum needed if the money is compounding through active trading at his claimed 5 percent monthly return — the contrast he uses to make trading capital "look small" against the bank alternative.

Some thresholds he states as hard rather than a matter of preference. US pattern-day-trader rules, he says, normally require about \$25,000 in the account before you can day trade stocks, though he notes non-US citizens can sidestep the rule by trading CFDs instead. Index options carry their own bigger floor in his account: he puts a proper index-options account at \$50,000 to \$100,000, and steers smaller accounts toward index-ETF options instead, which can be traded for a few hundred dollars per contract. On the investing side he repeats a capital-source rule regardless of account size: invest only money you will not need for the next few years — "a couple of years" in some videos, "three to five years" in others — so a downturn does not force a sale at the worst time. He tells students far from \$100,000 to start with \$2,000 to \$5,000 and build over years rather than treat the full sum as a precondition for starting at all.

Editor's note — reading a spread of capital figures across nine years

These figures were recorded between 2017 and 2022, in webinars for different instruments (stocks, forex, options) and different account purposes (opening a live account versus generating replacement income). Reporting them as one number would erase real information: the honest read is that his stated minimum to *begin* has stayed low and consistent (a few hundred to a few thousand dollars, depending on instrument), while the figure that changes from video to video is what he considers enough to eventually live on — which depends on the return assumption he is making in that particular talk, a figure the book has already flagged in Chapter 1 as self-reported and unverifiable.

18.3 Choosing a broker and controlling costs

Khoo's broker guidance is built almost entirely around one idea: transaction costs compound against a trader the same way returns compound for them, so the broker relationship is itself a risk-management decision, not an administrative afterthought. For swing and short-term stock trading he says a broker charging very low commissions is a requirement, not a preference — he names his own broker's one-to-three-dollar-per-transaction fee as the level that keeps frequent in-and-out trading from being eaten alive by costs. He states the same principle for funds versus low-cost brokers directly: a mutual fund investor paying a 5 percent sales charge plus a 1 percent annual management fee has already lost 6 percent before the position even starts working, against ETFs that run at 0.3 to 0.5 percent and his own broker commissions of two or three dollars.

On forex specifically, he divides brokers into two structural types: market maker (or STP) brokers, who profit by marking up the market's bid-ask spread, and ECN brokers, who pass through the market spread and charge a flat commission instead. He states a preference for ECN brokers and gives the arithmetic behind it: a one-pip markup each way costs about \$20 per lot round trip on his numbers, which on a \$200 profit is nearly ten percent given

away, against roughly \$7 for a fixed ECN commission. Where a trader's country only offers market-maker brokers, his fallback rule is to pick one with the smallest possible markup — a maximum of one to one-and-a-half pips, no more. He also dismisses broker conspiracy theories about being deliberately stopped out, arguing that profitable and unprofitable traders alike use the same brokers, and that premature stop-outs and unfilled targets are a function of the bid-ask spread mechanics, not misconduct.

Beyond cost, he sets a small number of structural requirements. Options and futures trading require broker approval — declaring your experience level and applying through account management before the broker will let you place the trade. Short selling requires a margin account with collateral on deposit, and the position only works if the broker can actually source shares to lend, though he notes most brokers can for major names. For international and Hong Kong-listed positions he repeatedly flags that not every broker supports every market — he names Interactive Brokers specifically as one that lets him hold Hong Kong shares of companies like Alibaba, and warns that a broker unable to reach that market could force an investor into cash instead of the shares during an event like a spinoff. A long-time student, recounted in the corpus rather than stated by Khoo himself, adds a related practice: never keep all your money with one broker, because brokers themselves can fail — the student's stated practice, not a rule Khoo states himself.

On taxes and jurisdiction-specific costs, his statements are consistently scoped to his own situation as a Singapore-based, non-US-citizen investor, and the book preserves that scoping rather than generalizing it. He says capital gains are tax-free from where he operates, that Singapore REIT dividends and capital gains are tax-free for him, and that he avoids buying US-listed dividend stocks specifically because non-US citizens face a 30 percent withholding tax on US dividends, even though US capital gains are not taxed for him. In a 2026 series of disclosures, he explains he moved 99 percent of the holdings in his joint account with his wife into a newly formed corporate account, because a joint personal account is exposed to a 40 percent

US estate tax if he dies, while a company or trust account structurally cannot "die" and so avoids that liability — a move he frames as administrative estate planning, not a performance change to the portfolio it created a visible discontinuity in.

Editor's note — US estate tax exposure for non-resident investors holding US assets

The mechanism Khoo describes — a US estate tax applying to non-US-citizen, non-US-resident investors who hold US-situs assets like US-listed stocks, above a very low exemption threshold relative to the one US citizens get — is a real and often-overlooked feature of US tax law that catches many international investors by surprise. It is the kind of cost this book's other chapters do not surface because it has nothing to do with strategy or timing: it is a structural cost of *how* an account is titled, unrelated to what is bought or sold inside it. It is also exactly the sort of question that requires a licensed cross-border tax advisor rather than a YouTube video — Khoo's own disclosure describes what he personally did, not a recommendation for viewers in different jurisdictions.

18.4 Spotting scams — in his own words, not as testimonial

Khoo has made multiple videos specifically warning about impersonators trading on his name and identity, and separately about categories of investment scam he says target beginners in general. This section reports his own stated material as his statements, kept distinct from any implied endorsement of his programs.

His core, repeated rule is unconditional: never send money to anyone claiming they will trade or invest it on your behalf — not to him, and not to anyone else — because he says the overwhelming majority of such offers are scams, and even the rare legitimate one still means losing control of the money to someone else's decisions. He states plainly that he personally

manages only his own and his family's money through a family office, does not trade for the public, and that any account or message offering to do so under his name is not him. He gives two general tests a viewer can apply to any unsolicited offer, not only ones using his name: if someone claims their return is "risk-free," it is a scam, because he says every investment and every trade carries some risk — the only thing he treats as close to risk-free is a bank deposit, and even that is qualified since banks can fail, government insurance notwithstanding. And if an offer promises money with no skill and no knowledge required from the person receiving it, that too is a scam by his stated test, because he holds there is no free lunch anywhere in trading or investing — consistent profit takes real work, skill, and knowledge, full stop.

He names binary options specifically and repeatedly as a category to avoid: he describes them as structured with a negative expectancy, comparable to gambling — possible to profit from in the short run, but a losing proposition over time — and separately states that binary options brokers are often outright fraudulent operations rather than merely unfavorable products. He cites a 2017 Singapore newspaper report of \$2.4 million lost to binary option scams by forty people in that country alone, speculating losses elsewhere are likely far larger, though he offers no sourcing beyond the one cited article. He is similarly direct about comment-spam scams on his own channel — accounts, often self-described binary options traders, promising outsized returns or offering to manage viewer money in the comments section — calling them scams outright and saying he marks them as spam.

On get-rich-quick framing generally, his stated test is simple: if someone tells you that you can get rich overnight, run away, because it is a scam by definition — there is no such thing. He extends the same skepticism to advertised return figures: people advertising 100 or 200 percent monthly returns do sometimes achieve it, he says, but not repeatably — it reflects extreme risk-taking that eventually wipes the account out, and even his own observation of traders hitting a hundred percent or even a thousand percent in a single month attributes it largely to luck rather than a repeatable edge. He

states that 80 percent of retail investors and traders lose money, and separately cites a figure he attributes to brokers — that 80 percent of day traders lose 80 percent of their capital within 80 days — though he names no source for either statistic.

On what he considers a legitimate check against being scammed by a legitimate-looking broker, his instruction is: never send money unless the broker is regulated, or you have done independent due diligence yourself. He states his own filter for which products he will personally touch is regulation — he says he only trades and invests in products regulated by a stock exchange or an options exchange, and lists equities, forex, and listed options as the categories that pass that test for him.

Editor's note — how to actually verify broker regulation, since he does not walk through the steps

Khoo's rule ("only send money to a regulated broker, or do your own due diligence") is the right instinct, but none of the cards in this archive show him walking through *how* to check. The general, jurisdiction-independent version of that check is: identify which national regulator the broker claims to be licensed by (for example the Monetary Authority of Singapore, the US SEC/FINRA, the UK FCA, or Australia's ASIC), then search that regulator's own public register — not a link the broker provides — for the firm's name and license number. A broker that cannot be found on the regulator's own site under the name it uses to solicit you is not verified by that regulator, regardless of what its own website or marketing claims.

18.5 What he says he'd do differently: a capstone across the corpus

Several of the most consequential admissions in the archive are self-disclosed mistakes, made on camera, years after the fact, and they cluster around the same underlying error even though they surface in different chapters of this book. Brought together here, they form the honest "what he'd do differently"

material the outline promised — not invented, only assembled from cards already anchored elsewhere in the corpus.

The largest, in his own telling, is the cost of trying to time market waves. He describes exiting after a wave up expecting a wave down, a method that worked roughly four times out of five in the short run — until the fifth time the market ran back up before he could re-enter, costing him the kind of multi-hundred-percent runs that, he estimates, would have made him "a billionaire" had he simply held through instead of trading the waves. He connects this to a broader, quantified admission about his early investing years: he says that if he had simply held long-standing positions in companies like Alphabet, Amazon, and Microsoft rather than jumping in and out trying to sell before drops and buy back lower, he estimates he would be five to ten times richer today. He states plainly that he no longer does this — after years of investing he stopped trying to sell out of the market and buy back lower during choppy periods, because the market as often as not simply does not come back down to where he sold it.

The second recurring thread is selling great companies too early. His most detailed version of this is his own Facebook/Meta history: he bought early after the IPO drop, sold at \$50 believing he had made a smart 100 percent gain, and then spent years buying back in at progressively higher prices — \$100, \$150, \$200, \$300 — as the stock kept climbing without him, a mistake he now credits with costing an estimated tenfold in forgone gains against simply holding from the original entry. He draws the explicit lesson from this himself: holding for the long run as an investor beats getting in and out for short-term profits as a speculator, and he says he derives that conclusion directly from his own Facebook mistake, not from a rule he had going in. He has also more recently disclosed a mechanically different version of the same failure mode — selling covered calls against high-growth holdings including Nvidia and Meta, which then got assigned away and forced a sale before further gains he would otherwise have kept, which he now calls a mistake in hindsight.

A third thread is the retreat from active hedging itself. Chapters 7 and 11 show him building and explaining index-put and put-spread hedges against his long-term investing book in detail across 2019 and 2020. By 2025 he discloses that he does this "much less often" than he used to, citing the accumulated cost of paying for insurance that expires worthless whenever the market simply does not fall — the same trade-off he once described to students as being like paying a fire-insurance premium you should not resent just because your house did not burn down. He gives no specific date for when his own practice changed, and the book treats this as a documented shift in what he actually does, set against what earlier chapters show him teaching as a standing rule.

The fourth, most recent disclosure is UnitedHealth. Chapter 7 already covers his general no-stop-loss investing rule; UnitedHealth is the sharpest test of where he breaks it on his own terms. After fraud allegations surfaced against the company, he sold his entire position for a slight profit — not because his valuation model had changed, but because he was not comfortable holding a business associated with what he describes as a culture of alleged systemic fraud, even while stating he believed the company was "too big to fail" and would likely recover. He reinvested the proceeds into Novo Nordisk, HCA Healthcare, Pool Corporation, and ASML. Within roughly a year he is shown accumulating UnitedHealth shares again, describing it as undervalued on a lawsuit-driven pullback and declining to predict when it would recover — a sequence the book reports rather than resolves, since he does not reconcile the ethical-discomfort exit with the later valuation-driven re-entry into the same stock.

Editor's note — why these four threads belong together

Each of these four episodes looks, on its own, like an isolated anecdote from a different chapter of the channel's history. Read together, they share one shape: a stated rule (target discipline, "never sell a great company," a hedging routine, "no stop-loss on investments once bought for the right reasons") followed by a real, dated, dollar-quantified instance of Khoo departing from his own rule, followed by his own retrospective account of the cost or the reasoning. That pattern — rule, deviation, self-graded consequence — is the most useful thing a ten-year channel with this much archived footage can offer a reader, and it is also the material easiest to lose if a book about "his method" only reports the rules and skips the videos where he breaks them.

What he doesn't say

Khoo does not, in any card in this archive, walk a beginner through the mechanics of verifying broker regulation step by step — the general procedure in the 18.4 editor's note is supplied by this book, not by him. He does not address what happens to a beginner's small account, sized at his stated \$2,000 to \$5,000 starting range, during the account's first real losing streak beyond the general one-percent-risk instruction; there is no card walking through a worked example of what an eight-trade losing streak looks like in dollars on a small account. He does not reconcile his own 2025 UnitedHealth exit — driven by ethical discomfort rather than valuation — with his 2026 re-entry into the same stock on valuation grounds, leaving the reader to notice the tension rather than having it resolved for them. He also never addresses, in any card, how a beginner outside Singapore should read his tax-cost material, since nearly every stated figure (capital gains treatment, REIT tax status, US estate-tax exposure) is scoped to his own residency and citizenship status without a general framework for translating it to a different jurisdiction. And while he repeatedly says "regulated broker, therefore safe," he does not address what a reader should do when the regulator itself is not

well known or is in a jurisdiction with weak enforcement — his test assumes the regulator can be trusted, a step he never examines.

Chapter summary

- He tells beginners to start on a demo account and move to real money only after a couple of months of consistent paper profitability, sized at one percent risk per trade to start.
- His stated minimum capital to open a live account ranges from \$200 (a forex mini account) to \$3,000–\$10,000 (stocks), with the higher end reflecting his own preference for income-replacement rather than a hard minimum.
- Broker choice is framed as a cost-control decision: he pushes low commissions, ECN pricing over market-maker markups in forex, and names specific brokers (his own, and Interactive Brokers for international access) as examples rather than endorsements.
- His tax and cost statements are consistently scoped to his own status as a Singapore-resident, non-US-citizen investor — capital-gains-free at home, 30 percent US dividend withholding abroad — and do not generalize to other jurisdictions.
- His scam-warning rule is unconditional: never send money to anyone offering to trade it for you, verify regulation independently, and treat "risk-free" or "no skill required" claims as automatic red flags.
- Binary options are named repeatedly as a category to avoid outright, both for negative-expectancy structure and for outright broker fraud.
- Four self-disclosed episodes — wave-timing regret, selling Meta far too early, retreating from active hedging, and the UnitedHealth exit-then-re-entry — form a documented "rule, deviation, consequence" pattern that runs across nearly a decade of the channel.

- None of his return, capital, or self-corrected-mistake figures in this chapter are independently verifiable; they are reported, as throughout this book, as his own stated account.

Try this

Based on his own stated sequence for a true beginner: open a demo or paper trading account before funding a live one, and hold yourself to the same rule he sets — do not move to real money until you have produced a couple of consecutive months of consistent (not necessarily large) paper profit. When you do fund the live account, size your first trades at one percent of account capital at risk, not more, and write that number down before you place the trade rather than deciding it trade by trade. Separately, before sending money to any broker or program, run his stated regulation check yourself: find the specific regulator the firm claims to be licensed by, and confirm the firm's name and license number on that regulator's own public register rather than a link the firm supplies.

APPENDIX

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Outcome with Options (2019-08)

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Beware of Adam Khoo Impersonators!
(2020-08)

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(2023-08)

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(2022-08)

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BLACK MARKET 2022 Panel Discussion with
Adam Khoo, Bang Pham Van, Alson Chew &
(2023-08)

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Boost Your Stock Trading Performance with
Options Trading (2019-08)

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Portfolio with ETFs Part 2 (2017-08)

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Building a Winning Stock Investment Portfolio
(2021-08)

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Bullish Reversal Pattern! Is this the Market
Bottom? (2022-08)

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Bulls Take Control. Stock Prices Going Higher?
(2024-08)

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- Buy stocks only after a recession? (2025-08)
youtu.be/BK4HmDaew4E
- Buy the September Dip? (2025-09)
youtu.be/zprQM_oFnqw
- Bye Bye Bears (2025-08)
youtu.be/8zvSPHouE_s
- Can Stock Markets Hit All Time Highs this Year? (2023-08)
youtu.be/95rqHHiRvvY
- Can Stocks Rise Without Quantitative Easing (QE)? (2023-08)
youtu.be/l8u9e8_RvJl
- Can this Stock Market Rally Be Trusted? Part 1 of 2 (2023-08)
youtu.be/rZL6bufkqA
- Can this Stock Market Rally Be Trusted? Part 2 of 2 (2023-08)
youtu.be/BJbD_fp9Ftk
- Can You Really Make Money in Forex Trading? The Hard Truths (2020-08)
youtu.be/Ybyx3gRqwRY
- CCP's Evil Plan. Stock Crash and Rebound (2023-08)
youtu.be/vf5VgAo4BuA
- Cheap Crap is still Crap! (2025-08)
youtu.be/vwP8-NcBevA
- Cheat code to Investing Success (2025-08)
youtu.be/ucUbO4o040k
- China Stock Crash! Buy, Sell or Hold? (2021-08)
youtu.be/aHNoln-8J9l
- China Stocks Rebound! Is this for Real? (2023-08)
youtu.be/6R3FatNabuc
- China Stocks. Any Hope of a Recovery? Part 1 of 2 (2023-08)
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youtu.be/YoMVM7nh8vc
- China Stocks. I AM DONE! (2024-08)
youtu.be/zVrEFvhw5Lw
- China Stocks. Treasure or Trash? Part 1 of 2 (2022-08)
youtu.be/cZk93XM6GCY
- China Stocks. Treasure or Trash? Part 2 of 2 (2022-08)
youtu.be/t6WMGMdOBUQ
- China Tech Stocks Undervalued? Alibaba a Buy? (2021-08)
youtu.be/OaQQGA_BuIA
- Confession! I Traded Gamestop (GME) Stock for a 96% Win Probability (2021-08)
youtu.be/5DbUJcj6Xqs
- Consumer Defensive Stocks Crash! Are they a Buy? (2024-08)
youtu.be/6Cww9kBO6HY
- Dealing with Bid/Ask Spreads in Forex Trading by Adam Khoo (2018-08)
youtu.be/wVwSzHpA9D8
- Dialysis Nurse Beats the Market with Over 260% return (2025-08)
youtu.be/tRarOWKXeV0
- Did the Fed Kill the Bull Market? (2024-08)
youtu.be/6-6eHvah9Pw
- Dividend stocks to WATCH (2025-08)
youtu.be/WcRyclGYxeE
- Do you DARE to buy a stock when it drops?! (2025-08)
youtu.be/Pf3L39nw4pY
- Do you know how to identify good companies to invest in? (2025-08)
youtu.be/DdsCVlqsMEE
- Do you sell a stock when it goes parabolic? (2025-08)
youtu.be/ft2la1zz-Tg
- Don't be DISTRACTED by short term Stock price movement! (2025-08)
youtu.be/UZUkz25YKB4

Don't Spend Too Much Time Thinking About GDP (2026-04)

youtu.be/6HhZ35oMx7E

Drawdown?!? Here is What I Am Doing. (2026-04)

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Even 'God' cannot escape stock market draw-downs... (2026-05)

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Evergrande China \$300 Billion Default Triggering a Financial Crisis? (2022-08)

youtu.be/EimEa5xRBg4

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Facebook Stock Crashes! Buy or Sell? By Adam Khoo (2018-08)

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Facebook Stock Crashes! Buy or Sell? By Adam Khoo Part 2 (2018-08)

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Fear of a Stock Market Crash? Don't Be! (2020-08)

youtu.be/OMi3YKFXy6A

Fed Cuts Rates 0.5%. What's Next for Stocks? (2025-08)

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youtu.be/F0ptF3aw3QA

FED is Pausing = Stock Crash Coming? (2023-08)

youtu.be/8jg60ftgkJ4

Final Quarter 2023. Crash or Rally? (2024-08)

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Find The Best Forex Trading Setups Daily Part 1 of 2 (2019-08)

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Find The Best Forex Trading Setups Daily Part 2 of 2 (2019-08)

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Finding Bargains in an Expensive Stock Market Part 1 of 2 (2021-08)

youtu.be/TaOfxnXQ3YE

Finding Bargains in an Expensive Stock Market Part 2 of 2 (2021-08)

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Finding Undervalued Gems in an All Time High Market (2025-09)

youtu.be/1x18n9t8ag0

Five Power Candlestick Patterns in Stock Trading Strategies by Adam Khoo (2017-08)

youtu.be/hoGkfzJeR6A

Forex Trading Lessons From My Students (Private Coaching Sneak Peek) By Adam (2019-08)

youtu.be/cFRARGnZjUw

Forex Trading Live With Adam Khoo (2020-08)

youtu.be/5NCpa549Ck

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youtu.be/tZqobytWXnl

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youtu.be/IXzEt0B1oeo

From -\$140,000 to +\$71,000, A Retirees Journey through the 2020 Stock Crash (2021-08)

youtu.be/2MDxMreJzs4

From a -70% Losing Investor to +162% Return Stock Market Winner (2021-08)

youtu.be/bXVFBhoKt6o

From A Corporate Employee to Financially Free (2020-08)

youtu.be/5GUFUU09IzE

From Pro Poker Player to Professional Stock Trader (2021-08)

youtu.be/i9roHo6yXsl

Generate Consistent Profits By Trading Range Stocks by Adam Khoo (2018-08)

youtu.be/A2ag-7moF48

Generate Monthly Income with Covered Call Options Part 1 (2019-08)

youtu.be/p8B20X7LbDs

Generate Monthly Income with Covered Call Options Part 2 (Updated) (2019-08)

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Get Ready for a Stock Market Correction (2023-08)

youtu.be/e9K9HUwtpko

Get Rich in Stocks! Be Greedy When Others Are Fearful (2019-08)

youtu.be/P_kZtOWgabA

Going "in-and-out" of the stock market... (2025-08)

youtu.be/cVx7dfXDfsE

Gold Breakout to a High. Is it a Buy? (2024-08)

youtu.be/56S3Um0aF4M

Habits and Trading Psychology of Winning Traders by Adam Khoo (2017-08)

youtu.be/siE2Xz8mpt4

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youtu.be/1LXOK-FsJDI

Happy 50th Birthday! A Tribute to Adam Khoo (2024-08)

youtu.be/TVaAf-iMM0A

Has the Nvidia (NVDA) and SMC1 Bubble Burst? (2025-08)

youtu.be/7fzYLDDnNns

Has the Stock Market Bottomed? Time to Buy? By Adam Khoo (2020-08)

youtu.be/zf26u-211yE

Healthcare Stocks Collapse! 50% to 100% Upside? (2025-08)

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Healthcare Stocks on Sale! Worth Buying? (2024-08)

youtu.be/P5nlh_Uwmd0

Healthcare Stocks. Value Trap or Opportunity? Part 1 of 2 (2025-08)

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Healthcare Stocks. Value Trap or Opportunity? Part 2 of 2 (2025-08)

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Hedging Against a Market Crash (2025-08)

youtu.be/O-N_RuC0AFI

Here's Why The Market Crash is Your Friend (2022-08)

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High Accuracy Stock Trading With Fibonacci Levels (2020-08)

youtu.be/vitU_MFDdb4

High Inflation Coming? Here Are the Assets I Am Buying Part 1 of 2 (2021-08)

youtu.be/YxHy5kE1A3I

High Inflation Coming? Here Are the Assets I Am Buying Part 2 of 2 (2021-08)

youtu.be/JfWhwtNx3LO

High Profit Opportunities in the Stock Market by Adam Khoo (2019-08)

youtu.be/X8igURnRZIA

Highlight: I'm Not Selling Nvidia, But I'm Buying These Stocks Instead (2026-07)

youtu.be/Bs25DN_1ZUs

Highlight: Why Saving Money Alone Won't Make You Financially Free (2026-07)

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Hot Inflation Killing the Bull Market (2023-08)

youtu.be/oLuTIPDVZT0

How a Rookie Investor Made Huge Profits During the 2020 Stock Market Crash (2021-08)

youtu.be/Lh_8gAdBjvs

How Adam Khoo uses StockOracle™ to analyze ASML Stock (2025-09)

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How an Accountant Achieved a 75% & 99% Return Investing in the US and China St (2020-12)

youtu.be/16KHUWoyVGk

How An Accountant Achieves an 80% Annual return on His Stock Investing Portfol (2018-08)

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How an Engineer Made +105% Profits (\$211,000) in 10 Months (2021-08)

youtu.be/nrVKs6Lq6LY

How can the markets recover from this Trump Tariffs? (2025-08)

youtu.be/Spm2p948o98

How do you know if the Stock Market is bullish? (2025-08)

youtu.be/mNm1xxMFHCA

How I achieved more than 260% returns since 2019 (2026-01)

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How I Achieved Success with NLP by Adam Khoo (NLP Techniques) (2017-08)

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How I Buy Stocks At Huge Discounts with Put Options (2019-08)

youtu.be/8vgUkZtM_BE

How I Find Massive Growth Stocks Every Month (2020-08)

youtu.be/42yTwo4LM48

How I identify bull/bear markets before they move (2026-04)

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How I Identify Stock Market Turning Points by Adam Khoo (2020-08)

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How I Invest With "Zero-Stress" (2022-08)

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How I Pick Great Companies for Stock Investing By Adam Khoo (2019-08)

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How I Scan for High Momentum Stock Trades Daily Part 2 (2023-08)

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How I Use Options to Win 90% of My Stock Trades (2020-12)

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How I use StockOracle™ to look at Stocks (2026-01)

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How many stocks in the S&P500 are over / undervalued? (2026-01)

youtu.be/e3dCKDfyo-I

How much is Alphabet (GOOGL Stock) Worth Today?! (2025-08)

youtu.be/O8pJ95y12hw

How much is UnitedHealth (UNH Stock) Worth Today? (2025-08)

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How my portfolio fared in previous bear markets (2026-04)

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How NLP Changed My Life (Introducing Patterns of Excellence) (2025-08)

youtu.be/CtQqCnFPgA

How Often Does the Stock Market Crash? (You'll Be Surprised!) (2025-08)

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How Pros Trade Options for Consistent profits Part 1 of 3 (2022-08)

youtu.be/yOvWCttVYhg

How Pros Trade Options for Consistent Profits Part 2 of 3 (2022-08)

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How to Avoid Being Scammed By Unregulated Brokers - Adam Khoo (2017-08)

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How to Avoid Investing in Companies that go Bust (2021-08)

youtu.be/gykGAecGwBU

How to Beat the Stock Market by Adam Khoo (2016-08)

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How to Buy 100 Shares of Stock at 1/4 the Cost (2021-08)

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youtu.be/3qPLIYiejas

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youtu.be/4DhEt4PwV_M

How to Invest and Trade in 2024? | BLACK MARKET 2023 Panel Supercut (2024-08)

youtu.be/vV_9Int14bl

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youtu.be/k_-PAhvvTU8

How to Play the Recent Stock Market Plunge! By Adam Khoo (2019-08)

youtu.be/xrac1vGixEo

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youtu.be/H-ZqwfhZLnl

How to Spot an Adam Khoo Impersonator! (2019-08)

youtu.be/WacNPBa1dJs

How to Survive & Profit from the September Bear (2025-08)

youtu.be/5T851Xjl09k

How to take advantage of this "Fear Index"? (2025-08)

youtu.be/HiT6dqlXuWc

How to Trade Options on S&P Index Futures (2021-08)

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How Traders Anticipate Price Reversals with Divergence Part 1 of 2 (2020-08)

youtu.be/totih-TzLf4

How Traders Anticipate Price Reversals with Divergence Part 2 of 2 (2020-08)

youtu.be/7XNY0MaziSY

Humanoid Robots. The Next 30X Growth Industry (2024-08)

youtu.be/35pDIZYHz0s

I Can Suck...And Still Get Rich in Stocks (2024-08)

youtu.be/hy2s0UYhKH4

I Got the Shock of My Life Today!!! (2019-08)

youtu.be/LYBMAN2e3js

I Lost My Life Savings in One Stock (2023-08)

youtu.be/m7rXnsxYUZO

I WAS WRONG (2023-08)

youtu.be/fjExUlnHh6Hg

I'll Buy Alphabet (GOOG) Stock at these prices... (2025-08)

youtu.be/ENchzMsuwYM

Identify Profitable Forex Trade Setups with Fibonacci by Adam Khoo (2018-08)

youtu.be/qvMa_u8_Xjs

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youtu.be/C06JMxI6Tsg

Identifying Support & Resistance Levels in Stock Trading Charts by Adam Khoo (2017-08)

youtu.be/SgXOw_wOaBw

Inflation will kill your savings. . . DO THIS INSTEAD! (2023-08)

youtu.be/ZIGSxmLjHDW

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youtu.be/zCWMV0W5gDo

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youtu.be/Vh96B2d3Rgw

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Investing & Trading in an All-time-high Market | BLACK MARKET 2024 Panel Super (2025-08)

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Investing in 2026, Opportunities & Risks Part 1 of 2 (2026-01)

youtu.be/7vcD5RDmeo

Investing in 2026, Opportunities & Risks Part 2 of 2 (2026-01)

youtu.be/gHNrFdxjJul

Investing in China Stocks. Risks and Rewards Part 1 of 2 (2020-08)

youtu.be/7AMGPHaCQu8

Investing in China Stocks. Risks and Rewards Part 2 of 2 (2020-08)

youtu.be/hekKIBchvtU

Investing in Stocks under a "28% Tax" Regime! (2025-08)

youtu.be/De1YI-djRgU

Investing with limited capital? Here are 3 things you can do to maximize your (2026-02)

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Investment Ideas from Superinvestors? Part 1 of 2 (2024-08)

youtu.be/7DHNy9GVOc0

Investment Ideas from Superinvestors? Part 2 of 2 (2024-08)

youtu.be/cVkboCldKe4

Investment Lessons from 2021 (2022-08)

youtu.be/DR7C-SA1qp0

Investment Opportunities 2019 - Is There Potential Growth in US and China Stocks (2019-08)

youtu.be/hUftvLzrHTk

Investment Outlook and Opportunities 2017 Part 1 by Adam Khoo (2017-08)

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Investment Outlook and Opportunities 2017 Part 2 by Adam Khoo (2017-08)

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Investment Outlook and Opportunities 2018 Part 1 of 2 by Adam Khoo (2018-08)

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Investment Outlook and Opportunities 2018 Part 1 of 2 by Adam Khoo (2018-08)

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Investors are afraid of 'Stagflation' today...
(2026-04)

youtu.be/M7sh-cykgK8

Investors getting 100% Returns in a year?
(2025-08)

youtu.be/bB45ZdvqzSE

Investors who are buying stocks that are "un-
loved" (2025-08)

youtu.be/yKI6xitC5B0

Is Investing Risky? (2025-08)

youtu.be/xVWo4vEJu8o

Is it Time to Buy Tesla Stock? Part 1 of 2
(2023-08)

youtu.be/5W5mrOJla0A

Is it Time to Buy Tesla Stock? Part 2 of 2
(2023-08)

youtu.be/jGCV11mYsII

Is it time to invest in Utility Stocks because of
AI? (2026-01)

youtu.be/0A7ch4YAdHE

Is it Time to Short the Stock Market?
(2023-08)

youtu.be/YdlUolg3WTw

Is Microsoft's New ChatGPT Search a Google
Killer? (2023-08)

youtu.be/RanydWyprGw

Is Nike Stock (NKE) in trouble? (2025-08)

youtu.be/U_uWhZ9e8RI

Is NVIDIA Too Expensive after rallying
170%?! (2025-08)

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Is the 2026 Stock Market Bubble Ready to
Burst? (2026-07)

youtu.be/b_0X0ejOCeI

Is the AI craze clouding your investor judg-
ment? (2024-08)

youtu.be/q2EgrnIR8No

Is the China Bull Market Dead? (2023-08)
youtu.be/Y_oyBA7B-KE

Is the Stock Market Overvalued? Hold or
Sell? (2023-08)

youtu.be/mSKBtd3hEu4

Is the Stock Market Rally a Dead Cat
Bounce? By Adam Khoo (2019-08)

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Is the Stock Market Really Crashing? Protect
with Put Options! (2020-08)

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Is the Stock Market too Expensive? Can We
Still Find Value? (2020-08)

youtu.be/p2MV4QKcr6g

Is this Super 'Cheap Growth' Stock a Buy?
(2023-08)

youtu.be/mZwuuld_LQo

It's Gonna Get Bumpy in the Markets!
(2023-08)

youtu.be/RLd4tuMthpA

It's Happening Again This Year... A Great
Wealth Transfer Is Happening In The
(2022-08)

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June Inflation Hits 9%! Stock Market Does
Not Care! (2022-08)

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Key Lessons from Warren Buffett's Annual
Letter 2023 Part 1 of 2 (2023-08)

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Key Lessons from Warren Buffett's Annual
Letter 2023 Part 2 of 2 (2023-08)

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Markets by Adam Khoo (2019-08)

youtu.be/UUaq0Y3Rfrg

Lessons of How a Retiree Achieved Financial
Freedom (2021-08)

youtu.be/S5Mln7MJYqg

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youtu.be/eABH1b3ylLg

Losing Stocks. Hold or Sell? (2025-08)
youtu.be/DadL6A4TPSs

Low Risk High Profit Swing Trading for Stocks (2020-08)
youtu.be/q9DnT0R_td4

Magnificent 7 Stocks Dead? China to rebound? (2024-08)
youtu.be/YGcS2gKn40s

Magnificent 7 Stocks. Cheap Enough to Buy? (2024-08)
youtu.be/TU79RAjil9c

Make Your Millions. Exposing WallStreet's Dirty Secret (2024-08)
youtu.be/m4plsx2963Y

Market Analysis for Stocks, ETFs and Bitcoin Quarter 1, 2018 (2018-08)
youtu.be/huUSNdtfLQM

Market Meltdown. Master Your Psychology Part 2 of 2 (2024-08)
youtu.be/hKYH51axLyw

Markets are SELLING DOWN: Here's What I'm Doing! (2024-08)
youtu.be/Uu-Q1cnwiFg

Markets Meltdown. WTF Is Happening Part 1 of 2 (2024-08)
youtu.be/nSnPoCijHpo

Master Your Emotional States Using NLP by Adam Khoo (2018-08)
youtu.be/J9qhV5bsFyl

Meta Stock Game Over! Part 1 of 2 (2023-08)
youtu.be/e4rk7GybxaE

Meta Stock Game Over! Part 2 of 2 (2023-08)
youtu.be/HtfsCRrxznM

Meta's Facebook Stock is Crashing. Buy or Sell? (2022-08)
youtu.be/b9lvjHgIJUA

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